CHAPTER

3

Group Reporting II

Application of the Acquisition Method under IFRS 3



LEARNING OBJECTIVES

After reading this chapter, you should be able to:

- **LO1** Understand the difference between the investor's separate financial statements and consolidated financial statements;
- **LO2** Understand the differences in various modes of business combinations and the similarities in their economic substance;
- **LO3** Appreciate the significance of the acquisition method and its implications for consolidation;
- **LO4** Know how to determine the amount of consideration transferred;
- **LO5** Understand special issues concerning control and identification of the acquirer;
- **LO6** Know how to recognize and measure identifiable assets, liabilities, and goodwill in accordance with IFRS 3 requirements;
- **LO7** Understand the nature of goodwill;
- **LO8** Understand the nature and accounting for investment entities; and

LO9 Understand the accounting for settlement of pre-existing interests and employee compensation arrangements in business combinations.

INTRODUCTION

In many countries, companies must provide financial information at two levels:[1]

1. *Separate financial statements* of the legal entity in accordance with corporate regulation; and
2. *Consolidated financial statements*, if the legal entity is also a parent, in accordance with IFRS 10 *Consolidated Financial Statements.*

However, IFRS 10 paragraph 4 allows an exemption for the presentation of consolidated financial statements by a parent "if it meets all the following conditions:

1. It is itself a wholly-owned subsidiary, or is a partially-owned subsidiary of another entity and all its other owners, including those not otherwise entitled to vote, have been informed about, and do not object to, the parent not presenting consolidated financial statements;
2. Its debt or equity instruments are not traded in a public market (a domestic or foreign stock exchange or an over-the-counter market, including local and regional markets);
3. It did not file, nor is it in the process of filing, its financial statements with a securities commission or other regulatory organization for the purpose of issuing any class of instruments in a public market; and
4. Its ultimate or any intermediate parent of the parent produces financial statements that are available for public use and comply with IFRS, in which subsidiaries are consolidated or are measured at fair value through profit or loss in accordance with this IFRS."

IAS 27 *Separate Financial Statements* paragraph 4 defines separate financial statements as "those presented by an entity in which the entity could elect, subject to the requirements in this Standard, to account for its investments in subsidiaries, joint ventures, and associates either at cost, in accordance with IFRS 9 *Financial Instruments*, or using the equity method as described in IAS 28 *Investments in Associates and Joint Ventures*." The separate financial statements of the parent reflect the direct interests of the parent as a passive investor. The indirect interests that the investor has in the net assets of the investee are not reflected in the separate financial statements of the investor when the cost or fair value method is used.

Income in the separate financial statements is recognized on the basis of direct interest in the dividends or other distributions declared by the investee. Investment in the statement of financial position is carried at either cost or fair value. For financial periods beginning on or after 1 January 2016, investors may choose to account for investments in subsidiaries, joint ventures, and associates under the equity method. Although there is a greater alignment of reporting of income and net assets between the separate and consolidated financial statements, the equity method does not replicate consolidation fully. These statements typically do not reflect the profit or net assets of the investee that the investor indirectly has an interest in.

Hence, the investor's separate financial statements reflect the legal interest in the investment and its direct benefits (dividends) rather than the larger economic entitlements (share of profits) that "control" or "significant influence" brings.

As economic boundaries are enlarged through "control" that an investor has over the decisions of the most relevant activities of an investee, another level of reporting is required. This level of reporting is described as the consolidated financial statements, which present the financial statements of a group as those of a single economic entity (IAS 27:4).

Table 3.1 summarizes the accounting treatment required at each of the two levels.

TABLE 3.1 Two levels of reporting

	Investor's separate financial statements	Consolidated financial statements
Investment in a subsidiary (where "control" exists)	IAS 27 Investment is carried at: 1. Cost 2. In accordance with IFRS 9 (as a financial instrument) or 3. Using the equity method	IFRS 10 Investment is eliminated and net assets of subsidiary are consolidated with those of the parent
Investment in an associate (where"significant influence" exists) or investment in a joint venture (where "joint control" exists giving rise to rights of net assets in a joint arrangement)	IAS 28 Investment is carried at: 1. Cost 2. In accordance with IFRS 9 (as a financial instrument) or 3. Using the equity method	IAS 28 Investment is accounted for using the equity method

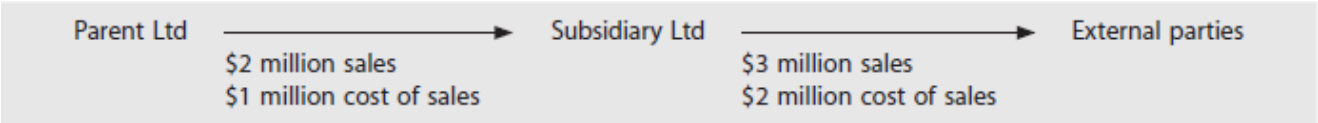
Special requirements apply to parent companies that meet the definition of an "investment entity." Three conditions are required in determining whether a parent is an investment entity or not (IFRS 10 Appendix A). First, an investment entity provides investment management services to one or more investors who place funds with the entity. Second, these funds are invested solely for the purpose of obtaining returns from capital appreciation, investment income, or both. Finally, to achieve its purpose, the evaluation of the performance of substantially all its performance is on a fair value basis. Furthermore, the entity will have to consider whether it has the typical characteristics of an investment entity. While the typical characteristics are not criteria for classification as an investment entity, the entity would, in the absence of any of the typical characteristics be required to disclose the reasons for concluding that it is an investment entity. Parent companies that meet the criteria of investment entities do not need to consolidate its subsidiaries but must measure its investments in subsidiaries at fair value with changes in fair value taken to the income statement. Appendix 3A provides more explanations on the requirements and accounting for investment entities.

OVERVIEW OF THE CONSOLIDATION PROCESS

Although two sets of accounts have to be prepared — the investor's separate financial statements and consolidated financial statements — only one set of "books" or "ledgers" has to be kept by the legal entity. There are no "ledgers" kept for the group entity. Instead, *consolidation worksheets* are prepared at the end of each reporting period, which combine the separate financial statements of a parent and its subsidiaries and include *consolidation elimination entries* and *adjustments* to remove the effects of intragroup transactions.

An example of a partial consolidation worksheet is shown below. Assume that Parent Ltd makes a sale of $2,000,000 to Subsidiary Ltd, which in turn sells the inventory to external parties in the same financial period for

$3,000,000. The original cost of the inventory is $1,000,000 and the cost of sales in Parent Ltd's books is $1,000,000.



The intercompany sale of $2,000,000 will be shown under Parent Ltd's separate financial statements, and a corresponding cost of sale of $2,000,000 is shown in Subsidiary Ltd's separate financial statements. The consolidation worksheet allows us to combine the financial statements of Parent Ltd and Subsidiary Ltd, and eliminate the intragroup sale. Since the purpose of consolidated financial statements is to show the financial performance, financial position, and cash flows of the economic (not legal) entity, transactions and unrealized profits within the group must be eliminated and adjusted. Hence, a consolidation elimination entry is effected on the worksheet:

Dr Sales	2,000,000	
Cr Cost of Sales		2,000,000

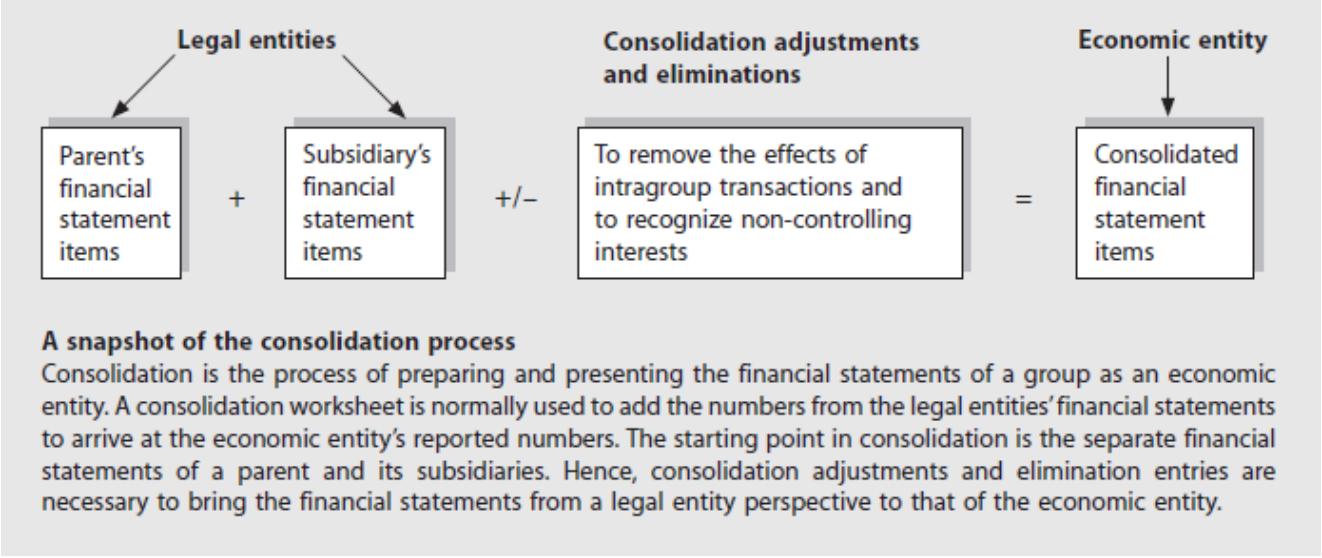
Elimination of intercompany sales during the year

	Parent's separate income statement (partial)	Subsidiary's separate income statement (partial)	Consolidation elimination entries and adjustments		Consolidated income statement (partial)
			Dr	Cr	
Sales	$2,000,000	$3,000,000	2,000,000		$3,000,000
Cost of sales	(1,000,000)	(2,000,000)		2,000,000	(1,000,000)
Gross profit	$1,000,000	$1,000,000			$2,000,000

In the above example, the final column shows the gross profit from the economic entity's perspective. An external sale of $3,000,000 is made by the group and the original cost of inventory for the goods sold is $1,000,000. Without the consolidation elimination entry, combined sales of $5,000,000 and combined cost of sales of $3,000,000 would overstate the sales and cost of sales respectively, resulting in a double-counting of transactions within the group.

Hence, consolidation elimination entries and adjustments have to be understood with reference to the original entries that are passed in the individual books of either the parent or the subsidiary. Figure 3.1 shows the concept of the consolidation worksheet. The individual line items in the separate financial statements of the parent and its subsidiaries are added together. Consolidation adjustments have to be made to eliminate intercompany transactions and balances, adjust for one-sided unrealized profit or loss arising from these transactions, and allocate profit to non-controlling interests.

FIGURE 3.1 The consolidation equation



A snapshot of the consolidation process

Consolidation is the process of preparing and presenting the financial statements of a group as an economic entity. A consolidation worksheet is normally used to add the numbers from the legal entities' financial statements to arrive at the economic entity's reported numbers. The starting point in consolidation is the separate financial statements of a parent and its subsidiaries. Hence, consolidation adjustments and elimination entries are necessary to bring the financial statements from a legal entity perspective to that of the economic entity.

The consolidation process is discussed in greater detail in Chapter 4. The purpose of this chapter is to explain the accounting of business combinations from the acquirer's perspective. In this chapter, we will see that business combinations may take different forms and not all forms will entail consolidation.

BUSINESS COMBINATIONS

A business combination is "a transaction or other event in which an acquirer obtains control of one or more businesses" (IFRS 3 App A). The assumption in IFRS 3 is that an acquirer can be identified in nearly all circumstances. An example of an arrangement where there is no acquirer among combining entities is a business combination involving entities under common control. In this business combination, the combining entities are controlled by the same party or parties before and after the business combination and the control is not transitory (IFRS 3 App B:B1). All combining entities retain their decision and control rights, and governance structures as in the pre-combination period. A business combination involving entities under common control is outside of the scope of IFRS 3.[2] We discuss business combinations under common control in greater detail in Chapter 14.

Business combinations may take different forms. In all the forms, two characteristics are present:

1. An acquirer has control of the business acquired; and
2. The target of the acquisition is a business.

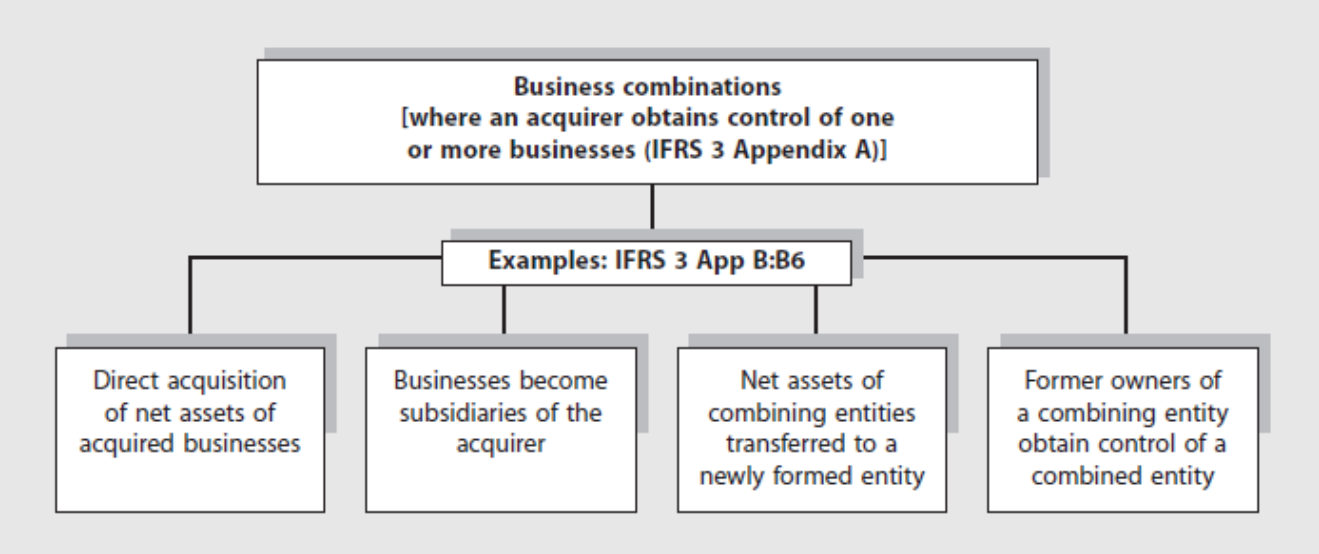
Chapter 2 has discussed the concept of control. An acquirer has control when it has all three attributes of control as defined by IFRS 10:[3]

1. Power over the acquiree;
2. Exposure or rights to variable returns of the acquiree arising from the acquirer's involvement with the acquiree; and
3. Ability to use its power to affect the amount of the acquiree's returns.

The acquiree has to be a business. IFRS 3[4] requires a business to have two essential characteristics. First, it is to be an integrated set of activities and assets, and second, it must be capable of being conducted and managed to provide returns to investors, other owners, members, or participants. Returns are economic benefits and may take different forms, for example, dividends, lower costs or other economic benefits. Hence, the focus of IFRS 3 is on the inputs and processes applied to those inputs. It is not necessary for a business to have outputs. For example, a start-up entity may not have outputs but must have an integrated set of activities and assets in place.

One of the most common forms of business combinations is the acquisition of control over the voting rights of an acquiree. However, it is important to note that this is but one example of a business combination. There are other forms of business combinations as shown in Figure 3.2.

FIGURE 3.2 Modes of business combinations

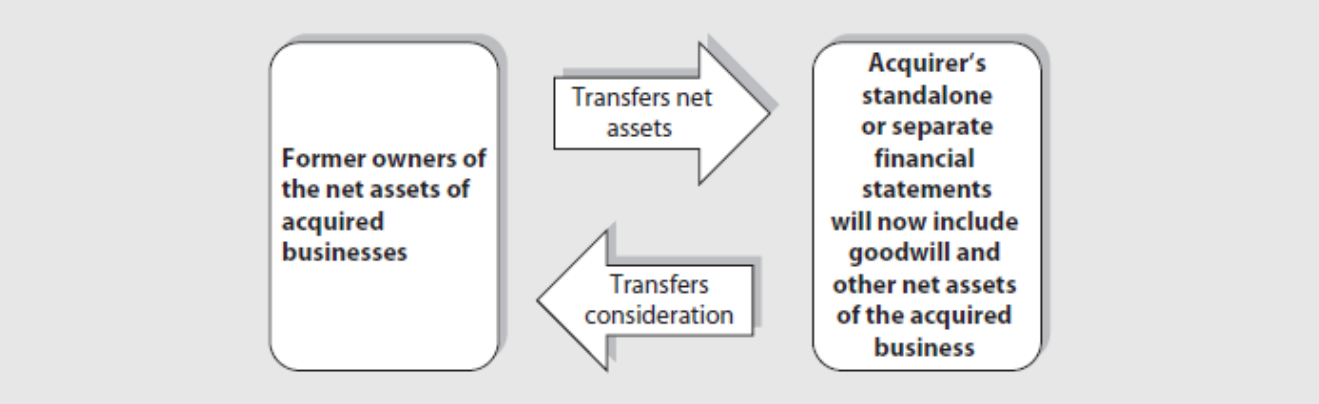


Direct Acquisition of Net Assets of Acquired Businesses

In this business combination, the acquirer acquires the net assets of the business directly and not through the purchase of voting rights in that entity. For example, a hotel chain may buy a particular hotel from the owners of the hotel. The acquirer is buying more than a fixed asset. It is buying a combination of assets, including the goodwill arising from the hotel's reputation and its clientele. Sometimes, the acquirer buys the net assets of a company that has failed. During the financial crisis of 2008, acquirers were buying the remnants of businesses of bankrupted companies. What was acquired was the agreed upon assets and liabilities of the bankrupt companies. There is no acquisition of voting rights as the companies had gone into receivership.

In this mode of business combination, the net assets of one or more businesses are legally merged into the acquirer.[5] This business combination does not give rise to a parent-subsidiary relationship. Goodwill is recognized in the standalone or separate financial statements of the acquirer. There is also no distinction between the legal entity and the enlarged economic entity comprising the acquirer and the acquired business. Consolidation is not required and non-controlling interests do not arise in this situation. Figure 3.3 graphically shows the exchange of net assets in this mode of business combination.

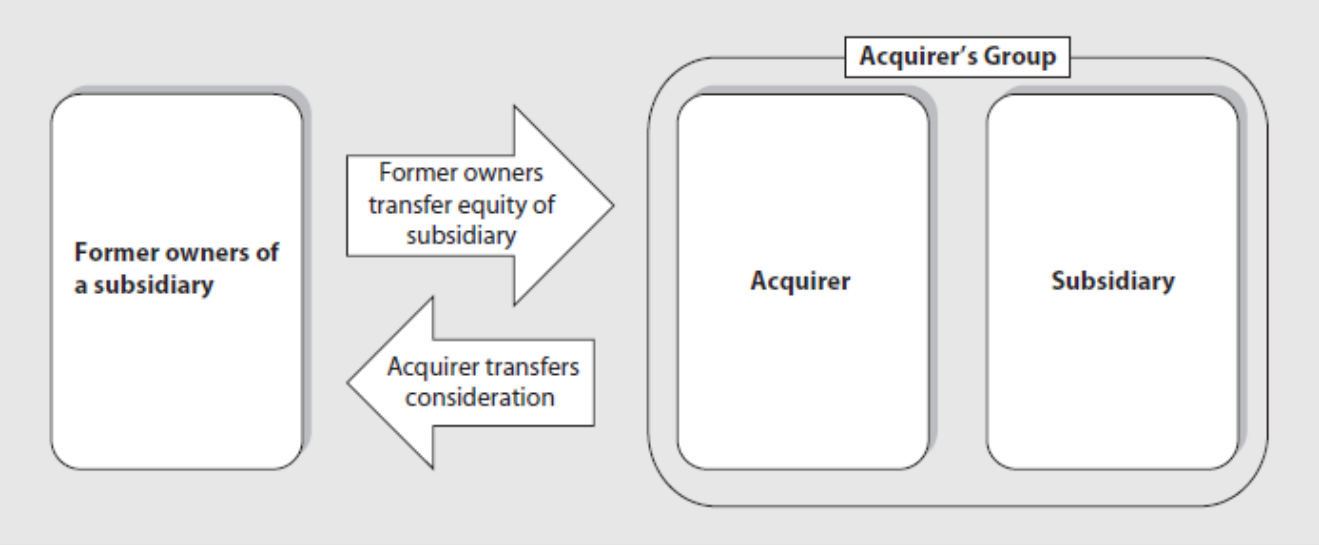
FIGURE 3.3 Direct acquisition of net assets of acquired businesses



Businesses Become Subsidiaries of the Acquirer

In this business combination, the acquirer obtains control of separate legal entities normally through the acquisition of voting rights or equity of other legal entities. Figure 3.4 shows the exchange of net assets for equity in this form of business combination. However, IFRS 3[6] recognizes that there are other ways to obtain control besides acquisition of voting rights by the acquirer. For example, the acquirer and acquiree may agree to combine their businesses by contract alone. An acquiree may also buy back its own shares from other investors such that the shares held by an existing investor leads to control for that investor. For example, if an acquiree buys back 70% of its shares from three of its four investors, the fourth investor that has 30% ownership interest effectively has 100% control after the share buy back. An acquirer may also obtain control of voting rights of an acquiree when barriers that prevent control are removed. For example, veto rights held by other investors may lapse leaving one investor with control.

FIGURE 3.4 Businesses become subsidiaries of the acquirer

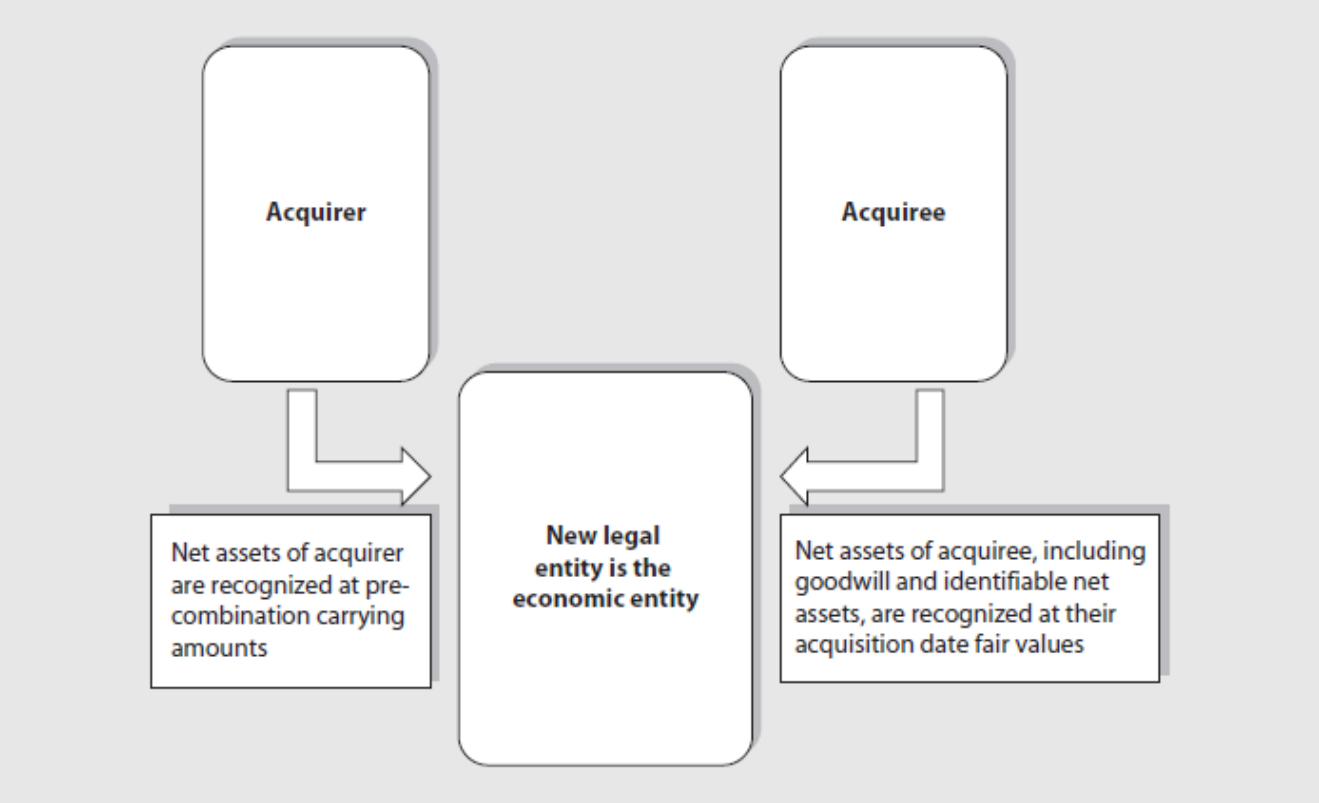


When businesses become subsidiaries, the acquirer recognizes goodwill in the consolidated financial statements. Consolidation is required because the acquirer and acquiree remain as separate legal entities. Non-controlling interests in the net assets of the acquiree will also feature in the consolidated financial statements.

Net Assets of Combining Entities Transferred to a Newly Formed Entity

In this business combination, the acquirer and acquiree transfer their assets and liabilities to a newly formed entity. Figure 3.5 graphically presents this mode of business combination. This arrangement is commonly referred to as a "roll-up" or "put-together" transaction.[7] In this situation, the new legal entity incorporates the assets and liabilities of the enlarged economic entity. For example, in some jurisdictions, it may be advantageous for tax reasons to have the acquirer and acquiree exist as a single legal entity.

FIGURE 3.5 Transfer of net assets to a newly formed entity



These arrangements are sometimes referred to as "mergers," "legal consolidation," or "amalgamation" as two or more entities are legally combined into a new entity. The owners of the combining entities are given shares in the new entity. An example of such an arrangement is ExxonMobil, which was created out of an agreement to combine Standard Oil Company of New Jersey (Exxon) and the Standard Oil Company of New York (Mobil). Many mergers that arose in the 1990s and earlier periods were described as "mergers of equals" and they applied the pooling of interests method permitted by the then prevailing accounting standards. However, the term "mergers of equals" is out of place within the framework of IFRS 3 issued in 2009. In a legal arrangement where two (or more) entities are combined into a new entity, there is a need to determine which combining entity has control over the new enlarged entity. For example, in 2011, the business combination of British Airways and Iberia Airlines resulting in a new entity International Consolidated Airlines Group, S.A. (commonly referred to as IAG), while seen by the parties involved as a merger, required the identification of an acquirer under IFRS 3. In that business combination, British Airways was deemed to have acquired Iberia Airways (IAG's 2011 Annual Report, Note 2).

The controlling party is deemed the acquirer and the other party is the acquiree even though they reside under one roof. The accounting procedures applied to recognize goodwill and fair valuation of acquired net assets are the same as those which would be applied if the acquirer and acquiree had remained as separate legal entities. In other words, while the legal arrangements and the form of the combination are different, the substance is the same as with other business combinations — there is an acquirer that obtains control of one or more businesses.

In other cases, the formation of a newly formed entity signals the integration of the two entities as one and enhances the development of a unifying corporate culture and identity. In this business combination, goodwill on the acquisition is recognized in the newly formed entity's financial statements. Consolidation is not required because the separate legal entities of the acquirer and acquiree would cease to exist.

Former Owners of a Combining Entity Obtain Control of the Combined Entity

This scenario requires us to consider whether the former owners of a combining entity (the acquirer) have control of the combined entity. Typically, this requirement to look beyond the "corporate veil" to the owners is most important in a reverse acquisition or reverse takeover (RTO). If the former owners of a "legal subsidiary" have control over the enlarged economic entity, the identity of the "legal subsidiary" is effectively that of the parent and vice versa. Appendix 3B discusses reverse acquisition in greater detail.

The above are four examples of business combinations. Regardless of the form, the substance is the same — there is an acquirer who obtains control over one or more businesses. Hence, the accounting method and process to determine goodwill should be the same in all forms of business combinations.

THE ACQUISITION METHOD

In all circumstances, IFRS 3 requires the identification of the acquirer, which is the combining entity that obtains control of the other combining entities or businesses. IFRS 3 requires all business combinations to be accounted for through the application of the *acquisition method*.[8]

The acquisition method accounts for a business combination from the perspective of an acquirer. An acquirer can obtain control in an acquiree through:

1. The acquisition of assets and the assumption of liabilities of the acquiree;
2. The acquisition of a controlling interest in the equity of the acquiree; or
3. A combination of (1) and (2).

In IFRS 3, the effects of (2) and (3) are to be accounted for as if they are the effects of (1). Under the acquisition method, if an acquirer obtains control through the purchase of ownership interests in an acquiree, there is deemed to be an *effective* acquisition of the assets and assumption of the liabilities of the acquiree by the acquirer. Through the control exercised by an acquirer over an acquisition, the acquirer is deemed to also have control over the net assets of the acquiree.

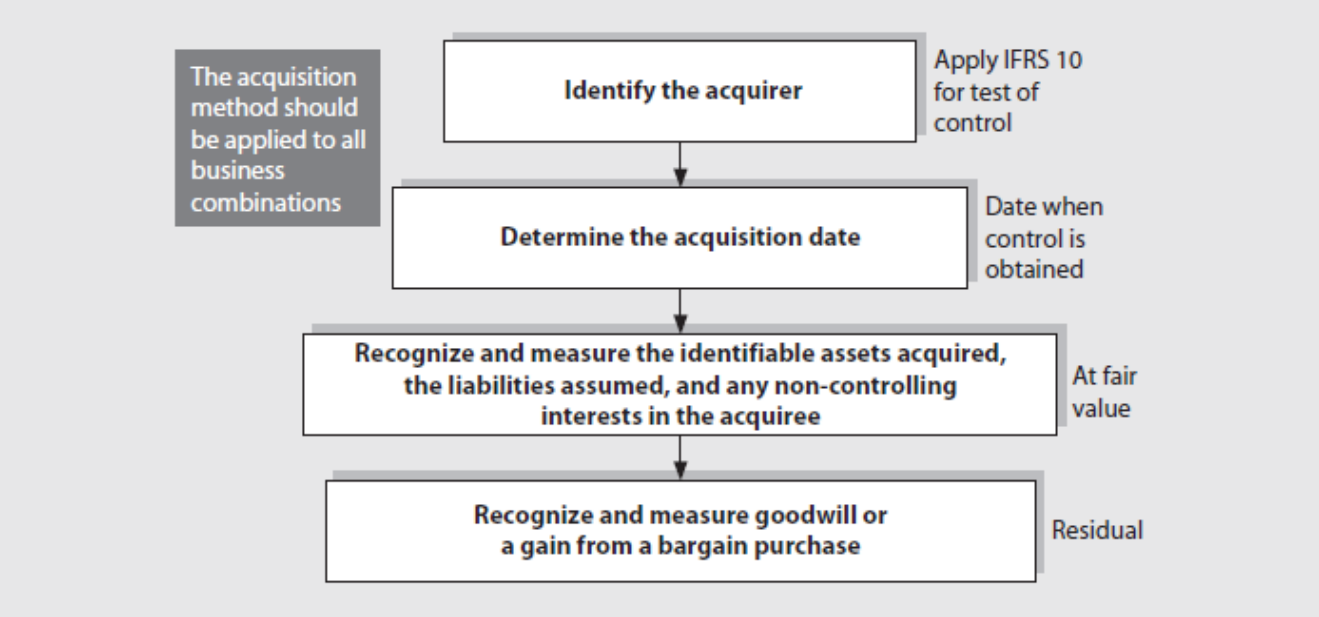
Hence, under the acquisition method, the acquirer recognizes in the consolidated financial statements the assets acquired and the liabilities assumed of the acquiree, including those assets and liabilities not previously recognized by the acquiree. Examples include:

1. Certain contingent liabilities of the acquiree;
2. Internally generated brand name and customer lists of the acquiree that could not be previously recognized in the absence of an exchange transaction; and

3. In-process research and development, and other identifiable assets that were not recognized by the acquiree because of inability to meet the recognition criteria in IAS 38 *Intangible Assets*.

However, the acquisition method does not affect the recognition or measurement of the acquirer's assets and liabilities, as it is only the acquiree's net assets that are the subject of the acquisition transaction. Since there is an effective acquisition of the net assets of the acquiree, the acquirer will recognize the acquiree's net assets at fair value at acquisition date. In subsequent periods, the fair value of the acquired assets will be expensed, depreciated, or amortized in the consolidated financial statements. The acquisition method involves the following procedures as shown in Figure 3.6.

FIGURE 3.6 Application of the acquisition method of accounting



The concept of control under IFRS 10 was discussed in Chapter 2. IFRS 3, however, recognizes that occasionally, it may be difficult to identify, which entity has control over other combining entities. In the event that the overriding principle of "control" in IFRS 10 does not conclusively determine the identity of the acquirer, IFRS 3 Appendix B, paragraphs B13–B18 provide additional criteria.

The acquirer is usually the entity:

1. That transfers cash or other assets or incurs the liabilities to acquire another entity;
2. That issues shares as consideration to acquire shares of another entity (an exception to this is a reverse acquisition where the issuer is the acquiree);
3. In a business combination primarily effected through a share exchange (that is, not through transfer of assets or assumption of liabilities);
   - Whose owners hold the largest relative voting rights in a combined entity;
   - Whose owners hold the largest minority voting interest in the combined entity, if no other entity has a significant voting interest;
   - Whose owners have the ability to elect, appoint, or remove a majority of directors or members of the governing body;
   - Whose management is dominant in the combined entity; and
   - That pays a premium over the acquisition-date fair value of the equity interests of the other entity;
4. That is relatively larger in size among combining entities; and

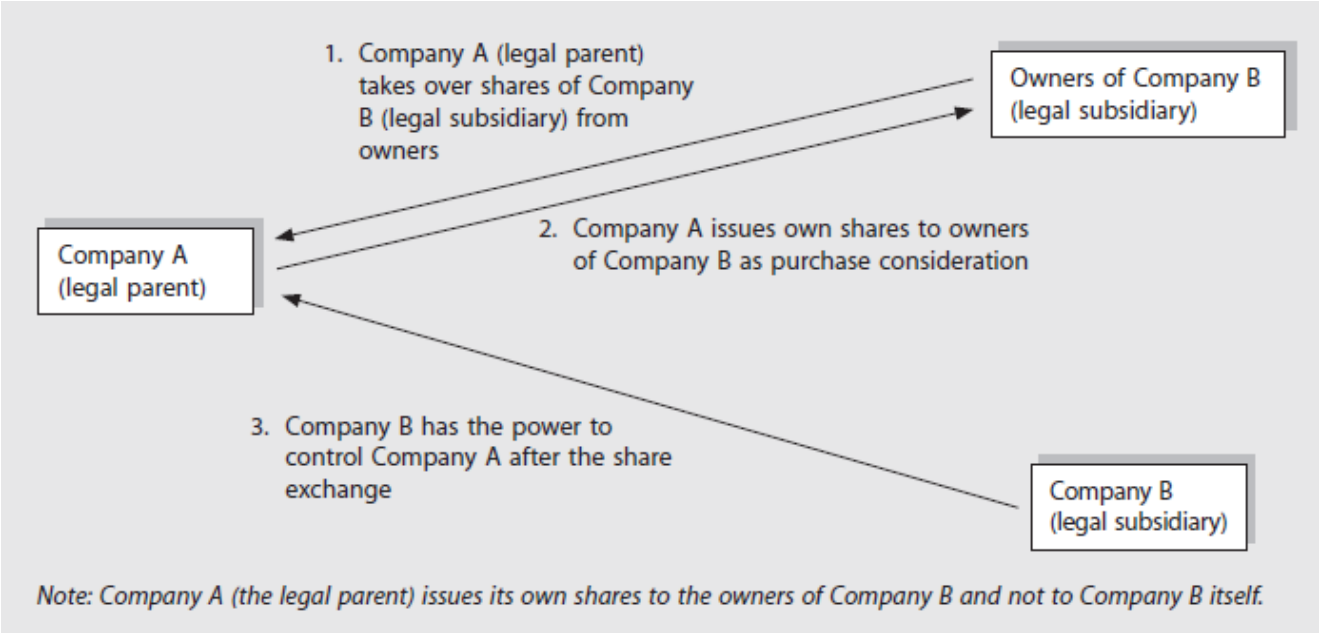
5. That initiated the business combination.

IFRS 3 does not specify that all the criteria be achieved to identify the acquirer; hence, these criteria are only meant to support the test of "control" in IFRS 10. The above criteria are particularly useful in determining the acquirer in a reverse acquisition.

In a reverse acquisition, the legal parent is effectively the acquiree while the legal subsidiary is effectively the acquirer. Although the legal parent is the entity that issues shares to acquire a legal subsidiary, a reverse acquisition is often initiated by the legal subsidiary, which may be a larger entity. One indication that a business combination may be a reverse acquisition is the motivation for entering into such an arrangement. For example, a private entity that wishes to seek a backdoor listing may arrange to have itself acquired by a public entity.[9]

Typically, the legal subsidiary (normally a private entity) in a reverse acquisition arranges for its shares to be bought over by a legal parent (normally a publicly listed entity). To finance the acquisition, the legal parent issues its shares to the vendors (existing shareholders of the legal subsidiary) (Figure 3.7).

FIGURE 3.7 Exchange of shares in a reverse acquisition



Note: Company A (the legal parent) issues its own shares to the owners of Company B and not to Company B itself.

Reverse takeovers (RTOs) are often seen as means of raising public funds without having to go through the more costly Initial Public Offerings (IPO) route. In some countries, backdoor listings through RTOs are becoming popular because of the lengthy waiting time required for the regulatory approval for IPOs.

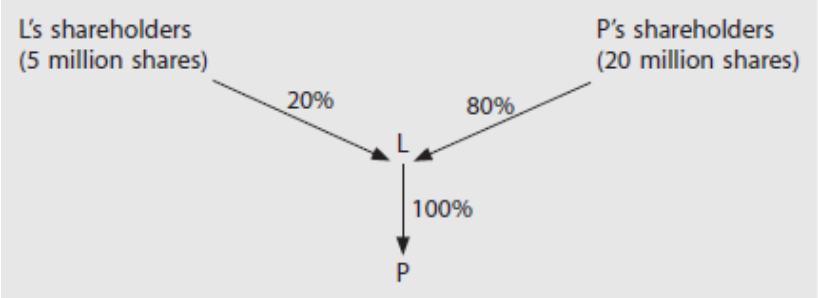
Illustration 3.1 is an example of a reverse acquisition.

ILLUSTRATION 3.1 Reverse acquisition

On 1 July 20x5, P, a private entity, arranged to have all its shares acquired by L, a publicly listed entity. The arrangement required L to issue 20,000,000 shares to P's shareholders in exchange for the existing 6,000,000 shares of P. Existing shareholders of L owned 5,000,000 shares of L.

After the issue of 20,000,000 shares by L, P's shareholders now owned 80% (20 million shares out of a total of 25 million shares) of the issued shares of L. L's existing shareholders owned 20% of the shares in L after the share issue. P's shareholders act in concert to exercise control over the combined entity. After the issue, the ownership structure is as shown in Figure 3.8.

FIGURE 3.8 Ownership structure after the share exchange



P is the effective parent or the "accounting parent" and L is the effective subsidiary or the "accounting subsidiary" in this situation because P's shareholders have control over L. Furthermore, the motivation for the arrangement suggests that P intends to obtain control over L to achieve the listing status.

When a reverse acquisition is identified, the substance of the arrangement has to be properly interpreted, and the consideration transferred and the amount of goodwill have to be determined from the acquirer's perspective, notwithstanding that the acquirer is the legal subsidiary in form. Appendix B of IFRS 3 provides guidance as to the determination of the consideration transferred and the preparation and presentation of consolidated financial statements. A full explanation of Illustration 3.1 is presented in Appendix 3B of this chapter.

DETERMINING THE AMOUNT OF CONSIDERATION TRANSFERRED

After identifying the acquirer, the next step is to determine the amount of consideration transferred by the acquirer. This amount will be used to determine goodwill.

In accordance with IFRS 3 paragraph 37, the consideration transferred by the acquirer is the sum of the acquisition-date fair value of:

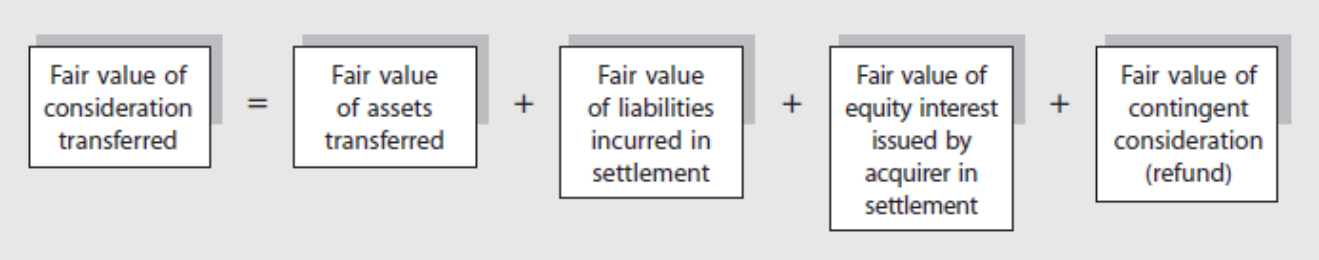
1. Assets transferred by the acquirer;
2. Liabilities incurred by the acquirer to the former owners of the acquiree; and
3. Equity interests issued by the acquirer.

The acquirer will have to transfer consideration to the former owners of the acquiree in order to obtain control of the acquiree. Consideration transferred may be in the form of assets transferred (for example, cash or non-monetary assets), liabilities incurred to the former owners (for example, deferred settlement of consideration), or equity interests issued to the former owners (for example, a share swap whereby the acquirer issues new shares to the former owners to obtain control of the shares of the acquiree). The counterparty to whom the consideration is transferred is the former owner(s) of the acquiree. For example, if the acquirer has to borrow $200 million from a bank to pay the former owners $180 million for the acquisition of a business, the loan from the bank should not be included in the fair

value of consideration transferred. Instead, the cash paid to the former owners of $180 million is the consideration transferred to obtain control.

The acquisition contract may include terms of payment that are contingent on the occurrence or non-occurrence of specified events. Contingent consideration is the obligation (right) of the acquirer to transfer (receive) additional assets or equity interests to (from) former owners of the acquiree if specified future events occur (IFRS 3 App A). An example of a contingent consideration is when the acquirer has a right to receive a refund of part of the consideration transferred if the acquiree does not achieve target profit figures. The fair value of the refund has to be estimated and deducted from the total consideration transferred (see Figure 3.9).

FIGURE 3.9 Determining the fair value of consideration transferred to obtain control



The fair value of the contingent consideration or refund will change as new information arises about the likelihood of the contingent event. The change will be accounted as a change in accounting estimate if the information does not relate to facts and circumstances existing at acquisition date.

If events after acquisition reveal information that was present at acquisition date but was missed or incorrectly applied, the change in fair value of the contingent consideration is adjusted retrospectively as a correction of error (exception to this requirement are "measurement period" adjustments, which are discussed later in this chapter) (IFRS 3:58).

Any acquisition-related costs incurred by the acquirer in relation to the business combination (for example, legal costs, due diligence costs, and stamp duties) are expensed off in the consolidated financial statements[10] page 82 and not included in the consideration transferred (IFRS 3:53). The expensing treatment in the revised IFRS 3 differs from the capitalization of direct costs in IFRS 3 (2004). The International Accounting Standards Board (the Board)[11] concluded that there should not be two distinct treatments for direct and indirect acquisition costs and hence required both to be expensed off in the revised IFRS 3.

Costs of issuing debt or equity to finance the acquisition are not part of the consideration transferred and are recognized in accordance with IAS 32 *Financial Instruments: Presentation* and IFRS 9 *Financial Instruments*. Costs of issuing equity are deducted from equity under IAS 32. For example, if the costs of issuing equity is $10,000, the costs are accounted as follows:

Dr Equity	10,000	
Cr Cash		10,000

The debit entry to equity effectively reduces the proceeds from the issue of shares.

Costs of issuing debt are deemed as yield adjustments to the cost of borrowing and are amortized over the life of the loan. Costs to raise debt to finance an acquisition increase the effective interest rate. For example, on payment of the debt issuance cost of $20,000, the entry is as follows:

Dr Unamortized debt issuance costs	20,000	
Cr Cash		20,000

The debt issuance costs are amortized over the tenure of the debt to income statement under the effective interest method and included as part of borrowing costs.

If the assets transferred or liabilities assumed by the acquirer are carried in the acquirer's separate financial statements at other than fair values (for example, at historical cost for certain non-monetary assets), the acquirer has to remeasure the transferred assets or assumed liabilities to fair value first and recognize a gain or loss in its separate financial statements.

For example, an acquirer may transfer property to the former owners of an acquiree in settlement of the purchase price. If the property is carried in the acquirer's separate financial statements at $10,000,000 but has a fair value of $12,000,000, the acquirer must recognize a gain of $2,000,000 in its own books before transferring the asset. Effectively, the gain proxies for the gain that would have arisen if the acquirer had sold the property at fair value and used the proceeds from the sale to settle the purchase price. The journal entries in the acquirer's books are as follows:

Immediately prior to transfer:		
Dr Property	2,000,000	
Cr Gain on remeasurement		2,000,000
Gain arising from remeasurement of property to fair value		
On transfer:		
Dr Investment	12,000,000	
Cr Property		12,000,000
Consideration transferred to existing owners of the acquiree		

However, the remeasurement gain or loss should not be recognized if the assets transferred or liabilities assumed remain within the combined entity's financial statements; for example, if the property in the example above is transferred to the acquiree, the remeasurement gain should not be recognized by the acquirer (IFRS 3:38) as it would be deemed to be an unrealized gain from the economic entity's perspective.

The date of exchange[12] is the date on which consideration is transferred and is not necessarily the same as the acquisition date, that is, the date on which the acquirer effectively obtains control of the acquiree. For example, an acquirer may achieve control by contract before the legal transfer of consideration is concluded. IFRS 3 requires the fair value to be determined on the acquisition date and not the date when the consideration is transferred.

The complexity of fair value determination varies in accordance with the nature of the items that are included in the consideration transferred. Monetary assets given up or monetary liabilities incurred are simply measured at their contractual amounts. When transfer of monetary assets or monetary liabilities is deferred and the effect of the time value is material, the fair value of the deferred component is the present value of the future cash outflows (IAS 37:45). For example, if a final cash settlement of $1,000,000 is due three years from the date of acquisition, and a 3% interest is levied on the deferred payment, a present value of $915,142 is included in consideration transferred in the books of the acquirer with an annual interest expense of 3% recognized in profit or loss each year.

Market prices (for example, published quoted prices of shares) are generally considered more reliable than internal valuations. However, if the shares issued by the acquirer are thinly traded, the market price may not be indicative of the fair value of the consideration transferred. In a share exchange transaction (that is, where the acquirer pays for the investment through issuing own shares to the former owners of the acquiree), the fair value of the consideration transferred should be measured at the acquisition-date fair value of shares issued by the acquirer or fair value of the shares acquired, whichever is more reliably measurable (IFRS 3:33).

In Figure 3.10, the fair value of equity interests issued by the acquirer may be determined with reference to either the acquisition-date fair value of the acquirer or the acquiree.

FIGURE 3.10 Determination of the fair values of equity exchanged

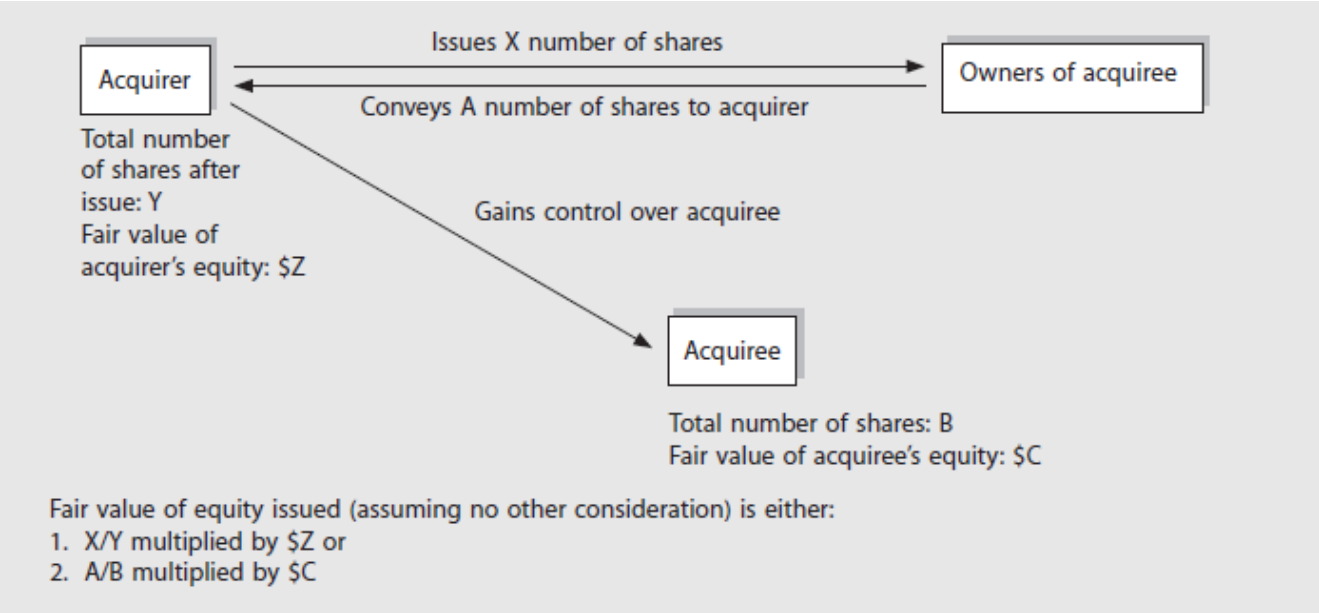


Illustration 3.2 shows the application of the requirement of IFRS 3 with respect to determining the fair value of equity instruments issued.

ILLUSTRATION 3.2 Fair value of equity issued

P Ltd acquires 100% of S Co through an issue of 5,000,000 shares to the owners of S Co. The following information relates to P Ltd and S Co at the date of exchange:

	P Ltd	S Co
Number of existing shares	10,000,000	2,000,000
Number of new shares issued	5,000,000	
Market price per share	$2.00	
Fair value of equity	$30,000,000	$9,000,000

Assume that the date of exchange is also the acquisition date.

Situation 1: P Ltd's market price is a reliable indicator of the fair value of P Ltd's quoted equity.

Consideration transferred = (P's share issue of 5,000,000 shares × Market price of $2.00 per share)
= $10,000,000

Situation 2: Fair value of S Co is a better estimate of the fair value of the shares acquired.

Since P Ltd is acquiring 100% of the equity of S Co, the fair value of the equity (i.e., the fair value of S Co as a whole including the implicit goodwill) acquired by P Ltd is $9,000,000. Hence,

Consideration transferred = $9,000,000

RECOGNITION AND MEASUREMENT OF IDENTIFIABLE ASSETS, LIABILITIES, AND GOODWILL

When a business combination is accounted for under the acquisition method, the net assets of an acquiree at the date of acquisition are recognized at fair values by the acquirer (IFRS 3:18). Under the acquisition method of accounting for business combinations, the underlying assumption is that there has been an exchange transaction at arm's-length pricing. A past event has occurred that justifies the recognition of internally generated goodwill and intangible assets and other assets and liabilities at fair value. If a business combination is effected through the direct acquisition of net assets of a business (rather than the acquisition of voting rights or equity), the acquirer will recognize the assets acquired and liabilities assumed at fair value in its separate financial statements on initial recognition. The acquirer will also recognize goodwill and internally generated intangible assets in its own books. Thereafter, the assets acquired will be depreciated or expensed off on the basis of the fair value recognized as at acquisition date.

If a business combination is effected through the acquisition of voting rights or equity of another entity, the acquirer and the acquiree will retain their separate legal identities. However, they belong to the same economic entity. As a result of the acquisition of the subsidiary by the parent, there is an effective "acquisition" of the identifiable assets and liabilities of the subsidiary at fair values. The acquisition method requires the economic entity to recognize the assets and liabilities of the acquiree at fair value as at acquisition date.

In the books of the acquiree, the identifiable assets and liabilities are carried at their book values,[13] which in some cases may be zero (for example, contingent liabilities). The individual book values in the financial statements of the acquiree may be carried at cost and may not reflect the fair values of the identifiable assets and liabilities. In an acquisition of a subsidiary, the differences between the fair values[14] and the book values of the assets and liabilities at the date of acquisition are recognized as consolidation adjustments in the consolidation worksheet.

To qualify for recognition, the identifiable assets or liabilities must comply with two conditions (IFRS 3 paragraphs 11–12):

1. They must meet the definition of an asset or a liability in the *Conceptual Framework for Financial Reporting*; and
2. They must be part of or priced into the consideration transferred and not be separate stand-alone transactions. Generally, a transaction that is entered into by the acquirer or for the primary benefit of the acquirer rather than the acquiree or its former owners before the combination is likely to be a separate transaction from the business combination (IFRS 3:52). The acquirer may have a "pre-existing relationship" with the acquiree (for example, as a supplier to the acquiree) and enters into a transaction with the acquiree to settle the "pre-existing relationship"; that settlement (for example, the proceeds from the sale of goods to the acquiree) is deemed as separate from the consideration transferred.

Pre-existing relationships may be complex and varied. A more detailed discussion is dealt with in Appendix 3C. To provide a flavor of the accounting for such settlement, a scenario is given below with explanation of the accounting

treatment as prescribed by IFRS 3.

Further Issues: Pre-Existing Relationships between Acquirer and Acquiree and Reacquired Rights

A business combination effectively ends a pre-existing relationship between an acquirer and an acquiree. From an economic entity's perspective, it is not possible to have contracts with oneself. The effective termination of a pre-existing relationship through a business combination may result in a settlement gain or loss for the acquirer. Under IFRS 3, the settlement gain or loss for a pre-existing contractual[15] relationship is the lesser of (i) the amount by which the contract is favorable or unfavorable for the acquirer when compared with current market terms for the same and similar items and (ii) the settlement amount[16] provided in the contract to the counterparty to whom the contract is unfavorable (IFRS 3:B52). The settlement gain or loss is presumed to have been priced into the fair value of consideration transferred by the acquirer. We need to recognize the settlement gain and loss separately from the business combination.

In a business combination, the acquirer recognizes "reacquired right" as an intangible asset. Since the acquirer obtains control of the acquiree, it is deemed that the rights flowing from the pre-existing contracts revert to the acquirer on acquisition date. The acquirer recognizes the value[17] of the "reacquired right" as an intangible asset on the basis of the remaining contractual term of the related contract. The measurement of fair value of this reacquired right at the date of acquisition does not take into account potential contractual renewals incorporated in market participants' assessment (IFRS 3:29).

Consider this example. Prior to acquisition date, an acquirer as franchisor entered into a contract with the acquiree to give the acquiree the right to operate a franchised outlet at $100,000 per annum. The contract between the acquirer and the acquiree gives rise to a "pre-existing relationship." Through the business combination, the acquirer is effectively reacquiring the franchised rights that it had granted to the acquiree previously.

Let us assume in our example that the market rate for the franchise is $120,000 per annum at acquisition date and the remaining contractual term is three years. The discount factor is 5% per annum over three years. In this example, the terms of the contract are unfavorable to the acquirer as the contracted fee is $100,000 but the market rate is $120,000. Included in the contract is a penalty provision of $60,000 for early termination of the franchise. Applying paragraph B52 of IFRS 3, the acquirer recognizes a settlement loss of $54,465 (which is the present value of the fee difference $20,000 discounted at 5% per annum over three years) being the lower between the amount by which the contract is unfavorable to the acquirer based on current market terms for the same or similar items (that is, $54,465) and the amount of stated settlement provision available to the acquiree (that is, $60,000). The credit entry to investment in acquiree is to reverse the implicit inclusion of the settlement in the investment account.

Dr Settlement loss (I/S)	$54,465	
Cr Investment in acquiree		$54,465

The value of the reacquired rights of the remaining term is recognized by the acquirer as an intangible asset. Since the acquirer has the right to begin new contracts with third parties at $120,000 per annum, the value of the reacquired rights is the present value of $120,000 per annum for three years at 5% per annum is $326,790.

On consolidation, the investment in acquiree is eliminated and the intangible asset is recognized. A partial elimination entry is shown below (more is explained in the subsequent sections):

Dr Intangible asset – reacquired right	$326,790	
Cr Investment in acquiree		$326,790

The intangible asset is subsequently amortized over the remaining contractual period of three years. If the right is sold to a third party, the acquirer uses the carrying amount (that is, the unamortized amount at the date of sale) to determine the gain or loss on sale. In our example, the consolidation entry is reflected in the first year of acquisition:

Dr Amortization of intangible asset	$108,930	
Cr Accumulated amortization . .		$108,930

Under the acquisition method, the acquirer is deemed to have acquired the goodwill and identifiable assets and liabilities of the acquiree at fair value. The acquirer would thus recognize the acquiree's assets and liabilities at acquisition date fair value. This principle holds in any form of business combination. Various forms of business combinations were discussed in an earlier section. For example, the assets and liabilities at acquisition date fair values are recognized in the consolidated financial statements (if the acquirer obtains control of another legal entity) or the acquirer's own books (if there is a direct acquisition of net assets of acquired businesses) or a newly formed entity (if the acquired net assets are transferred to a newly formed entity).

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Once recognized, the fair value of identifiable assets and liabilities of the acquiree is initial cost to the acquirer as at the date of acquisition. Hence, the subsequent depreciation, amortization expense, or cost of sales of identifiable net assets of an aquiree would be determined on the basis of the fair values recognized as at the acquisition date. In a direct acquisition of net assets of acquired businesses, the initial and subsequent accounting for these net assets will be the same as for stand-alone assets that are purchased by the acquirer. At acquisition date, the acquirer will recognize identifiable assets and liabilities at fair value in its books. Goodwill is also recognized as an asset in the acquirer's books. Subsequently, the acquirer will depreciate the initial fair value of the acquired fixed assets over their remaining useful life or expense off the cost of sales based on the initial fair value of inventory. The same accounting applies if the net assets of an acquiree are transferred to a newly formed entity.

However, if the acquirer and acquiree remain as two separate legal entities, the acquirer recognizes only an investment in subsidiary as an asset and the acquiree continues to carry its assets and liabilities on the basis of its accounting policies, typically historical cost. On consolidation, the investment in subsidiary has to be eliminated and in its place, the acquisition-date fair values of identifiable assets and liabilities and goodwill have to be recognized. Subsequently, consolidation adjustments have to be put in place to adjust depreciation and cost of sales of the acquired assets to reflect the acquisition-date fair values of the acquired net assets. In substance, the acquirer must recognize and account for the acquisition-date assets and liabilities of the acquiree as if these assets and liabilities were bought directly by the acquirer.The consolidation adjustments with respect to the fair value differential of identifiable assets and liabilities and their subsequent cumulative depreciation and amortization must be repeated at each consolidation year-end for as long as the investment in the subsidiary remains.

Intangible Assets

Besides recognizing the excess of fair value over book value of existing on-balance sheet assets, the acquirer has to recognize the fair value of an acquiree's unrecognized identifiable assets, for example, internally-generated intangible assets. An acquiree's unrecognized intangible assets has a zero book value on its statement of financial position, but the acquisition event justifies the recognition of intangible assets at fair value as at the date of acquisition by the acquirer.

The acquirer recognizes an acquiree's intangible assets separately from goodwill, if the recognition criteria in IFRS 3 paragraphs 11–14 are met. In the previous section, we had explained the two conditions for recognition under IFRS 3. The item recognized must first comply with the definition of an asset or a liability under the conceptual framework. For example, an acquiree has a well-established customer base that it had built up over the years through its marketing activities. Although the acquiree had expensed off its marketing costs, a past event has arisen that gives the acquiree control over the customer base, which gives rise to future economic benefits.

The second condition for recognition is that the asset acquired must be part of the exchange transaction in the business combination. In the example of the customer base, the acquirer would have included the fair value of this valuable asset in determining the economic price of the exchange transaction. Implicit in the investment price is an identifiable intangible asset. This asset has to be recognized by the acquirer as an intangible asset on its statement of financial position.

How is goodwill different from intangible assets? IAS 38 *Intangible Assets* defines an intangible asset as an "identifiable non-monetary asset without physical substance." Identifiability is met by either one of the following two conditions:

1. The intangible asset is separable ("separability criterion"[18]); or
2. The intangible asset arises from contractual or other legal rights ("contractual-legal criterion"[19]).

One of the most valuable assets that an acquiree has is its brand names and customer relationships. When Heineken acquired Asia-Pacific Breweries in 2012, it acquired the iconic Tiger Beer brand among other assets held by Asia-Pacific Breweries. In its footnote disclosures, Heineken reported a fair value of EUR 3,809 million of intangible assets acquired. The intangible assets alone was approximately 64% of total assets acquired whose fair value was EUR 5,976 million. The intangible assets relate to capitalized brands and customer-related and contract-based intangible assets.

Since goodwill is a payment for anticipated benefits that are not capable of being individually identified and separately recognized,[20] it is inappropriate for an identifiable intangible asset to be subsumed in goodwill. Thus, an acquirer recognizes an in-process research and development project of the acquiree separately if the project meets the definition of an intangible asset and its fair value is included in the exchange transaction relating to the business combination. However, in the financial statements of the acquiree, in-process research would have to be expensed off and development expenditures are capitalized only if they qualify for recognition under IAS 38.

The following are examples of intangible assets that an acquirer should recognize separately from goodwill.

1. *Contracts.* Although the rights to a contract may not be "separable", the acquirer recognizes the fair value of the contract if the rights are not yet recognized as an asset by the acquiree.
2. *Customer and subscriber lists of the acquiree*. These lists meet the "separability criterion" if there is evidence of exchange transactions for similar types of lists, even though such transactions may be infrequent. However, if the acquiree is prohibited from selling or leasing these lists, the "separability criterion" would not be met, even if there were a market for these lists and the acquirer should not recognize the lists as intangible assets (IFRS 3 App B:B33). However, in most privacy agreements with customers, there is a clause that permits the transfer of customer data to third parties under special conditions, e.g. in a sale of the business.

Conversely, the following assets are subsumed in goodwill because the "separability" or "contractual-legal" criterion are not met:

1. *Assembled workforce of the acquiree*. An assembled workforce is an existing collection of employees that permits the continuity of operations of the acquired business.[21] IFRS 3 deems the assembled workforce as not representing the intellectual capital of the skilled workforce. The assembled workforce is not an identifiable asset and is subsumed in goodwill (IFRS 3 App B:B37). One interpretation of IFRS 3 is that specialized knowledge of the assembled workforce is deemed as being firm-specific and integrated with the acquiree while intellectual capital is generic and transferable to other settings and hence meets the "separability criterion."
2. *Potential contracts or contracts, that are under negotiation but are yet uncommitted, are not recognized as intangible assets and are subsumed in goodwill* (IFRS 3 App B:B38). While these potential contracts are likely to be valuable, they do not meet the "separability" or "contractual-legal"

criterion at the date of acquisition. Even if subsequent events after acquisition affirm the contracts, the acquirer should not reclassify the value from goodwill to intangible assets.

The identifiability criteria provide a basis to determine whether an intangible asset should be recognized separately from goodwill. However, the criteria do not provide guidance on the measurement of the fair value of the recognized intangible assets. An acquirer needs to consider assumptions that market participants would use to price the assets in measuring fair value (IFRS 3 App B:B40). In this regard, the measurement of recognized intangible assets is likely to be highly subjective. Since intangible assets are generally unique assets, they are unlikely to be actively traded or have market values. In most cases, the fair value of intangible assets is determined through the use of unobservable inputs resulting in a Level 3 fair value measurement in the fair value hierarchy of IFRS 13 *Fair Value Measurement*. In the hierarchy, Level 3[22] measurements are least objective while Level 1 measurements are most objective. Acquisition accounting under IFRS 3 gives rise to Level 3 valuations if the assets of the acquiree are unique and highly firm-specific.

Contingent Liabilities and Provisions

Contingent liabilities receive special consideration in accounting for business combinations in IFRS 3. Contingent liabilities at the date of acquisition are not recognized in the financial statements of the acquiree because they are only "possible" obligations or "present" obligations that do not lead to "probable" outflow or whose amount cannot be measured with sufficient reliability (IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*). However, under IFRS 3, contingent liabilities of the acquiree are recognized by the acquirer if they arise from "present" obligations arising from past events and the fair values of these liabilities are reliably measurable even if the outcomes are not "probable" (IFRS 3:23). However, "possible" obligations arising from past events that will be confirmed only by the occurrence or non-occurrence of one or more uncertain future events not wholly within the control of the acquiree are not recognized by the acquirer under IFRS 3.

Let's consider two scenarios. In one scenario, an acquirer obtains control of an acquiree that has a contingent liability of $10,000,000 arising from a potential lawsuit for a breach of contract. Pending the court judgment, the acquiree has a "possible" obligation and reports the contingent liability in the footnotes. In this scenario, the contingent liability is only a "possible" obligation and the existence of the obligation will be confirmed only by the court judgment at a future date. In line with IFRS 3, the acquirer will not recognize this contingent liability at acquisition date. In another scenario, an acquiree is already adjudged guilty (a "present" obligation exists) but is countersuing the plaintiff. The acquiree reports that it has a contingent liability arising from a present obligation, which is not recognized because the final outflow is deemed as being not probable. In a business combination, the acquirer will assess if the fair value of the net outflow from the "present" obligation can be measured reliably. For example, consider the following possible outcomes:

Outcome	Probability	Net payment	Expected value
Win countersuit	0.80	0	0
Lose countersuit	0.20	$1,000,000	$200,000
Fair value (ignoring discounting)			$200,000

If the acquirer is able to assess the probability and net payment for each outcome reliably, it will recognize a fair value of $200,000 as at acquisition date.

The underlying assumption in IFRS 3 is that if a reliable fair value measure of a "present" obligation is available, the implied probabilities of outcomes are incorporated in the fair value measure even if the outcome is not probable. As fair value reflects "market expectations" of future outflow of economic benefits, the fair value measure captures both the amount of future outflows and the probable likelihood of their settlement. In this respect, IFRS 3 inclines toward the use of expected values or probability-weighted outcomes to determine fair values.

This is in contrast to IAS 37 that requires categorical classification of a liability. If the future outflow is less than "probable," it is not recognized under IAS 37. However, under IFRS 3, a liability, which may not have a probable

outflow may have a fair value that is greater than zero. Using statistical terminology, the approach in IAS 37 is best described as "categorical" or "binary" (that is, the decision criterion is to recognize all the liability only if it is probable or nothing if it is not probable) while the approach in IFRS 3 may be described as "continuous" (that is, recognize the liability if the expected value of the item is not zero and is reliably measurable). For example, if a contingent liability from a "present" obligation has a probability of 0.1 for a loss outcome of $500,000 and a probability of 0.9 for an outcome of zero loss, an expected liability of $50,000 should be recognized if the probabilities and the loss outcomes are reliably measurable. However, in the acquiree's financial statements, the contingent liability would not be recognized as it is not probable and fails to meet the threshold.

The measurement approach in IFRS 3 is more progressive than the underlying approach in IAS 37. However, the use of categories in accounting measurements is well entrenched in the history of financial reporting. In a business combination setting, the probabilistic measurement of future outcomes is an integral part of the negotiation and valuation process and is incorporated in the pricing of the acquisition. However, in routine reporting outside of a business combination, information on probabilities and outcomes may be more difficult to obtain. Hence, a schism exists between IFRS 3 and IAS 37, with greater use of more probabilitistic fair value measures in acquisition accounting.

The unique treatment of contingent liabilities and intangible assets in business combinations is probably due to the concern of standard-setters that too many "identifiable" elements are subsumed in goodwill, which is a non-identifiable residual. Essentially, IFRS 3 presumes that an acquirer would have conducted a proper valuation of an acquiree prior to acquisition, and would have established the fair values of identifiable assets and liabilities, including contingent liabilities. Hence, the consideration transferred should be allocated to "known" items such as contingent liabilities and intangibles, if their fair values are reliably measurable. When these identifiable items are separately recognized, the unidentified residual reflects a purer measure of goodwill.

When a contingent liability from a "present" obligation is recognized by the acquirer, a subsequent adjustment needs to be made when the contingent liability materializes. An acquiree recognizes a liability only when the outflow of resources is probable, but the acquirer recognizes a reliably measured fair value of a contingent liability at a much earlier stage. Hence, at the point when the acquiree recognizes an actual liability relating to the contingent liability, a consolidation adjustment needs to be passed through to reverse out the actual liability to avoid double-counting (Illustration 3.3).

Generally, restructuring and termination activities are likely to arise in a business combination. Special attention should be paid to the recognition criteria of IAS 37 with respect to restructuring and termination costs. Provisions for restructuring and termination costs are recognized only if all three conditions are met.[23]

1. Existence of a present constructive or legal obligation that results from a past event.

   A constructive obligation[24] arises when

   - An entity has indicated to other parties that it will accept certain responsibilities through "an established pattern of past practice, published policies or a sufficiently specific current statement"; and
   - An entity has created a "valid expectation" on the part of other parties that it will discharge those responsibilities.

2. Expectation of probable outflow of economic resources.
3. Reliable measurement of the amount of obligation.

Hence, if an acquiree has a restructuring plan whose execution is conditional upon it being acquired in a business combination, the existence of the plan alone does not constitute a present obligation of the acquiree if the other conditions are not met.

Indemnification Assets

In a business combination, the former owners of the acquiree may provide a contractual indemnity to the acquirer to make good any subsequent loss arising from a contingency or an asset or a liability. IFRS 3 paragraph 27 requires the following accounting for the indemnity:

1. The acquirer has to recognize an "indemnification asset" at the same time that the acquirer recognizes the indemnified asset or liability.
2. The indemnification asset has to be measured on the same basis as that of the indemnified asset or liability, that is, at acquisition-date fair value.

For example, an acquiree is exposed to a contingent liability that arises from a present obligation that has future outflows that are less than probable. The acquirer estimates the fair value of the contingent liability to be $100,000. In the worst case scenario, a loss of $1,000,000 will be incurred and in the best case scenario, no loss will be incurred. Based on probabilistic estimation, the fair value is assessed at $100,000. In the process of negotiation with the former owners of the acquiree, the acquirer obtained a contractual guarantee from the former owners to indemnify the acquirer in the worst case scenario. The acquirer recognizes a contingent liability of $100,000 and an indemnification asset of $100,000 at fair values.

As with other fair value measurements in IFRS 3 (refer to discussion under *Contingent Liabilities and Provisions)*, the effects of uncertainties in outcomes of the indemnification asset are incorporated in the fair value and a separate valuation allowance is not necessary.

At each subsequent reporting period, the acquirer remeasures the carrying amount of the indemnification asset on the same basis as that of the indemnified asset or liability. The indemnification asset is derecognized when the acquirer receives the proceeds or loses right to the asset (IFRS 3:57).

Illustration 3.3 below shows the accounting by the acquirer for a provision and an indemnification asset.

ILLUSTRATION 3.3 Recognition of contingent liability and indemnification asset

On 1 January 20x3, Prism acquired control of Apex from Valley. On acquisition date, Apex had an obligation to pay license fees to Crimson (a third party) but the amount of the fees was in dispute. The dispute was to be settled through an independent arbitrator. The expected date of settlement was 31 December 20x5. Legal counsel had advised Apex on the likelihood of the outcome as follows:

Outcome	Probability	Settlement
Worst case settlement	0.20	$500,000
Moderate case	0.10	200,000
Best case settlement	0.70	0

As a result of the unresolved fee dispute, Valley agreed to reimburse Prism for the final settlement amount in the moderate or worst case settlement. On 31 December 20x4, legal counsel advised that the likelihood of the moderate case situation has increased to 0.40 while the likelihood of the best case settlement is decreased to 0.40. On 31 December 20x5, the arbitrator awarded $200,000 to Crimson. The cost of capital of Apex is 5% per annum throughout 20x3 to 20x5.

This illustration shows the impact on the statement of changes in financial position and income statement in Prism's consolidated (economic entity) financial statements on 1 January 20x3, 31 December 20x3, 31 December 20x4, and 31 December 20x5. We ignore tax effects in this illustration. At the company level, Apex would not have recognized the contingent liability until the expense arose in 20x5. Prism would also not have recognized a contingent

asset until an actual gain arose in 20x5. Hence, the recognition of the provision and the indemnification asset occurs at the group level.

Explanatory note:

On 1 January 20x3, the acquisition date, Prism recognizes a provision for license fees that it "acquired" when it obtained control of Apex. At the same time, it recognizes an indemnification asset, which is the amount it would receive from Valley in the moderate or worst case settlement. Since settlement is at a future date, the expected payment and reimbursement should be discounted to present value. The present value of the expected value is the fair value of the recognized provision and indemnification asset.

Determination of fair value of provision and indemnification asset on 1 January 20x3

	Probability	Payment	Expected value
Worst case	0.2	$500,000	$100,000
Moderate case	0.1	200,000	20,000
Best case	0.7	0	0
Expected value			120,000
Expected period	3 years		
Apex's cost of capital	5% p.a.		
Present value of expected value			103,661

As time value of money is recognized, interest expense and interest income will be recognized on the provision and the indemnification asset. Since the future value ($120,000) is different from the present value ($103,661), interest income and interest expense is recognized through the amortization process. Effectively, there is an unamortized discount of $16,339 on the provision and indemnification asset. The following table shows the amortization of interest over the three years, before the change in accounting estimate is incorporated.

Amortization of interest (before change in estimate)

Date	Interest	Carrying amount
1 Jan 20x3		$103,661
31 Dec 20x3	$5,183	108,844
31 Dec 20x4	5,442	114,286
31 Dec 20x5	5,714	120,000

On 31 December 20x4, Prism applies the new information to revise the estimate of the final settlement. Since the change arises from information on facts and circumstances on current date, the change is a change in estimate and not a correction of error. Prism will adjust the balances of its provision and indemnification asset including the remaining unamortized discount. As the adjustment in the provision and indemnification asset offset each other perfectly, there is no impact on the income statement. The following table shows the revised expected value as at 31 December 20x4.

Revised fair value of provision and indemnification asset on 31 December 20x4

	Probability	Payment	Expected value
Worst case	0.2	$500,000	$100,000
Neutral	0.4	200,000	80,000

Best case	0.4	0	0
Expected value			180,000
Expected period	1 year		
Apex's cost of capital	5% p.a.		
Present value of expected value			171,429

Amortization of interest (after change in estimate)

Date	Interest	Carrying amount
1 Jan 20x3		$103,661
31 Dec 20x3	$5,183	108,844
31 Dec 20x4	5,442	114,286
Adjustment		57,143
Revised balance		171,429
31 Dec 20x5	8,571	180,000

On 31 December 20x5, the final settlement is made. The information on the final outcome results in a change in estimate that is adjusted to the income statement. This business combination leads to a parent-subsidiary relationship for Prism and Apex. Prism, as acquirer, will prepare a set of consolidated financial statements to present the effects of the economic entity. However, if Prism had directly acquired the net assets of Apex (rather than equity), the effects on Prism's financial statements would be the same, although no consolidated financial statements would be prepared in that situation. The extracts of Prism's consolidated financial statements are shown below:

PRISM
Consolidated Statement of Financial Position

	1 January 20x3	31 December 20x3	31 December 20x4	31 December 20x5
Assets				
Indemnification asset	$103,661	$108,844	$171,429	$0
Liabilities				
Provision for license fee	103,661	108,844	171,429	0

PRISM
Consolidated Income Statement

	31 December 20x3	31 December 20x4	31 December 20x5
Interest income	$5,183	$5,442	$8,571
Interest expense	(5,183)	(5,442)	(8,571)

The indemnification asset and provision are not set off against each other because they arise from transactions with different parties. Similarly, interest income and interest expense are not set off because finance costs (interest

expense) are reported separately.[25]

Deferred Tax Assets and Deferred Tax Liabilities Relating to the Fair Value Differentials of Identifiable Assets and Liabilities

When fair values of identifiable assets and liabilities are recognized, the acquirer has to consider consequential tax effects. IAS 12 *Income Taxes* requires the tax effects on the differences between fair values and book values to be accounted for as deferred tax liabilities or deferred tax assets if the basis for taxation does not change with the business combination. In most taxation regimes, tax is assessed on the legal entity's taxable income and tax deductions on assets do not change when the legal entity is acquired by another entity. For example, tax authorities grant capital allowances or tax depreciation on the basis of the original cost of the asset. An acquisition event does not change the allowances. In other words, if tax authorities allow deductions on the basis of the original cost of the asset (rather than its fair value as at acquisition date), the difference between the fair value recognized by the acquirer as at acquisition date and the carrying amount of the asset in the acquiree's books as at that date gives rise to a taxable temporary difference or deductible temporary difference. A taxable temporary difference is the future taxable income that arises from the recovery of the excess of fair value over book value of identifiable net assets. Conversely, a deductible temporary difference is the reduction in future taxable income that arises from the outflow of undervalued liabilities or recovery of overvalued assets. These temporary differences give rise to deferred tax liabilities or deferred tax assets as at acquisition date (IAS 12:18a).

IAS 12 requires the recognition of deferred tax liabilities or deferred tax assets on taxable or deductible temporary differences arising from the initial recognition of fair value adjustments of assets or liabilities in a business combination. For example, if the fair value of inventory is $50,000 and the original cost is $30,000, the excess of $20,000 gives rise to future taxable income (referred to as a "taxable temporary difference" in IAS 12). Future taxable revenue from the inventory is $50,000 but future deductibility on the basis of cost is only $30,000 giving rise to future taxable income of $20,000. Since fair value is recognized under the acquisition method, the future tax payable (referred to as "deferred tax liability") should also be recognized. However, no deferred tax liability should be recognized on the goodwill asset (IAS 12:15*a*). Goodwill is a residual and should not in itself give rise to other effects. Deferred tax is discussed in greater depth in Chapter 11.

1. An excess of fair value over book value of an identifiable asset gives rise to a deferred tax liability. This is because the excess gives rise to an increase in future economic benefits that will be taxed when realized. The increase in future tax payable is recognized as a deferred tax liability at the date of acquisition by the acquirer.[26]
2. An excess of book value over fair value of an identifiable asset gives rise to a deferred tax asset. If fair value is below book value, the realization of a lower level of future economic benefits will give rise to lower future taxable income and a lower tax payable in the future. The reduction in future tax payable constitutes a deferred tax asset as at the date of acquisition, which is recognized by the acquirer.
3. Conversely, an excess of fair value over book value of an identifiable liability gives rise to a deferred tax asset, and an excess of book value over fair value of an identifiable liability gives rise to a deferred tax liability.
4. For simplicity, we can assume a right of set-off between deferred tax assets and deferred tax liabilities and show a net position (that is, either a deferred tax liability or a deferred tax asset on the net difference between fair values and book values of identifiable net assets) when we allocate the consideration transferred.
5. Note that the deferred tax liabilities or deferred tax assets recognized on the fair value adjustments are adjustments to the deferred tax liabilities or deferred tax assets that are already in existence in the financial statements of the acquiree.

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Classification or Designation of Identifiable Assets Acquired or Liabilities Assumed

Classification or designation of identifiable assets or liabilities is made by the acquirer with respect to the information, conditions, and corporate policies existing as at the acquisition date. IFRS 3 requires a "fresh start" approach when an

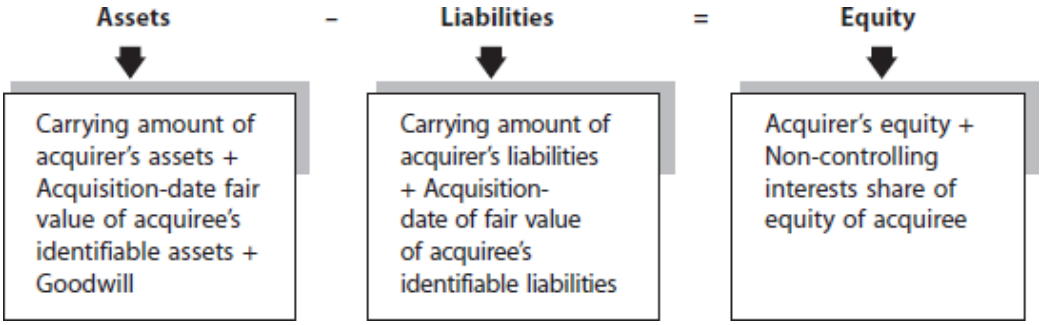
acquirer obtains control of an acquiree. A primary principle in acquisition accounting is that the acquirer has effectively acquired the net assets of an acquiree in a business combination. Hence, the classification and designation of the assets and liabilities is determined by information, conditions, and policies of the acquirer at acquisition date. Therefore, the classification in the consolidated financial statements may differ from the existing classification of that asset or liability in the acquiree's financial statements. For example, a bond investment that is classified fair value through other comprehensive income securities in the acquiree's financial statements may be reclassified to amortized cost securities in the consolidated financial statements if the acquirer's business model is to hold such bonds to collect coupon payments to maturity.

On acquisition, the acquirer is required or permitted to re-designate an asset or liability in accordance with its accounting policies. The acquirer is also required to apply the appropriate accounting standards on classification and designation of the acquired asset or liability in the light of conditions, information, and corporate policies at acquisition date. For example, an acquiree may have a building that is classified as fixed assets on its statement of financial position. However, on acquisition, the acquirer may choose to rent out the building rather than occupy it. The building would be designated as investment property on acquisition.

Non-controlling Interests

Non-controlling interests arise when the acquirer obtains control of a subsidiary but does not have full ownership of the voting rights of that subsidiary. Non-controlling interests are the other shareholders of the subsidiary. In a business combination, the acquirer recognizes non-controlling interests as equity. Since the assets and liabilities of the acquiree are consolidated in full and not proportionately with the assets and liabilities of the acquirer, non-controlling interests are recognized to represent outside interests' share in the net assets of the acquiree. The familiar accounting equation is expanded below to include non-controlling interests. At acquisition date, the following components will be recognized on the consolidated financial statements.

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What is the basis of measurement of non-controlling interests as at acquisition date? IFRS 3 allows acquirers one of two basis of measurement for each business combination. IFRS 3 is generous in this regard. The acquirer is not constrained by an accounting policy that applies to all business combinations but makes the choice for each business combination. Non-controlling interests at acquisition date are measured at either:

1. Fair value; or
2. The present ownership instruments' proportionate share in the recognized amounts of identifiable net assets.[27]

Under the first alternative, the acquirer needs to obtain a reliable measure of fair value of non-controlling interests. The most objective measure is a quoted price in an active market of the acquiree's shares. However, quoted prices are rarely available for acquired subsidiaries. By virtue of the majority shareholding by the acquirer, the acquiree is typically a private entity. In the absence of quoted prices, the acquirer may use valuation techniques to value the non-controlling interests. The acquirer may use peer companies' valuation or make appropriate assumptions to value non-controlling interests as at acquisition date.

Typically, the fair value of non-controlling interests as at acquisition date is as follows:

$$\text{Fair value of non-controlling interests at date of acquisition} = \text{Percentage shareholding of non-controlling interests} \times \text{Fair value of the acquiree as at date of acquisition}$$

Generally, the fair value of non-controlling interests as at acquisition date would not be proportional with the fair value of consideration transferred by the acquirer to obtain control. Often, a control premium is paid by the acquirer to obtain control and should not be included in the fair value of non-controlling interests at acquisition date.

Under the second alternative, the acquirer applies the present ownership interests held by non-controlling interests to the recognized amounts of identifiable net assets to determine the initial amount of non-controlling interests. If non-controlling interests have potential ordinary shares (for example, convertible bonds or options), these other ownership interests should be measured at fair value.

Measuring non-controlling interests as a proportion of the fair value of identifiable net assets was the basis of measurement in the previous version of IFRS 3. Measuring non-controlling interests at fair value is a new measurement basis introduced in the current version of IFRS 3. Although an option is permitted for the basis of measurement for the initial recognition of non-controlling interests under IFRS 3, the US GAAP equivalent (US Codification Topic 805 *Business Combinations* previously Statement of Financial Reporting Standard 141(R) *Business Combinations*) does not permit the option. Acquirers applying US GAAP have to recognize non-controlling interests at full fair value. The Board, in their Basis of Conclusions, upheld the principle that "an acquirer should measure all components of a business combination, including any non-controlling interest in an acquiree, at their acquisition-date fair values."[28] Permitting a choice was not the first preference of the Board as it reduces comparability but the option was given to enable the standard to be issued in the absence of a Board consensus on a single measurement basis.[29]

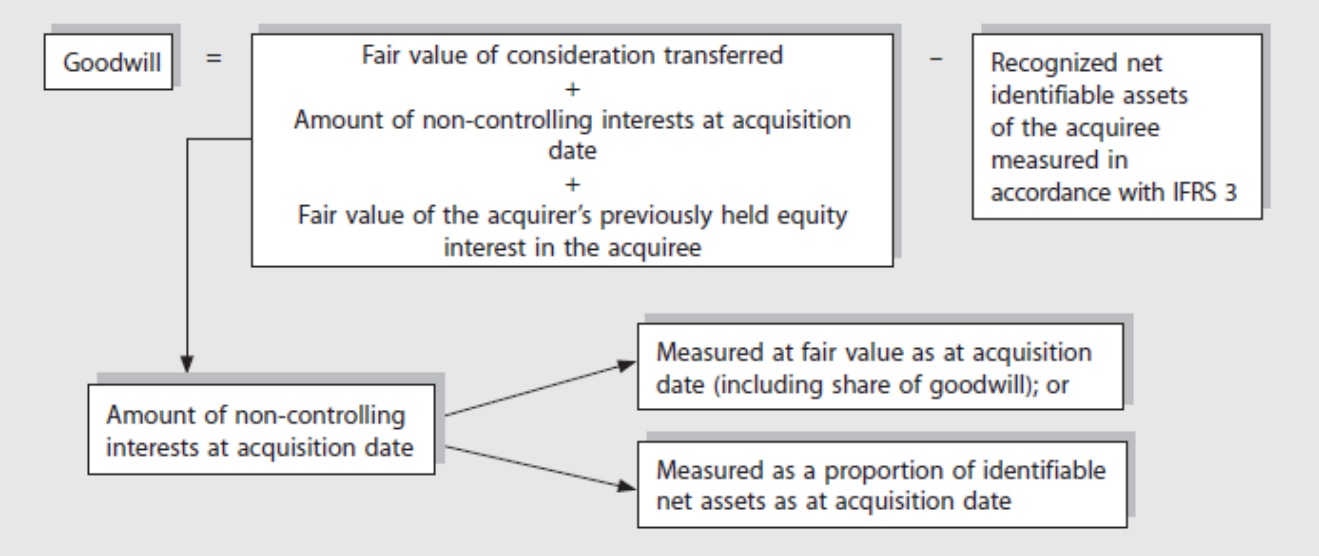
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Goodwill

Goodwill is an unidentifiable asset whose existence is an important motivation for an acquirer to obtain control of the acquiree. Goodwill is the premium that an acquirer pays to achieve synergies from the business combination. The acquirer is required to recognize goodwill acquired in a business combination separately as an asset (IFRS 3:32).

Under IFRS 3, goodwill is determined as a residual in accordance with the equation shown in Figure 3.11. Goodwill under IFRS 3 may be one of two values depending on the measurement basis for non-controlling interests as at acquisition date shown in Figure 3.11.

FIGURE 3.11 Goodwill determination



Hence, goodwill arising from a business combination may assume one of two figures since IFRS 3 allows two bases for measuring non-controlling interests. If non-controlling interests are measured at full fair value, goodwill recognized in the consolidated financial statements will include non-controlling interests' share of goodwill. Unless otherwise indicated, the illustrations and problems in this text use the full fair value approach to recognize non-controlling interests and to determine goodwill.

If an acquirer purchases shares in an acquiree in stages, the previously held equity interests in the acquiree before acquisition date will have to be remeasured to fair value at the acquisition date when control was obtained, before goodwill is computed. The illustrations and problems in Chapters 3 to 6 assume single-step acquisition, while multiple-step acquisitions are dealt with in Chapter 7.

Figure 3.11 shows that goodwill is a residual and is dependent on the reliable measurement of consideration transferred, non-controlling interests, previously held equity interests, and identifiable net assets. The residual approach in IFRS 3 to determining goodwill means that goodwill may capture identifiable assets or liabilities that fail to meet the recognition or measurement criteria in IFRS 3. In IFRS 3 Appendix B, goodwill is defined as "an asset representing the future economic benefits arising from other assets acquired in a business combination that are not individually identified and separately recognized."

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While goodwill is determined as a residual, it should in substance be:

1. An expectation of future economic benefits arising from the acquisition; and
2. An asset that is integral to the entity as a whole, which is not individually identifiable or separable as a stand-alone asset.

However, any recognition or measurement error in the determinants of goodwill (that is, consideration transferred, non-controlling interests, fair value of previously held equity interests, and recognized amounts of identifiable net assets) will result in the residual capturing elements that are not essentially goodwill in nature.

Johnson and Petrone (1998)[30] describe the residual approach of measuring goodwill as a "top-down approach." However, they suggest that this approach may include non-goodwill items if recognition or measurement errors are not corrected. The Exposure Draft to Statement of Financial Accounting Standard 141 (1999, 2001)[31] and Johnson and Petrone (1998) suggest that the following should not be considered as "goodwill":

1. Recognition and measurement errors relating to identifiable net assets. These errors may arise from the inability to obtain reliable fair values for a recognized asset or liability. Errors may also arise from the failure to recognize an identifiable asset (for example, an intangible asset) or an identifiable liability. Since goodwill is an unidentifiable asset, it should not include any unrecognized identifiable asset or liability or measurement errors relating to an identifiable asset or liability.
2. Overpayment for an acquisition or overvaluation of consideration transferred. In a bidding war, the acquisition price may include a bidding premium that is not substantiated by future economic benefits. Overpayment is likely to lead to goodwill impairment losses.

Since IFRS 3 uses the residual approach to determine goodwill, there is a risk that recognition and measurement errors and non-goodwill elements are included in goodwill. If there is an overpayment for an acquisition, it is our view that the likelihood of a "Day 1" impairment loss rises and in principle, the impairment loss should be recognized immediately. With respect to measurement and recognition errors, the one-year "measurement period" is important to re-assessing the values recognized to ensure that goodwill does not capture identifiable elements or recognition or measurement errors.

Goodwill arises because a combination of net assets or a combination of entities yields a higher return than stand-alone assets or stand-alone entities. In their analysis, the aforementioned FASB's Exposure Draft and Johnson and Petrone (1998) propose that goodwill includes:

1. "Core goodwill," or the internally generated goodwill, of the acquiree as a stand-alone entity. This goodwill is the "going concern element" of the acquiree and represents the ability of the acquiree to earn a higher rate of return as an entity than would be expected from the individual assets of the entity. Core goodwill is the

synergies among the assets of an acquiree such that the fair value of the acquiree is greater than the sum of the fair value of identifiable net assets of the acquiree.

2. Fair value of synergies (or "combination goodwill" as described by Johnson and Petrone) that are generated from the unique combination comprising the acquirer and the acquiree. Combination goodwill is the synergies among the group entities such that the fair value of the group is greater than the sum of the fair value of the individual entities.

In the previous section, we had explained that business combinations may take different forms. Regardless of the mode of business combination, the acquisition method should be applied and would give rise to the same effects. If the acquirer acquires directly the net assets of a business, the acquirer would recognize the identifiable assets and liabilities and goodwill onto its own books. There will be no difference between the legal entity and economic entity of the acquirer. In a business combination where the net assets of the acquirer and acquiree are transferred to a newly formed legal entity, the carrying amount of the net assets of the acquirer and the fair value of the net assets of the acquiree and the resulting goodwill will be transferred to the newly formed legal entity. However, if the acquirer obtains control through the acquisition of voting rights, the acquirer and the acquiree will have a parent-subsidiary relationship and consolidated financial statements will be prepared. The consolidated financial statements will show the effects of the combined entity as one economic unit and will show the effects of the acquisition as if the acquirer is directly acquiring the net assets of the acquiree. In all three scenarios, the same effects will be reported on the statement of financial position.

Illustration 3.4 relates to the direct acquisition of identifiable net assets of the acquiree while Illustration 3.5 relates to the acquisition of voting rights of an acquiree. Both illustrations show how goodwill is determined in accordance with IFRS 3.

ILLUSTRATION 3.4 Direct acquisition of net assets of a business

On 1 July 20x1, Diamond Co and Gold Co concluded on an agreement to transfer the business of Gold Co to Diamond Co in exchange for consideration to be transferred by Diamond Co to Gold Co as follows:

(a) Issue of 1,000,000 ordinary shares of Diamond Co to Gold Co on 1 July 20x1, the fair value per share of Diamond Co was $10 per share.

(b) Additional payment by Diamond Co to Gold Co if the business achieves the following profit benchmarks during the financial year ending 31 December 20x2:

Benchmarks	Payment	Probability
Profit greater than $30,000,000	$6,000,000	0.60
Profit between $15,000,000 and $30,000,000	3,000,000	0.30
Profit below $15,000,000	0	0.10

The cost of capital of Diamond Co was 5% per annum while that of Gold Co was 10% per annum.

(c) Transfer of title deeds of freehold land. The fair value of the land on 1 July 20x1 was $30,000,000, while the carrying amount at cost in Diamond Co's books was $25,000,000.

(d) Immediate payment of cash of $5,000,000.

Consultants who performed a due diligence review provided the following fair value information as at 1 July 20x1. Deferred tax liabilities include the additional deferred tax liabilities arising from the acquisition.

	Fair value of identifiable net assets
Property, plant and equipment	$10,000,000
Intangible assets	25,000,000
Inventory	6,000,000
Accounts receivable	8,900,000
Cash	3,000,000
Total assets	$52,900,000
Deferred tax liabilities	$ 1,800,000
Loans	20,000,000
Provisions	3,200,000
Accounts payable	7,600,000
Total liabilities	$32,600,000
Fair value of identifiable net assets	$20,300,000

Required:

1. Determine the fair value of the contingent consideration as at 1 July 20x1.
2. Determine the fair value of consideration transferred by Diamond Co to Gold Co as at 1 July 20x1.
3. Determine the goodwill to be recognized by Diamond Co as at 1 July 20x1.
4. Assume that the consideration was transferred in full on 1 July 20x1, show the journal entries that have to be passed by Diamond Co to record the acquisition.
5. Show the journal entries that have to be passed by Diamond Co during the year ended 31 December 20x2, assuming the following information:
   (a) Property, plant, and equipment had an average remaining useful life of ten years from acquisition date.
   (b) Intangible assets had indefinite useful life. On 31 December 20x2, the recoverable amount of the intangible assets was $20,000,000.
   (c) Seventy percent of the inventory was sold during 20x2.
   (d) On 31 December 20x2, the acquired business earned a profit of $32,000,000.

For this illustration, the tax-related entries are ignored.

1. Determination of the fair value of the contingent consideration

First, we should determine the expected value of the contingent consideration.

	Probability	Payment	Expected value
Profit greater than or equal to $30,000,000	0.60	$6,000,000	$3,600,000
Profit between $15,000,000 and $30,000,000	0.30	3,000,000	900,000
Profit below $15,000,000	0.10	–	–

Total	$4,500,000

Since the contingent consideration is payable as at 31 December 20x2, we should discount the future expected value to arrive at the present value of the expected value. We are given two discount rates — the cost of capital of Diamond Co at 5% per annum and the cost of capital of Gold Co at 10% per annum. Since the contingent payment is a promised outflow from Diamond Co to Gold Co, the default risk relates to Diamond Co not fulfilling its promise. The cost of capital that captures the default or credit risk of Diamond Co is 5%. The converse will be true if the promise relates to a contingent refund from Gold Co to Diamond Co. In this situation, we apply 10% as the discount factor.

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Present value of the expected value discounted at 5% per annum for 1.5 years is $4,182,429. The payable is best reflected as a gross amount of $4,500,000 and an unamortized discount of $317,571. The unamortized discount represents future interest expense on the payable.

2. Determination of the fair value of consideration transferred

Next, we determine the fair value of consideration transferred as at acquisition date, regardless of when the transfer is made. Since acquisition date is the date when control is obtained, we have to determine all fair value measurements as at this date to determine the goodwill that was acquired.

Consideration transferred	
Fair value of equity securities	$10,000,000
Fair value of contingent consideration	4,182,429
Fair value of land transferred	30,000,000
Cash	5,000,000
Fair value of consideration transferred	$49,182,429

3. Determination of goodwill

Under IFRS 3, goodwill is determined as a residual, after deducting the fair value of identifiable net assets from the fair value of consideration transferred. In this scenario, where there is a direct acquisition of net assets, non-controlling interests are not part of the equation.

$$\begin{aligned} \text{Goodwill} &= \text{Fair value of consideration transferred} - \text{Fair value of identifiable net assets} \\ &= \$49{,}182{,}429 - \$20{,}300{,}000 \\ &= \$28{,}882{,}429 \end{aligned}$$

4. Journal entries in 20x1

The acquirer's journal entries to record the acquisition are as follows:

1 July 20x1	Dr Land	5,000,000	
	Cr Remeasurement gain		5,000,000
	Remeasurement of land before transfer		

Explanatory note:

Diamond Co had transferred its land to Gold Co in exchange for the business of Gold Co. IFRS 3 requires the acquirer to remeasure its non-cash assets that is part of the consideration transferred. Diamond Co recognizes a remeasurement gain from the land just prior to the transfer. Effectively, the land had been sold to Gold Co in exchange

for the business. Since the land is not retained by the acquirer or its acquired business, the acquirer should recognize the gain.

1 July 20x1	Dr Goodwill	28,882,429	
	Dr Property, plant and equipment	10,000,000	
	Dr Intangible assets	25,000,000	
	Dr Inventory	6,000,000	
	Dr Accounts receivable	8,900,000	
	Dr Unamortized discount	317,571	
	Cr Loans		20,000,000
	Cr Provisions		3,200,000
	Cr Accounts payable		7,600,000
	Cr Share capital		10,000,000
	Cr Contingent consideration payable		4,500,000
	Cr Land		30,000,000
	Cr Cash		2,000,000
	Cr Deferred tax liability		1,800,000
	Acquisition of business from Gold Co		

Explanatory note:

Journal entry 2 records the exchange transaction in the acquisition. There is an outflow of resources and equity from Diamond Co to Gold Co, and in turn, Diamond Co recognizes identifiable net assets and goodwill. Identifiable net assets of the acquired business are recognized at fair value. Since there is a direct acquisition of the net assets, the individual assets and liabilities are added to the existing assets and liabilities of Diamond Co. Cash of $2,000,000 represents the difference between the cash transferred of $5,000,000 and the cash balance acquired of $3,000,000. The contingent consideration payable shows two accounts — the gross payable of $4,500,000 and the unamortized discount (a contra account) of $317,571.

In practice, acquirers may not maintain separate contra accounts. However, for our purposes, we show them as separate to illustrate the principle that present value of future payments or receipts entail the recognition of interest expense or income.

5. Journal entries in 20x2

The acquirer's journal entries to record transactions in 20x2 are as follows:

20x2	Dr Depreciation	1,000,000	
	Cr Accumulated depreciation		1,000,000
	Depreciation of property, plant and equipment		

20x2	Dr Impairment loss	5,000,000	
	Cr Accumulated amortization and impairment		5,000,000
	Impairment loss of intangible assets		

20x2	Dr Cost of sales	4,200,000	
	Cr Inventory		4,200,000
	Cost of sales of inventory		

20x2	Dr Interest expense	213,010	
	Cr Unamortized discount		213,010
	Interest expense on contingent consideration		

Date	Interest	Carrying amount
1 July 20x1		$4,182,429
31 December 20x1	$104,561	4,286,990
31 December 20x2	213,010*	4,500,000

*Adjusted for rounding up differences

20x2	Dr Loss on settlement	$1,500,000	
	Dr Contingent consideration	4,500,000	
	Cr Cash		$6,000,000
	Settlement of contingent consideration		

Explanatory note:

Since the identifiable assets were recognized at fair value on acquisition date, the subsequent depreciation, impairment loss, and cost of sales were also determined on the basis of fair value. The contingent consideration payable was determined on the basis of the present value of the expected value and would give rise to interest over the period from 1 July 20x1 to 31 December 20x2. The amortization table shows the calculation of interest expense (carrying amount in 20x2 is adjusted for rounding up differences). Diamond Co recognized a loss of $1,500,000 on settlement, which is the difference between the expected value of $4,500,000 and the final settlement amount of $6,000,000.

ILLUSTRATION 3.5 Acquisition of a subsidiary

On 1 July 20x1, P Co purchased 1,500,000 shares from S Co's existing owners. The total number of shares issued by S Co was 2,000,000. A reliable measure of the fair value of S Co's share was $10.00 per share. P Co was obligated to pay an additional $1,000,000 to the vendors of S Co if S Co maintained existing profitability over the subsequent two years from 1 July 20x1. It was highly likely that S Co would achieve this expectation and the fair value of the contingent consideration was assessed at $1,000,000. Fair value of non-controlling interests as at 1 July 20x1 was $5,000,000. The identifiable net assets of S Co as at 1 July 20x1 are shown below. Tax effects on fair value differences have not yet been recognized. The tax effects on fair value differences are to be recognized on the basis that the tax bases of the identifiable assets acquired and liabilities assumed are not affected by the business combination. Assume a tax rate of 20%.

	S Co Book value	S Co Fair value	S Co Fair value less book value
Plant and equipment	$ 3,000,000	$ 2,800,000	$ (200,000)
In-process research and development	0	10,000,000	10,000,000
Other intangible assets	1,200,000	2,500,000	1,300,000
Inventory	500,000	650,000	150,000
Accounts receivable	400,000	350,000	(50,000)
Cash	50,000	50,000	0
Total assets	$ 5,150,000	$ 16,350,000	$ 11,200,000
Current and long-term liabilities	$ 1,500,000	$ 1,500,000	$ 0
Contingent liabilities	0	500,000	500,000
Total liabilities	$ 1,500,000	$ 2,000,000	$ 500,000
Net assets	$ 3,650,000	$ 14,350,000	$10,700,000
Share capital	$ 2,000,000		
Retained earnings	1,650,000		
Shareholders' equity	$ 3,650,000		

Required:

1. Determine the acquirer's interest in the acquiree.
2. Determine the fair value of consideration transferred.
3. Determine goodwill arising from the acquisition.
4. Prepare the consolidation entry to eliminate investment in S Co as at acquisition date.

1. Determination of the acquirer's interest in the acquiree

$$\text{Percentage ownership} = \frac{1{,}500{,}000}{2{,}000{,}000}$$
$$= 75.00\%$$

Since it is the majority shareholder, P has the ability to affect the variable returns of S through its voting rights. Hence, P is the parent of S.

2. Determination of the consideration transferred

Since the fair value of contingent consideration is $1,000,000, P should include the fair value in determining the consideration transferred.

$$\text{Consideration transferred} = (1{,}500{,}000 \times \$10) + \$1{,}000{,}000$$
$$= \$16{,}000{,}000$$

3. Determination of goodwill

$$\text{Goodwill} = \begin{matrix}\text{Consideration}\\ \text{transferred}\end{matrix} + \begin{matrix}\text{Fair value of}\\ \text{non-controlling interests}\end{matrix} - \begin{matrix}\text{Fair value of identifiable}\\ \text{net assets at acquisition date}\end{matrix}$$

Arising from the net fair value difference of $10,700,000 is a deferred tax liability of (20% × $10,700,000) = $2,140,000.

Therefore,

$$\begin{aligned}\text{Fair value of identifiable net assets} &= \$14{,}350{,}000 - \$2{,}140{,}000\\ &= \$12{,}210{,}000\\ \text{Goodwill} &= \$16{,}000{,}000 + \$5{,}000{,}000 - \$12{,}210{,}000\\ &= \$8{,}790{,}000\end{aligned}$$

4. Consolidation Journal entry to eliminate the investment in S Co

Dr Share capital (S)	2,000,000	
Dr Retained earnings (S)	1,650,000	
Dr Goodwill	8,790,000	
Dr In-process research and development	10,000,000	
Dr Other intangible assets	1,300,000	
Dr Inventory	150,000	
Cr Plant and equipment		200,000
Cr Accounts receivable		50,000
Cr Contingent liabilities		500,000
Cr Investment in S		16,000,000
Cr Deferred tax liability		2,140,000
Cr Non-controlling interests		5,000,000

Explanatory note:

The debit or credit to each individual asset or liability account is to adjust the book values of assets and liabilities at the date of acquisition to their fair values. The elimination of the investment entry in consolidation is repeated each year for as long as the investment exists. The processes are elaborated in Chapter 4.

However, individual assets will be depreciated, amortized or sold, and liabilities will be settled in periods subsequent to the date of acquisition. Since these assets and liabilities are adjusted to fair values as at the date of acquisition in the consolidated financial statements, the depreciation or amortization or cost of sales of these assets, subsequent to the date of acquisition, will also be recognized by the acquirer at their fair values. Hence, the cumulative depreciation and amortization effects of the fair value differences will be built up on an year-by-year basis and will finally be equal to the original fair value difference as at the date of acquisition. In a direct acquisition of net assets of a business by an acquirer, the amortization, depreciation, and expensing off the fair value of net assets acquired is recorded in the legal entity's financial statements of the acquirer. In that situation, the legal entity and the economic entity are one. For example, if the fair value of intangible asset acquired is $10,000,000 and the estimated useful life of the asset is ten years, the acquirer will record an amortization expense of $1,000,000 in its books:

Dr Amortization expense	1,000,000	

Cr Accumulated amortization 1,000,000

However, in the acquisition of a subsidiary through its voting rights, the economic entity is different from the legal entity. The year-by-year amortization entries have to be re-enacted in consolidation adjustments. They will not be passed through in the legal entity's books.

Hence, if the business combination is effected through the acquisition of shares (rather than the direct purchase of net assets), consolidation processes are necessary to show the effects of acquisition accounting on the economic entity. The detailed processes on consolidation are discussed in the subsequent chapters.

Gain from a Bargain Purchase

When an acquirer makes a bargain purchase (for example, in a forced sale), a gain arises. For example, during the financial crisis in 2008, Barclays PLC reported a gain on acquisition of £2,262 million from its acquisition of Lehman Brothers' North American business. Barclays paid total consideration of £874 million and acquired fair value of net assets of £3,136 million (Note 40(a), Barclays Bank PLC Annual Report 2008). The gain from a bargain purchase was previously described by IFRS 3 (2004) as "negative goodwill." However, this description no longer applies as it is not a "negative asset," but in essence, it is a windfall gain to the acquirer. As such, the acquirer should recognize the gain as income. The gain is attributed to the acquirer (IFRS 3:34). Since the forced sale primarily benefited the acquirer, the gain is not attributed to non-controlling interests. It is also not appropriate to recognize a gain for the acquirer and goodwill for non-controlling interest at the same time.

Essentially, a gain from a bargain purchase arises when:

$$\left(\begin{array}{c}\text{Fair value of}\\ \text{consideration}\\ \text{transferred}\end{array} + \begin{array}{c}\text{Amount of}\\ \text{non-controlling interests}\\ \text{as at acquisition date}\end{array} + \begin{array}{c}\text{Fair value of}\\ \text{previously held}\\ \text{equity interests}\end{array}\right) < \begin{array}{c}\text{Fair value}\\ \text{of identifiable}\\ \text{net assets}\end{array}$$

The gain is not recognized as a "negative asset" under IFRS 3. Instead, the acquirer must reassess the recognition and measurement of the critical variables, namely the fair value of identifiable net assets, amount of non-controlling interests at acquisition date, and the consideration transferred. If the reassessment confirms no recognition or measurement errors, the gain should be recognized immediately in profit or loss (IFRS 3:34). This treatment contrasts with that of earlier standards, where "negative goodwill" was recognized on the statement of financial position when it related to expectations of future losses and expenses identified in the acquirer's acquisition plan. Illustration 3.6 demonstrates how a gain from a bargain purchase should be accounted for under IFRS 3.

ILLUSTRATION 3.6 Gain from a bargain purchase

P Co, a venture capitalist, paid $600,000 to acquire an 80% interest in S Co. S Co had been plagued by many troubles, including a lawsuit from a competitor for patent infringement. S Co was adjudged to be guilty but was appealing against the judgment. In view of the uncertainty of the outcome of the lawsuit and its impact on the future viability of S Co, the existing owner of S Co was willing to sell the company at a discount to its net fair value. The fair values of the identifiable net assets, non-controlling interests, and the consideration transferred were reassessed and deemed to be reliably determined. Hence, the gain arising was taken to the income statement in the year of the acquisition. The fair value of non-controlling interests of S Co, unlike the fair value paid by P Co, is not at a discount. It would not be meaningful to recognize goodwill attributable to non-controlling interests and a gain from bargain purchase for P Co

at the same time. Hence, we measure non-controlling interests as a proportion of the fair value of identifiable assets instead.

Consideration transferred (A)			$600,000
Non-controlling interests as a proportion of the fair value of identifiable net assets (B)			$304,000
	Fair value	**Book value**	
Assets	$5,000,000	$5,000,000	
Liabilities	(3,000,000)	(3,000,000)	
Contingent liabilities	(600,000)	0	
Identifiable net assets	$1,400,000	$2,000,000	
Share capital		$ 500,000	
Retained earnings		1,500,000	
Equity		$2,000,000	
Excess of book value over fair value			(600,000)
Deferred tax asset on excess of book value over fair value at 20%			120,000
Fair value of identifiable net assets, after including deferred tax asset = $1,400,000 + $120,000 (C)			1,520,000
Gain from a bargain purchase = (A) + (B) – (C)			(616,000)

CJE1: Elimination of investment and recognition of gain from a bargain purchase

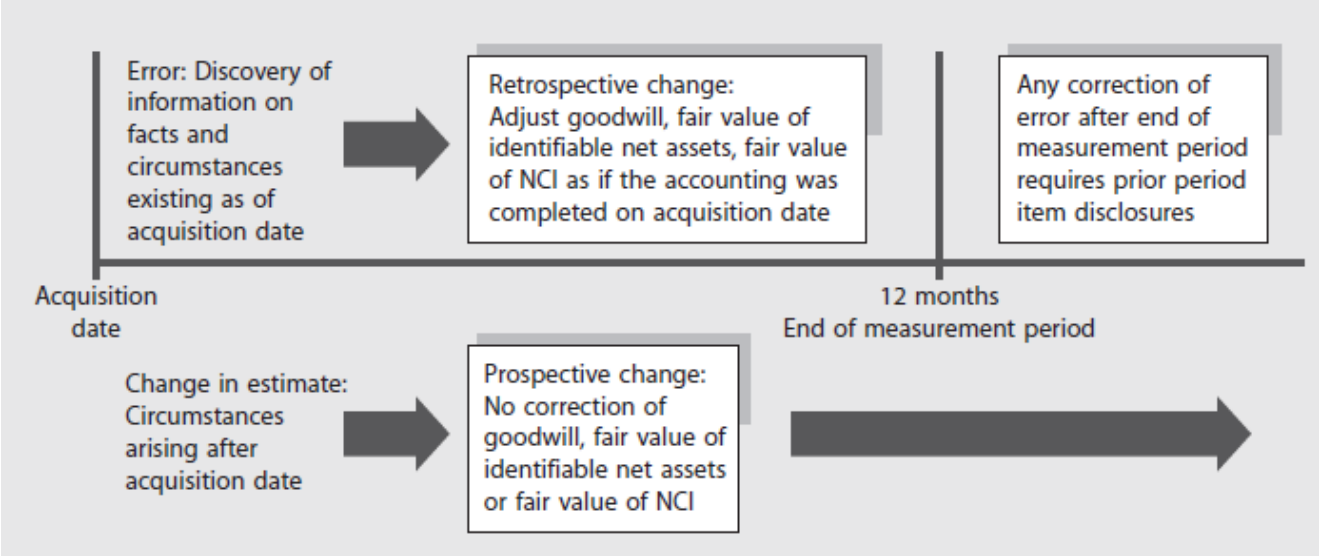
Dr Share capital	500,000	
Dr Retained earnings	1,500,000	
Dr Deferred tax asset	120,000	
Cr Investment in S		600,000
Cr Gain from a bargain purchase (I/S)		616,000
Cr Contingent liabilities		600,000
Cr Non-controlling interests		304,000

Measurement Period

IFRS 3 allows adjustments to be made retrospectively to "provisional amounts" relating to goodwill, fair values, and consideration transferred if, during a one-year period from the acquisition date, new information is obtained about facts and circumstances existing as at acquisition date (IFRS 3:45). The one-year period is known as the "measurement period." However, it is necessary to note that information that relates to events and circumstances arising after the acquisition date does not lead to measurement period adjustments. For example, the impairment loss on an acquiree's intangible asset arising from technological changes after acquisition date is not a measurement period adjustment. Hindsight correction is allowed only because of incorrect or incomplete information available as at

acquisition date. For example, the acquirer may have failed to obtain information on all contracts of the acquiree as at acquisition date. After the measurement period, any correction of errors will be deemed as a prior-period adjustment in accordance with IAS 8 *Accounting Policies, Changes in Accounting Estimates and Errors.* However, a change in estimate arising from information on new events and circumstances (for example, the settlement amount of a contingent liability) should be recognized in the current period (see Figure 3.12).

FIGURE 3.12 Measurement period



Purchase of Assets that Do Not Constitute a Business

As discussed in the preceding sections, for a transaction to qualify as a business combination, the subject matter under which the purchaser is acquiring has to meet the definition of a business under IFRS 3. If the target[32] does not constitute a business, the transaction is accounted for as an acquisition of an asset or a group of assets. In this case, the acquisition method of accounting under IFRS 3 will not apply and paragraph 2b of IFRS 3 prescribes the accounting treatment.

Specifically, the purchaser will have to identify and recognize the individual identifiable assets acquired as well as liabilities assumed in the transaction. This includes any asset that meets the definition and recognition criteria for intangible assets under IAS 38 *Intangible Assets*. The purchase consideration, which is the fair value of the consideration transferred, including transaction costs, is allocated to the individual assets and liabilities on the basis of the relative fair values at the date of the purchase (IFRS 3:2(b)). Fair value is measured in accordance with IFRS 13 *Fair Value Measurement*. In other words, the fair values of all the identifiable assets and liabilities have to be determined as at the date of the purchase for the purpose of the allocation of the purchase consideration. Accordingly, acquisition of assets does not give rise to goodwill. Illustration 3.7 demonstrates the accounting.

ILLUSTRATION 3.7 Accounting for acquisition of assets that do not constitute a business

Company X, a private company, paid $600,000 in cash to acquire a group of net assets from Company Y. The carrying value for the group of assets and the fair value as at the date of purchase are reflected in the table below. This group of assets has been assessed by Company X to not meet the definition of a business under IFRS 3. Accordingly, this is a not a business combination and the acquisition method under IFRS 3 does not apply. Company X applies the accounting treatment under paragraph 2b of IFRS 3 for the acquisition of assets.

	Carrying values ($)	Fair value at date of acquisition ($)	Allocated cost ($)
Intangible asset – club membership	200,000	300,000	324,000
Plant	150,000	200,000	216,000
Inventories	50,000	55,000	60,000
	400,000	555,000	600,000

Company X will pass the following accounting entry in its standalone financial statements:

Dr Intangible assets	324,000	
Dr Plant	216,000	
Dr Inventories	60,000	
Cr Cash		600,000
Being accounting for acquisition of assets		

This illustration helps us to identify some key differences between acquisition accounting for a business combination and acquisition of assets that do not constitute a business as set out below. This comparison also allows us to summarize some of the fundamental features of accounting for a business combination.

1. Identifiable assets acquired and liabilities assumed are recognized at their individual fair values at the date of acquisition in a business combination. However, in an acquisition of a group of net assets that do not constitute a business, assets and liabilities are recognized based on an allocated amount derived from their relative fair values at the date of purchase in an asset acquisition.
2. Directly attributed transaction costs are expensed in a business combination. In the case of asset acquisition, such costs are capitalized as part of the cost of the asset acquired.
3. Goodwill or gain on bargain purchase arises only in business combination. No goodwill is recorded for asset acquisitions.
4. Deferred tax assets and liabilities are recognized on the fair value differentials on identifiable assets and liabilities on business combinations. No deferred tax asset or liability is recognized for asset acquisitions.
5. Disclosure requirements are more extensive in business combinations as compared to asset acquisitions.

CONCLUSION

Business combinations are characterized by three conditions — an acquirer must exist, the acquirer has control over an acquiree or the business acquired, and the acquiree is a business. There are many forms of business combinations.

In some cases, the acquirer acquires directly the net assets of the business. The acquirer recognizes the assets and liabilities acquired in the acquirer's legal entity financial statements. In most other cases, the acquirer acquires control over the equity of the acquiree. In this situation, the acquirer and acquiree retain their separate legal identities. However, economically, the entities belong to the same group. Regardless of the form of the business combination, the economic substance is the same and the acquisition method should be applied in all business combinations. The acquisition method requires the acquirer to be identified with reference to the control criteria of IFRS 10. The acquirer should then recognize and measure identifiable net assets at fair value at acquisition date in accordance with the requirements of IFRS 3. IFRS 3 has a number of recognition and measurement requirements that seek to reflect the fair value components that are priced in the consideration transferred. Goodwill is a residual and is determined on a "top down" approach. As the residual approach is used, goodwill may include recognition and measurement errors and also identifiable elements. IFRS 3 allows acquirers a 12-month measurement period by which the "provisional" amounts of goodwill, fair value of identifiable net assets, fair value of non-controlling interests, and fair value of previously held interests may be corrected and the revised amounts applied retrospectively.

APPENDIX 3A

Investment Entities

On 31 October 2012, the Board issued Investment Entities (Amendments to IFRS 10, IFRS 12, and IAS 28), which introduces an exception to the consolidation principle for a particular class of investors described as "investment entities." This exception is intended to address the special information needs of users on the performance of asset management and private equity industries. The underlying view is that consolidated information may not be as relevant to this class of business, given the purpose of the investment holdings, the nature of the returns, and the relative importance of fair value information over consolidated information. This is reflected in the Board's feedback statement in which it explained that consolidation does not provide useful and relevant information and impedes effective decision making with respect to evaluating the performance of these entities.

Based on the Board's impact analysis, the entities that are most likely to be affected by this amendment are private equity or venture capital funds and master-feeder or fund-of-funds structures where an investment entity parent has controlling interests in investment entity subsidiaries.

Exception to Consolidation

Under IFRS 10, an entity that qualifies as an investment entity would be required to measure investees it controls, other than investees that provide services to the entity,[33] at fair value through profit or loss in accordance with IFRS 9 rather than consolidating them (IFRS 10:31). For such entities, they will present separate financial statements as their only financial statements.

Criteria for Qualification

In order to qualify for this measurement exception, an entity would be required to meet the definition of an investment entity and consider whether it has the typical characteristics of an investment entity as explained below. The absence

of any of the typical characteristics does not necessarily disqualify an entity from being classified as an investment entity. However, the entity would be required to disclose the reasons for concluding that it is an investment entity in spite of the absence of any of the typical characteristics.

Definition of Investment Entities

In essence, an investment entity has three essential features that differentiate it from other parent companies. Specifically, IFRS 10 Appendix A defines an investment entity "as an entity that:

1. Obtains funds from one or more investor for the purpose of providing those investor(s) with investment management services;
2. Commits to its investor(s) that its business purpose is to invest funds solely for returns from capital appreciation, investment income, or both; and
3. Measures and evaluates the performance of substantially all of its investments on a fair value basis."

In the assessment of whether the definition is met, certain application guidance were included to guide the evaluation.

1. *Business purpose*

- The business purpose of the investment entity must be that of providing investment management services to its investors. However, an investment entity is not precluded from providing investment-related services to third parties in addition to its investors. The Board is of the view that such services provided to third parties are an extension of the investment entity's investing activities and this does not detract from its primary business model of investing for capital appreciation, investment income, or both. For instance, this criterion will not be met if that investor is interested in harnessing the investee's technology for its own use in addition to deriving capital appreciation and/or investment income.
- Such business purpose should be communicated clearly in documentation and other modes of communication to investors.
- Similarly, an investment entity may also participate in the following activities to maximize the investment return (capital appreciation or investment income) and which do not represent a separate substantial business activity or source of income (IFRS 10:B85D):

  (a) Providing management services and strategic advice to an investee; and

  (b) Providing financial support (such as extension of loans, capital commitments, or guarantees) to an investee

- An investment entity is required to have exit strategies documenting how the entity plans to realize capital appreciation from substantially all of the investments that have the potential to be held indefinitely (IFRS 10:B85F).[34] The exit strategy assessment would be performed at a portfolio level. Hence, different potential exit strategy, including a substantive time frame for exiting the investments, can be identified for different types or portfolios of investments.

2. *Fair value measurement*

- In order to meet the fair value measurement element of the definition, paragraph B85K of IFRS 10 requires the entity to:

  (a) provide investors with fair value information and measure "substantially all of its investments at fair value in its financial statements whenever fair value is required or permitted in accordance with IFRS Standards;"[35] and

(b) report “fair value information internally to the entity’s key management personnel”, who uses “fair value as the primary measurement attribute to evaluate the performance of, substantially, all of its investments and to make investment decisions.”

Fair value information is deemed the most relevant information to both investors and management in evaluating performance of subsidiaries.

Typical Characteristics of an Investment Entity

IFRS 10 further specifies the typical characteristics of an investment entity. As mentioned above, the absence of any of the typical characteristics does not necessarily disqualify an entity from being classified as an investment entity. However, disclosures are required when an investment entity does not have these typical characteristics. The typical characteristics (IFRS 10 paragraph 28) are as follows:

1. The entity holds more than one investment;
2. The entity has more than one investor;
3. The investors are not related parties to the entity or its group members; and
4. Ownership interests in the entity, typically a separate legal entity, are in the form of equity or similar interests.

The Board has identified these to be common features investment entities possess and accordingly, they are of the view that such characteristics could be used to assist entities to decide if they meet the definition of an investment entity. However, the Board is also mindful that there may be investment entities that may not embody all these typical characteristics for various reasons. Therefore, the Board clarified that whilst the absence of these typical characteristics may indicate that an entity does not meet the definition, the absence in itself is not conclusive. An entity that does not display all of these typical characteristics could nevertheless still meet the definition of an investment entity.

It is clear from the way the definition, application guidance, and typical characteristics are set out, the Board had intended this measurement exception to apply to only a very narrowly defined group of entities.

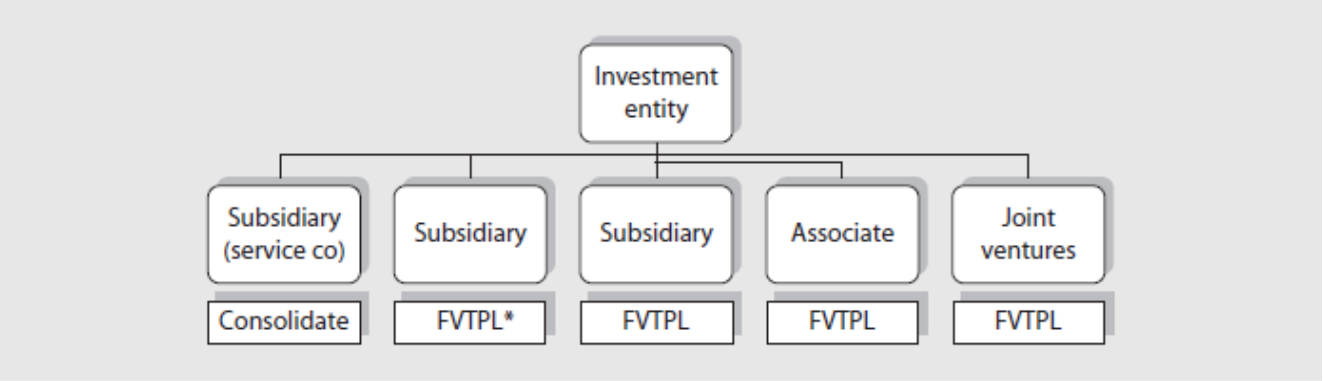
Accounting by an Investment Entity

An investment entity does not consolidate its investments in subsidiaries. Instead, it measures the investments at fair value through profit or loss in accordance with IFRS 9.

However, an investment entity may have subsidiaries that provide services that are related to the investment entity’s investment activities. These subsidiaries have to be consolidated by the investment entity. Collectively, this group of companies provide investment management services.

Figure 3A.1 shows the relationship between investees and the investment entity and the accounting treatment.

FIGURE 3A.1 Investment entity and its investees



*FVTPL denotes fair value through profit or loss.

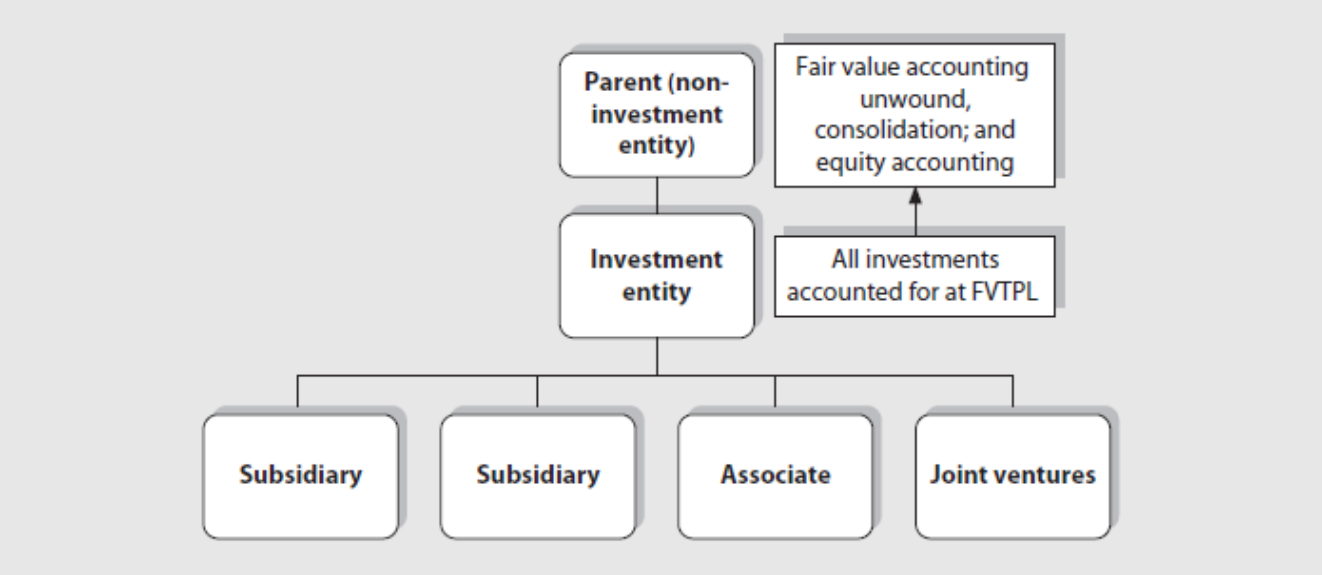
In Figure 3A.1, the investment entity parent will have to consolidate the service entity that provides services to the investment entity parent's investment activities and account all its investments in other subsidiaries at fair value through profit or loss in accordance with IFRS 9. With respect to the associates and joint ventures, the investment entity must elect to account associates, joint ventures and financial assets at fair value as discussed above. Other assets (e.g., property, plant, and equipment) and financial liabilities in the investment entity need not be measured at fair value, unless specifically required by IFRS standards.

Accounting in the Consolidated Financial Statements of a Parent that Holds an Investment Entity

The accounting treatment for the parent company of an investment entity will be dependent on whether the parent company itself is an investment entity.

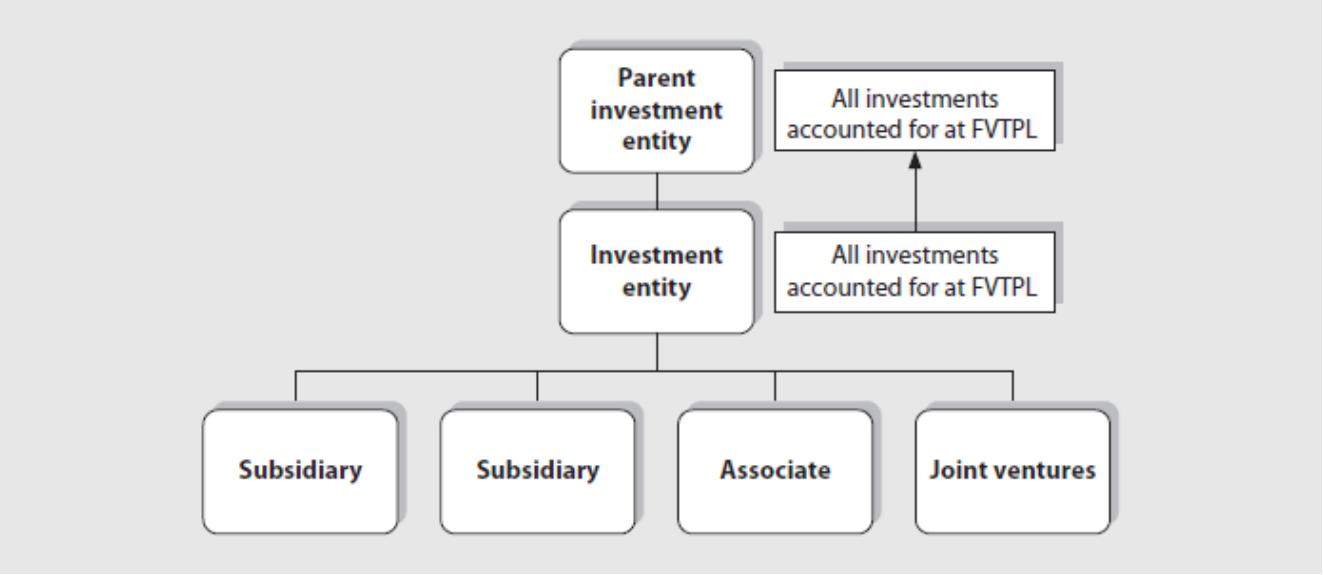
If the parent of an investment entity is a non-investment entity, then parent will have to unwind the fair value accounting applied by its investment entity subsidiaries and consolidate on a line-by-line basis the investment entity subsidiaries as well as the subsidiaries held by the investment entity, subsidiaries as illustrated in Figure 3A.2. In other words, the exception to not consolidate does not apply to the parent of an investment entity, which is not an investment entity.

FIGURE 3A.2 Accounting for non-investment entity parent



Conversely, an investment entity parent will measure all its investments in subsidiaries at fair value as shown in Figure 3A.3. In other words, the fair value accounting that is applied by the investment entity subsidiaries will not be unwound at the investment entity parent level.

FIGURE 3A.3 Accounting for investment entity parent



The rationale for the differences in the accounting treatment of a parent investment entity and a parent that is not an investment entity was extensively deliberated by the Board during the exposure draft stage. Majority of the respondents argued that if fair value information was more relevant than consolidation at an investment entity subsidiary level, it will also be more relevant at the non-investment entity parent level. However, the Board ultimately rejected the approach to permit the exception to consolidation to be "rolled up" to the non-investment entity. Among other reasons, the Board was concerned with potential structuring opportunities that could be achieved by a non-

investment entity holding subsidiaries, directly or indirectly, through an investment entity if the exception were to be extended.

Reassessment and Change of Status

IFRS 10 requires a parent to reassess whether it is an investment entity if facts and circumstances indicate that there are changes to one or more of the elements that make up the definition or the typical characteristics of the investment entity. The change in status is to be accounted for prospectively from the date when the change in status occurred. In particular, the investment in subsidiary will be accounted for either at cost on the basis of the fair value at the date of change of status (where the entity cease to meet the definition of investment entity) or at fair value in accordance with IFRS 9 (where the entity meets the definition of investment entity).

APPENDIX 3B

Illustration of a Reverse Acquisition

On 1 July 20x5, P, a private entity, arranged to have all its shares acquired by L, a publicly listed entity. The arrangement required L to issue 20,000,000 shares to P's shareholders in exchange for the existing 6,000,000 shares of P.

The following information relates to L and P at the date of exchange:

	L	P
Number of issued shares	5,000,000	6,000,000
Quoted market price per share	$ 3.00	
Fair value per share		$ 10.00
Net fair value of identifiable assets and liabilities (after-tax)	$12,000,000	$57,000,000
Book value of identifiable net assets	$10,000,000	$55,000,000
Issued equity	$ 8,000,000	$30,000,000
Retained earnings	$ 2,000,000	$25,000,000

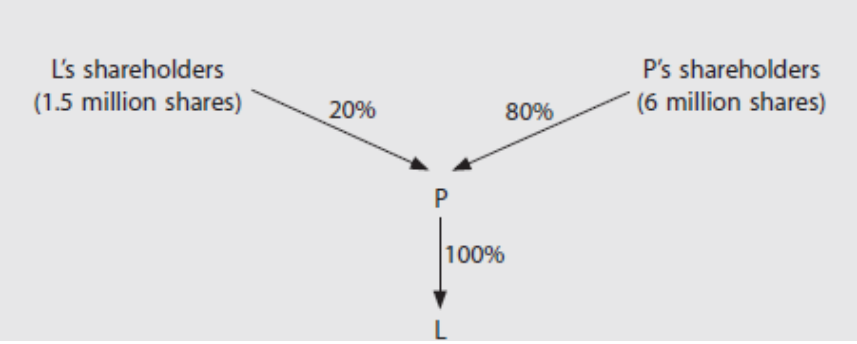
Quoted market price per share and fair value per share have incorporated the effects of the acquisition.

After the issue of an additional 20,000,000 shares by L, P's shareholders now own 80% (20 million shares out of a total of 25 million shares) of the issued shares of the combined entity. L's shareholders own 20% of the shares in the combined entity after the share issue. After the issue, the ownership structure will be as shown in Figure 3.8.

If we reverse the situation such that P is the effective parent (the "accounting acquirer") and L is the effective subsidiary (the "accounting acquiree"), we need to work out the number of shares that P would have to issue to L's shareholders for P's shareholders to own 80% in the combined entity (IFRS 3 App B:B20).

In effect, P would have to issue 1,500,000 (6 million/0.8 × 0.2) of its own shares to L's shareholders for P's shareholders to own 80% in the combined entity. If such an issue had been carried out, P would own 100% of L, and L's shareholders would own 20% of P as shown in Figure 3B.1.

FIGURE 3B.1 Re-interpreting the ownership structure of Figure 3.8: What it could have been



If P had been the acquirer, the consideration transferred is $15,000,000 (1,500,000 shares at fair value of $10 per share). Goodwill from the business combination is as follows:

Consideration transferred by P	$15,000,000
Less net fair value of identifiable assets and liabilities of L (after-tax)	12,000,000
Goodwill	$ 3,000,000

The consolidated statement of financial position immediately following the reverse acquisition is as follows:

Consolidated Statement of Financial Position (abridged)
As at 1 July 20x5

Net assets other than goodwill	$67,000,000	(Note 1)
Goodwill	3,000,000	
Net assets	$70,000,000	
Issued equity (25,000,000 ordinary shares) (Note 4)	$45,000,000	(Note 2)
Retained earnings	25,000,000	(Note 3)
Equity	$70,000,000	

Note 1: Net assets other than goodwill

Net fair value of L	$12,000,000
Book value of P	55,000,000
	$67,000,000

The assets and liabilities of the legal subsidiary or the accounting acquirer P are at their pre-combination carrying amounts (IFRS 3 App B:B22a). The assets and liabilities of the legal parent or the accounting acquiree L are recognized and measured generally at fair values under the acquisition method (IFRS 3 App B:B22b).

Note 2: Issued equity

Original issued equity of P	$30,000,000
Fair value of shares issued	15,000,000
	$45,000,000

Equity interests in the consolidated financial statements is the sum of the issued equity interests of the legal subsidiary outstanding immediately before the acquisition and the fair value of the legal parent determined in accordance with IFRS 3 under the acquisition method (IFRS 3 App B:B22d).

Note 3: Retained earnings

Pre-combination retained earnings of P	$25,000,000

Pre-combination retained earnings and other equity balances are those of the legal subsidiary (IFRS 3 App B:B22c). Pre-combination retained earnings and other equity balances of the legal parent are eliminated on consolidation.

Note 4: Number of ordinary shares

Number of ordinary shares of L before acquisition	5,000,000
Number of new shares issued by L	20,000,000
	25,000,000

The equity structure (that is, number and type of equity issued) reported is that of the legal parent (IFRS 3 App B:B22d). Although the issued equity (Note 2) reflects the substance of the arrangement, the actual number of shares issued reflects the legal form of the arrangement.

Consolidation Journal Entry at Date of Acquisition (Assuming Full Share Exchange)

The elimination journal entry (abbreviated form) is as follows:

Dr Share capital	8,000,000		
Dr Retained earnings	2,000,000		
Dr Identifiable assets/liabilities (individual accounts)	2,000,000	($12 million – $10 million)	
Dr Goodwill	3,000,000		
Cr Investment			15,000,000

Elimination of investment and pre-combination equity of L and recognition of the excess of fair value over book value of L and goodwill in L

What if the Fair Value of the Acquirer's Equity Interests is Not Reliably Measurable?

If the fair value of the acquirer's equity is not reliably measurable to estimate the consideration transferred from the acquirer's (the legal subsidiary's) perspective, IFRS 3:33 requires the use of the fair value of the acquiree (the legal

parent) to determine the effective consideration transferred.

In the above illustration, let us change the facts to suggest that the fair value of the price per share of P is not reliable and that L's shares are thinly traded. Hence, the fair value of L as an entity has to be determined. Let us assume that the fair value of L as an entity is $16,000,000.

The consideration transferred will then be $16,000,000 and goodwill will be $4,000,000.

Dr Share capital	8,000,000		
Dr Retained earnings	2,000,000		
Dr Identifiable assets/liabilities (individual accounts)	2,000,000	(12,000,000 – 10,000,000)	
Dr Goodwill	4,000,000		
Cr Investment			16,000,000

In this scenario, the fair value of the shares issued by P (measured by the fair value of the acquiree) is $16,000,000. Hence, the issued equity will be the sum of the existing equity of P and the fair value of the shares issued. On the asset side, goodwill will increase to $4,000,000. The revised consolidated statement of financial position will be as follows:

Consolidated statement of financial position (abridged)
as at 1 July 20x5

Net assets other than goodwill	$67,000,000	
Goodwill	4,000,000	
Net assets	$71,000,000	
Issued equity (25,000,000 ordinary shares)	$46,000,000	(Note 1)
Retained earnings	25,000,000	
Equity	$71,000,000	

Note 1: Issued equity

Original issued equity of P	$30,000,000
Fair value of shares issued	16,000,000
	$46,000,000

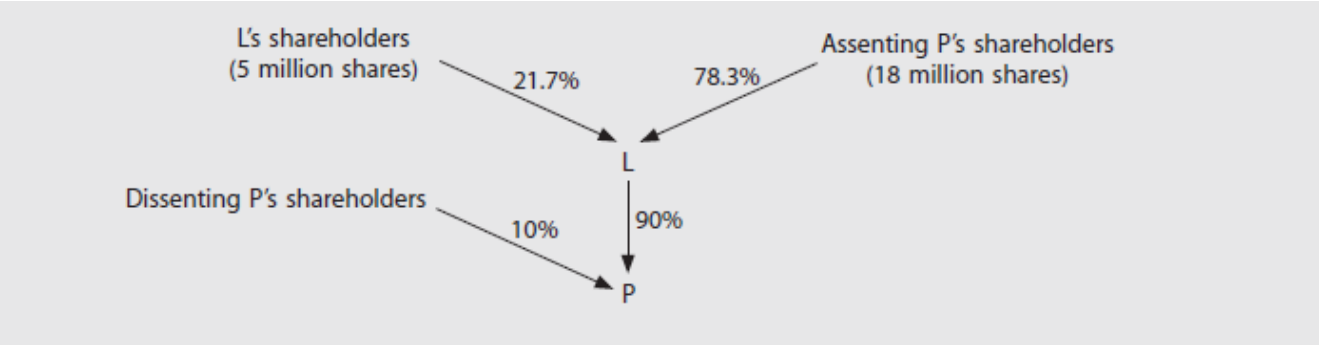
Are There Non-controlling Interests in A Reverse Acquisition?

Non-controlling interests are zero if all of P's shareholders accept the offer to exchange their shares in P for shares in L. If all of P's shareholders do not agree to the share exchange, P will have non-controlling interests that have an interest in P's legal entity's profits but not the consolidated profits (IFRS 3 App B:B23).

In the above example, there are no non-controlling interests as all of P's shareholders accept the exchange. However, if we vary the scenario such that 10% of P's shareholders refuse to accept the share exchange, the ownership structure will be as shown in Figure 3B.2.

The dissenting shareholders, who do not agree to the share exchange, will have a share in P's legal entity profits but not the consolidated profits of the combined entity. Contrary to normal convention where non-controlling interests are the minority owners of a subsidiary, in a reverse acquisition, non-controlling interests are the minority owners of the effective parent.

FIGURE 3B.2 Ownership structure with a less than 100% share exchange

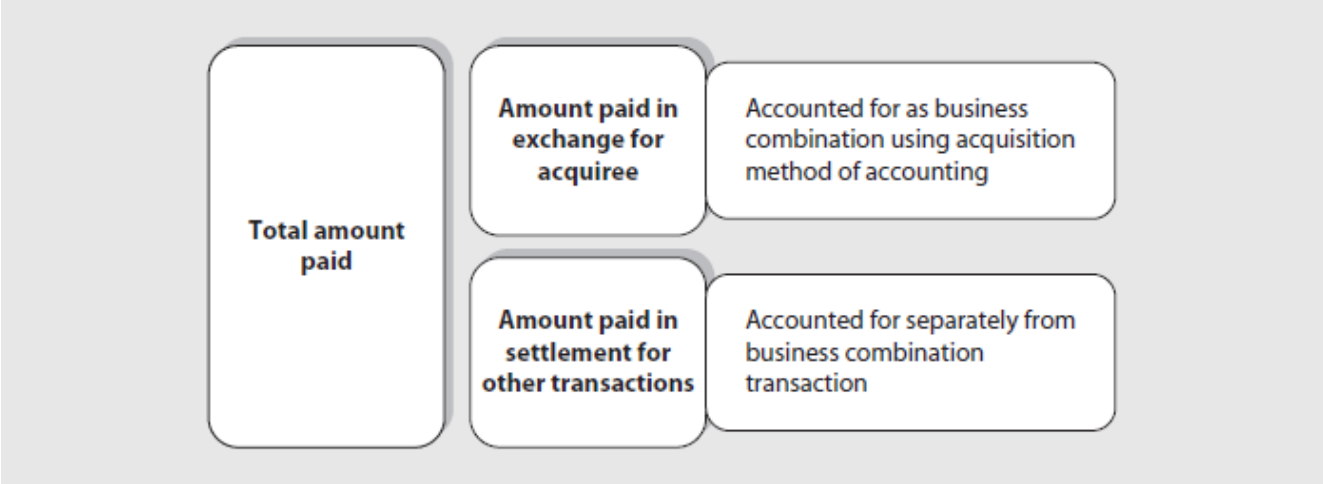


APPENDIX 3C

Determining What Is Part of the Business Combination Transaction

As discussed in the chapter, it is important to distinguish between what is exchanged in the business combination between the acquirer and acquiree (or its former owners) and what is not part of the exchange in the business combination. As set out in paragraph 51 of IFRS 3, the Board recognizes that the acquirer and the acquiree may have an existing relationship or other arrangement that preceded negotiations for the business combination or they may enter into an arrangement during the negotiations that is separate from the business combination itself. These relationships are described as "pre-existing relationships." Hence, the total amount paid by the acquirer may comprise two parts (i) purchase consideration in exchange for the assets and liabilities of the acquiree and (ii) payment for settlement of the separate pre-existing relationship or arrangement. Figure 3C.1 graphically analyzes the total amount paid by the acquirer.

FIGURE 3C.1 Separate transactions or part of a business combination?

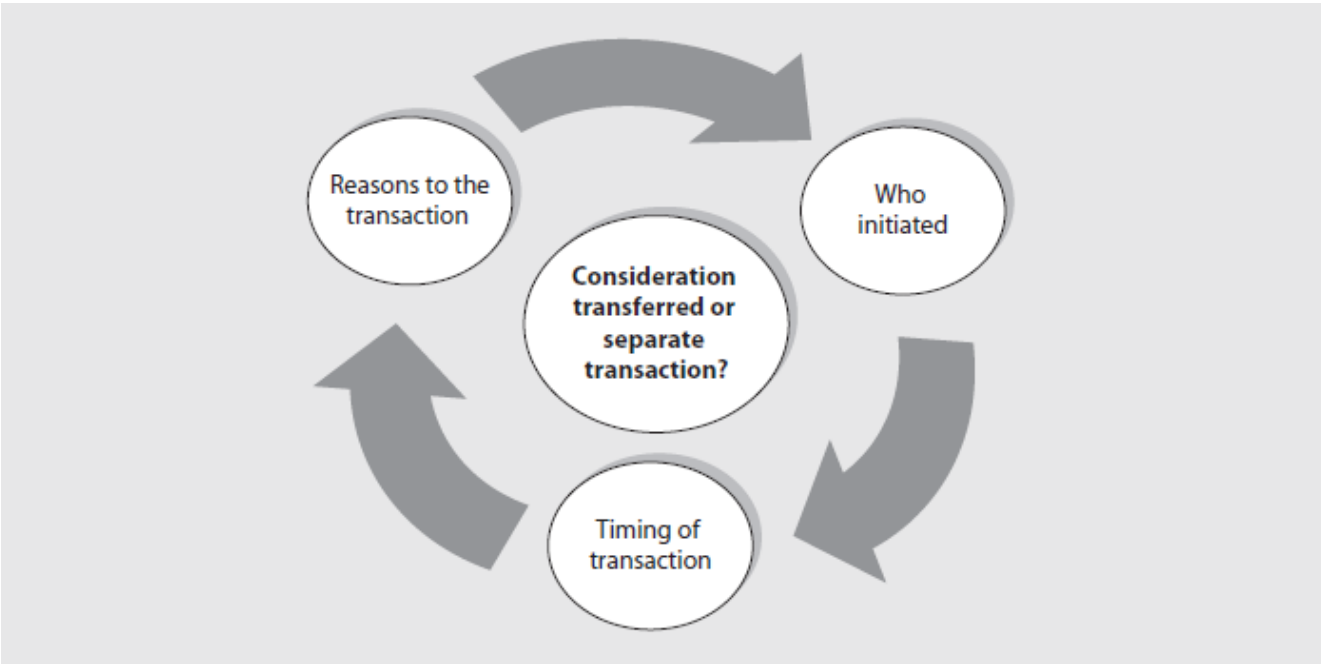


The significance of identifying the amounts that are part of the consideration transferred for the business combination from those that are not is due to the difference in the accounting treatment for each type of transaction. In the case of the former, the acquirer, in applying the acquisition method of accounting, will recognize only the consideration transferred to obtain control as well as the assets acquired and liabilities assumed. Only the consideration transferred will be used to determine the goodwill on acquisition. Other transactions will be accounted for separately from the business combination (IFRS 3:51). The amounts paid for the separate transactions by the acquiree will not form part of the consideration transferred in the business combination. Accordingly, they will not be used in the determination of the goodwill on the business combination.

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To assist in the determination of whether a transaction is part of the exchange for the acquiree or separate from the business combination, paragraph 52 of IFRS 3 explains that a transaction that is "entered into (i) by or on behalf of the acquirer or (ii) primarily for the benefit of the acquirer or the combined entity (rather than primarily for the benefit of the acquiree, or its former owners, before the combination), is likely to be a separate transaction" from the business combination. As shown in Figure 3C.2, paragraph B50 of IFRS 3 further sets out three factors, which the acquirer should consider in making this assessment.

FIGURE 3C.2 Indicators of separability of transactions



Reasons for the Transaction

In analyzing the transaction, it is important to have an understanding of the intent and purpose as to why the parties[36] to the combination entered into the particular transaction. This enables us to determine whether the amount paid for that arrangement is part of the consideration transferred for the business combination or a settlement for a separate transaction.

IFRS 10 Appendix B paragraph B50 provides an example in that "if a transaction is arranged primarily for the benefit of the acquirer or the combined entity rather than primarily for the benefit of the acquiree or its former owners before the combination, the portion of the transaction price paid (and any related assets or liabilities) for that transaction is less likely to be part of the exchange for the acquiree. Accordingly, the acquirer would account for that portion separately from the business combination."

Who Initiated the Transaction

The identity of the party who initiated the transaction may also provide some insights as to whether the transaction is carried out as part of the exchange for the acquiree.

Using the same example above, if the originator of the transaction is the acquirer and the transaction is structured for the purpose of providing future economic benefits to the acquirer or combined entity with little or no benefit accruing to the acquiree or its former owners before the combination, the transaction is likely to be a separate arrangement. Conversely, "a transaction that is initiated by the acquiree or its former owners is less likely to be for the benefit of the acquirer or the combined entity and more likely to be part of the business combination transaction" (IFRS 3:B50(b)).

Timing of the Transaction

The timing of the transaction may also provide some indication as to whether the transaction is part of the exchange for the acquiree or a separate transaction.

For example, a transaction may take place during the negotiations of a business combination that benefits the acquirer or the combined entity. If that is indeed the case, the acquiree or its former owners are likely to receive little or no benefit from the transaction apart from benefits they receive from the combined entity. Accordingly, this transaction would be accounted for separately from the business combination transaction.

Paragraph 52 of IFRS 3 further provides three scenarios of separate transactions that are not likely to be part of the acquisition accounting for the business combination. They are namely:

1. "A transaction that in effect settles pre-existing relationships between the acquirer and acquiree";
2. "A transaction that remunerates employees or former owners of the acquiree for future services"; and
3. "A transaction that reimburses the acquiree or its former owners for paying the acquirer's acquisition-related costs."

We will discuss each scenario in more detail below.

SETTLEMENT OF PRE-EXISTING RELATIONSHIPS

As explained in paragraph B51 of IFRS 3, an acquirer and acquiree may have a relationship that existed before they entered into the business combination. This is what the standard refers to as a "pre-existing relationship." In connection with the business combination transaction, this pre-existing relationship is effectively settled using part of the amount transferred for the transaction. When this happens, the amount that is paid to settle the pre-existing

relationship does not form part of the consideration paid for the business combination. This amount must be identified and accounted for separately from the business combination transaction.

The following table shows some examples of settlement of pre-existing relationships in practice.

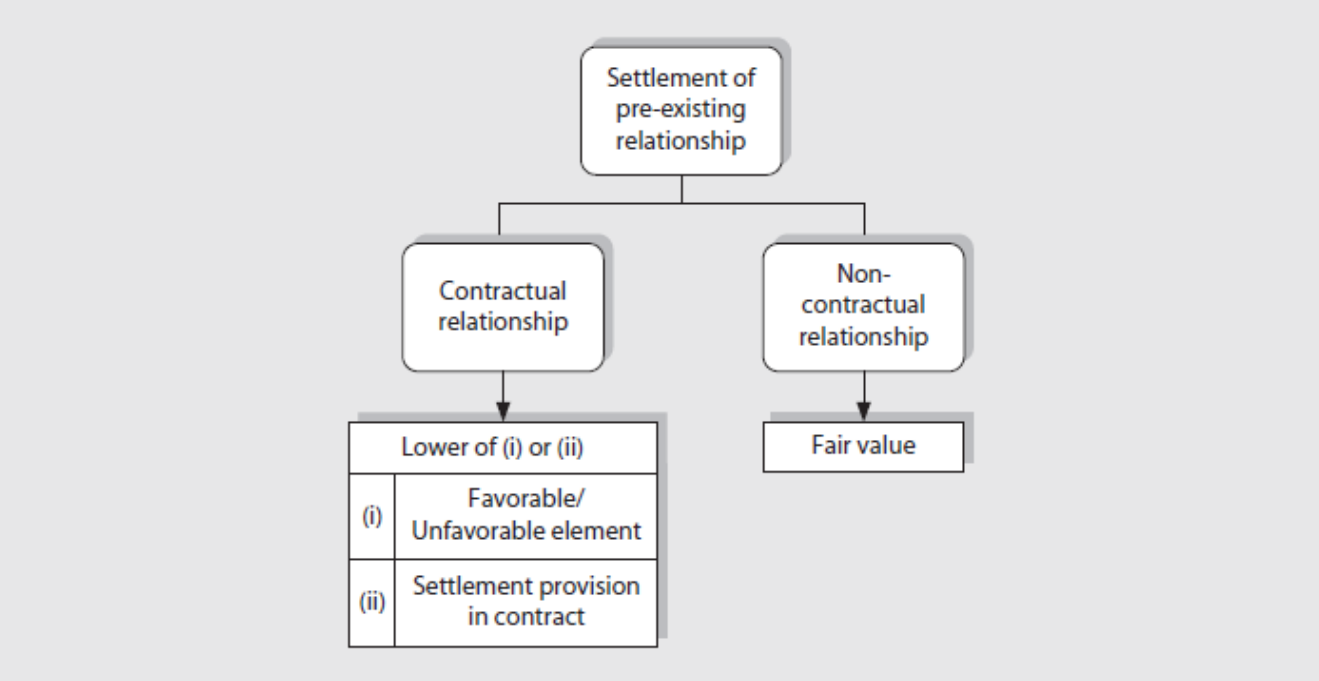
Nature of pre-existing relationships with the acquiree	Effect on acquirer of settlement of pre-existing relationships
Accounts or loans receivable/payable	Settlement of accounts or loans receivable or payable
Franchisee with right to use trademark	Reacquisition of previously granted rights
Holder of treasury shares of acquirer	Purchase of treasury shares
Holder of ordinary shares of acquirer's other subsidiaries	Acquisition of non-controlling interests
Plaintiff in a lawsuit with acquirer	Settlement of lawsuit with acquiree
Issuer of warrants held by acquirer	Termination of warrants

As set out in the table above, a pre-existing relationship between the acquirer and acquiree may be contractual in nature. An example of this would be in the form of a supplier and customer relationship or a franchisor and franchisee relationship. Conversely, the relationship may also be non-contractual in nature. A case in point could be a plaintiff and defendant relationship in a legal suit between the acquirer and acquiree.

Accounting Treatment

Paragraph B52 of IFRS 3 stipulates the accounting treatment for the settlement of pre-existing relationship in a business combination as shown in Figure 3C.3.

FIGURE 3C.3 Settlement of pre-existing relationship



If the business combination in effect settles a pre-existing relationship, paragraph B52 of IFRS 3 requires the acquirer to recognize a gain or loss[37] in profit or loss at the date of acquisition, measured in the following manner:

1. "for a pre-existing non-contractual relationship (such as a lawsuit), the gain or loss is measured at fair value."
2. "for a pre-existing contractual relationship, the gain or loss is measured at the lesser of (i) and (ii):
   (i) the amount by which the contract is favorable or unfavorable[38] from the perspective of the acquirer when compared with terms for current market transactions for the same or similar items.
   (ii) the amount of any stated settlement provisions in the contract available to the counterparty to whom the contract is unfavorable."

If (i) is lower than (ii), the difference is included as part of the business combination accounting.

IFRS 3 further clarifies that the amount of gain or loss recognized may be different from the amount calculated by applying the above requirement if the acquirer had previously recognized a related asset or liability in its financial statements. What this effectively means is that if the acquirer had recognized an asset or liability in respect of the pre-existing relationship previously, this asset or liability will be derecognized at the point of business combination as it is deemed to have been recovered or settled in effect with the business combination transaction. The derecognition of the asset or liability is adjusted against the gain or loss on settlement recognized by the acquirer.

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As the settlement of the pre-existing relationship is accounted for separately from the business combination transaction, this will invariably have an impact on the accounting for the business combination transaction and the subsequent computation of the goodwill on acquisition itself.

When part of the amount transferred by the acquirer in connection with the business combination transaction is used to settle a pre-existing relationship, that amount does not form part of the consideration transferred in exchange for the acquiree in the business combination. Accordingly, it must be deducted from the total amount transferred by the acquirer. Hence, the purchase consideration paid for the business combination will be reduced. If the acquiree had previously recorded an asset or liability in respect of that pre-existing relationship itself, such asset or liability will be derecognized with the settlement of the pre-existing relationship and the fair value of the identifiable net assets transferred by the acquiree at the date of acquisition will correspondingly be decreased or increased, respectively. The interplay between the impact on the amount of purchase consideration transferred and the fair value of the identifiable net assets transferred by the acquiree may have an impact on the computation of goodwill.

The following illustrations, including the adaptation of IE 54 that accompanies IFRS 3, will demonstrate the principles enunciated above.

ILLUSTRATION 3C.1 Settlement of a pre-existing non-contractual relationship

On 30 June 20x6, Company P acquired 100% interest in Company S in exchange for $4.5 million in cash consideration.

Prior to the acquisition, Company P and Company S were involved in a legal tussle in which Company S sued Company P for a breach of terms and conditions in a sale and purchase contract. As at the date of acquisition, the legal case has yet to be settled. Company P has recorded a provision for damages of $0.2 million in its financial statements. Company S did not record any asset in respect of the legal case in its financial statements. The fair value of the identifiable net assets of Company S as at the date of acquisition on 30 June 20x6 is $2.7 million. The book value of the net assets stands at $2.5 million as at the same date. Based on external valuation, the fair value of the lawsuit is $1.3 million on 30 June 20x6. The effects of taxes are ignored in this illustration.

Analysis

In this case, with the acquisition of Company S by Company P, the lawsuit is effectively settled. As this pre-existing relationship is non-contractual in nature, paragraph B52 of IFRS 3 requires Company P to recognize a gain or loss

arising from the settlement at fair value. This settlement will be accounted for separately from the business combination between Company P and Company S.

Hence, in the consolidated financial statements of Company P, there are essentially two components to the transaction. They are (i) the acquisition of Company S and (ii) the settlement of the legal suit between Company S and itself. The cost of settlement for which $1.3 million (being the fair value of the dispute at 30 June 20x6) is paid out of the $4.5 million transferred by Company P is accounted for separately from the business combination transaction. Accordingly, the consideration transferred in exchange for Company S is $3.2 million.

In the separate financial statements of Company P, the cash transferred of $4.5 million will be recognized in the books as investment in Company S.

Calculate the loss on settlement of the lawsuit

	$
Fair value of the dispute at date of acquisition	1,300,000
Less: Provision for damages in Company P's books	(200,000)
Loss on settlement of lawsuit with Company S	1,100,000

Explanatory note:

As explained above, the amount of loss recognized by Company P on the settlement of lawsuit is different from the fair value of the lawsuit (in applying paragraph B52 of IFRS 3) as Company P had previously recognized a provision for damages in its financial statements. The provision is derecognized and adjusted against the fair value of the dispute for the purpose of calculating the loss on settlement as lawsuit is deemed to have been settled with the occurrence of the business combination transaction.

Calculate the goodwill on acquisition

Consideration transferred for business combination = $4,500,000 – $1,300,000
= $3,200,000

	$
Consideration transferred	3,200,000
Less: Fair value of identifiable net assets of Company S	(2,700,000)
Goodwill on consolidation	500,000

Prepare the accounting entries

In the consolidated financial statements of Company P

30 Jun 20x6	Dr Share capital and equity of Company S	2,500,000
	Dr Net identifiable assets	200,000
	(Excess of fair value over net book value)	
	Dr Goodwill	500,000
	Dr Provision for lawsuit	200,000

	Dr Loss on settlement of lawsuit	1,100,000	
	Cr Investment in Company S		4,500,000
	(Being settlement of lawsuit and elimination of share capital and pre-acquisition reserves of Company S)		

In the separate financial statements of Company P

30 Jun 20x6	Dr Investment in Company S	4,500,000	
	Cr Cash		4,500,000
	(Being investment in Company S)		

We change the fact pattern such that Company P is now the plaintiff and Company S is the defendant. The provision of $0.2 million is recorded in the financial statements of Company S and the fair value of the lawsuit of $1.3 million is included as part of the fair value of the identifiable net assets of $2.7 million as at the date of acquisition on 30 June 20x6. The effects of taxes are ignored in this example.

Analysis

Similar to the analysis above, from the perspective of Company P in the consolidated financial statements, there are two components to the transaction, that is, the acquisition of Company S and the settlement of the legal suit between Company S and itself. However, in this case, the settlement of $1.3 million is paid by Company S to Company P as part of the business combination transaction.

As the settlement is separately accounted for from the business combination transaction, the fair value of the lawsuit liability is extinguished from the fair value of the identifiable net assets transferred by Company S in connection with the business combination transaction. Therefore, the fair value of the net assets transferred will increase by $1.3 million to $4 million. Company P will recognize a gain on settlement of lawsuit of $1.3 million in the consolidated financial statements in accordance with B52(a) of IFRS 3. In substance, the total amount transferred as consideration for the business combination transaction is effectively $5.8 million ($4.5 million + $1.3 million) for the purpose of calculation of the goodwill.

In the separate financial statements of Company P, the cash transferred of $4.5 million will continue to be recognized in the books as investment in Company S.

Calculate the goodwill on acquisition

	$	
Consideration transferred	5,800,000	[4.5 million + 1.3 million]
Less: Fair value of identifiable net assets of Company S	(4,000,000)	[2.7 million + 1.3 million]
Goodwill on consolidation	1,800,000	

Prepare the accounting entries

In the consolidated financial statements of Company P

30 Jun 20x6	Dr Share capital and equity of Company S	2,500,000		
	Dr Net identifiable assets	1,500,000		[4 million – 2.5 million]

	(Excess of fair value over net book value)		
	Dr Goodwill	1,800,000	
	Cr Gain on settlement of lawsuit		1,300,000
	Cr Investment in Company S		4,500,000

(*Being settlement of lawsuit and elimination of share capital and pre-acquisition reserves of Company S*)

In the separate financial statements of Company P

30 Jun 20x6	Dr Investment in Company S	4,500,000	
	Cr Cash		4,500,000
	(*Being investment in Company S*)		

For the purpose of illustrating the principles in B52 of IFRS 3 to the settlement of a pre-existing contractual relationship, Illustration 3C.2 adapted from IE54 to IFRS 3 is presented below.

ILLUSTRATION 3C.2 Settlement of a pre-existing contractual relationship

Company P has a ten-year supply contract with Company S in which Company S supplies Company P with 4G semiconductor parts at fixed rates. Based on the current market prices, the fixed rates in the supply contract are higher than the rates at which Company P could pay for similar semiconductor parts from another supplier. The contract is unfavorable from Company P's perspective. Embedded within the terms in the supply contract is a termination clause that allows Company P to terminate the contract before the end of the ten-year term by paying a $6 million penalty. As at the date of acquisition, there are four years remaining under the supply contract and Company P pays $50 million to acquire 100% interest in Company S.

The fair value of the identifiable net assets of Company P at the date of acquisition is $48 million. Included in the total fair value of the net identifiable assets of Company S is an intangible asset of $8 million related to the fair value of the supply contract with Company P. There are two components to the intangible asset of $8 million. $3 million out of $8 million represents a component that is "at market." This component relates to Company S's pricing of the semiconductor parts that is comparable to the pricing for current market transactions for the same or similar items. The remaining $5 million relates to the component for pricing that is unfavorable to Company P (that is, favorable to Company S) given that the price charged to Company P is higher than the price of current market transactions for similar items. Company S has no other identifiable assets or liabilities related to the supply contract, and Company P has not recognized any assets or liabilities related to the supply contract before the business combination.

Analysis

In the consolidated financial statements of Company P, there are essentially two aspects to this transaction. They are, namely, the acquisition of Company S and the settlement of the unfavorable supply contract between Company S and itself. The settlement of this pre-existing contractual relationship (that is, the supply contract) is accounted for separately from the business combination transaction.

In essence, part of the amount transferred for the transaction by Company P is utilised in the settlement of this supply contract. In accordance with paragraph B52(b) of IFRS 3, Company P will calculate a loss on the settlement of

the supply contract of $5 million. This is derived as the lower of the $6 million stated settlement amount in the supply contract and the amount by which the contract is unfavorable to Company P separately from the business combination. The $5 million would be the amount that is deducted from the $50 million transferred for purposes of accounting for the settlement of the supply contract by Company P. Accordingly, the purchase consideration transferred for the acquisition of Company S is $45 million.

The component of $5 million will also be excluded from the fair value of the identifiable net assets of Company S transferred as part of the business combination. Conversely, the $3 million "at-market" component of the contract is part of goodwill, that is, it will be included as part of the fair value of the identifiable net assets for the computation of goodwill. Hence, the fair value of the identifiable net assets transferred would be $43 million.

In the separate financial statements of Company P, the cash transferred of $50 million will be recognized in the books as investment in Company S.

Calculate the goodwill on acquisition

	$	
Consideration transferred	45,000,000	[50 million - 5 million]
Less: Fair value of identifiable net assets of Company S	(43,000,000)	[48 million - 5 million]
Goodwill on consolidation	2,000,000	

Prepare the accounting entries

In the consolidated financial statements of Company P

Dr Share capital and equity of Company S Dr Net identifiable assets (Excess of fair value over net book value)	43,000,000	
Dr Goodwill	2,000,000	
Dr Loss on settlement of supply contract	5,000,000	
Cr Investment in Company S		50,000,000

(Being settlement of supply contract and elimination of share capital and pre-acquisition reserves of Company S)

In the separate financial statements of Company P

Dr Investment in Company S	50,000,000	
Cr Cash		50,000,000

(Being investment in Company S)

It should be noted that the amount recognized as a gain or loss for the effective settlement of the relationship will be affected by whether Company P had recognized an amount in its financial statements previously.

If a scenario were to be assumed such that Company P, in applying IAS 37 *Provisions, Contingent Liabilities and Contingent Assets*, had to recognize a provision of $6 million for the onerous supply contract prior to the business combination. In this case, Company P would recognize a gain on the settlement of the supply contract of $1 million in the profit or loss at the acquisition date instead of $5 million as discussed above. This is derived as the difference between the loss on the contract of $5 million (as discussed above) and the $6 million loss previously provided for. In

essence, Company P has in effect settled a recognized liability of $6 million for $5 million, resulting in a gain of $1 million.

REMUNERATING EMPLOYEES FOR FUTURE SERVICES

The second example of separate transaction, which is not to be included as part of the acquisition accounting for a business combination under paragraph 52 of IFRS 3, pertains to transactions that remunerate employees or former owners of the acquiree for future services.

It is not uncommon in business combination transactions for the acquirer to enter into arrangements with employees or the former owners of the acquiree to either preserve existing employee compensation arrangements or even enhance employee compensation benefits with the intention of retaining these employees in the post-combination group. These employees or selling shareholders may be key employees that were and will continue to be instrumental to the success of the acquiree and it is in the best interest of the acquirer and the combined group that they continue to stay with the acquiree after the business combination.

Such employee compensation arrangements may take on different forms. They may take the form of direct cash remuneration for post-combination employment services or payment that is contingent on the employees meeting a post-combination performance target.[39] In some cases, the acquirer may also exchange share-based awards held by the employees or former owners of the acquiree with its own awards.

Furthermore, it is fairly common for employment contracts of key employees and senior management to include what is known as “golden parachute” arrangements. Essentially, such arrangements provide that these personnel would receive an additional bonus when their services are terminated as a result of a business combination transaction. Such arrangements may be embedded within the employment contract at the onset of employment without anticipation of any business combination transaction.

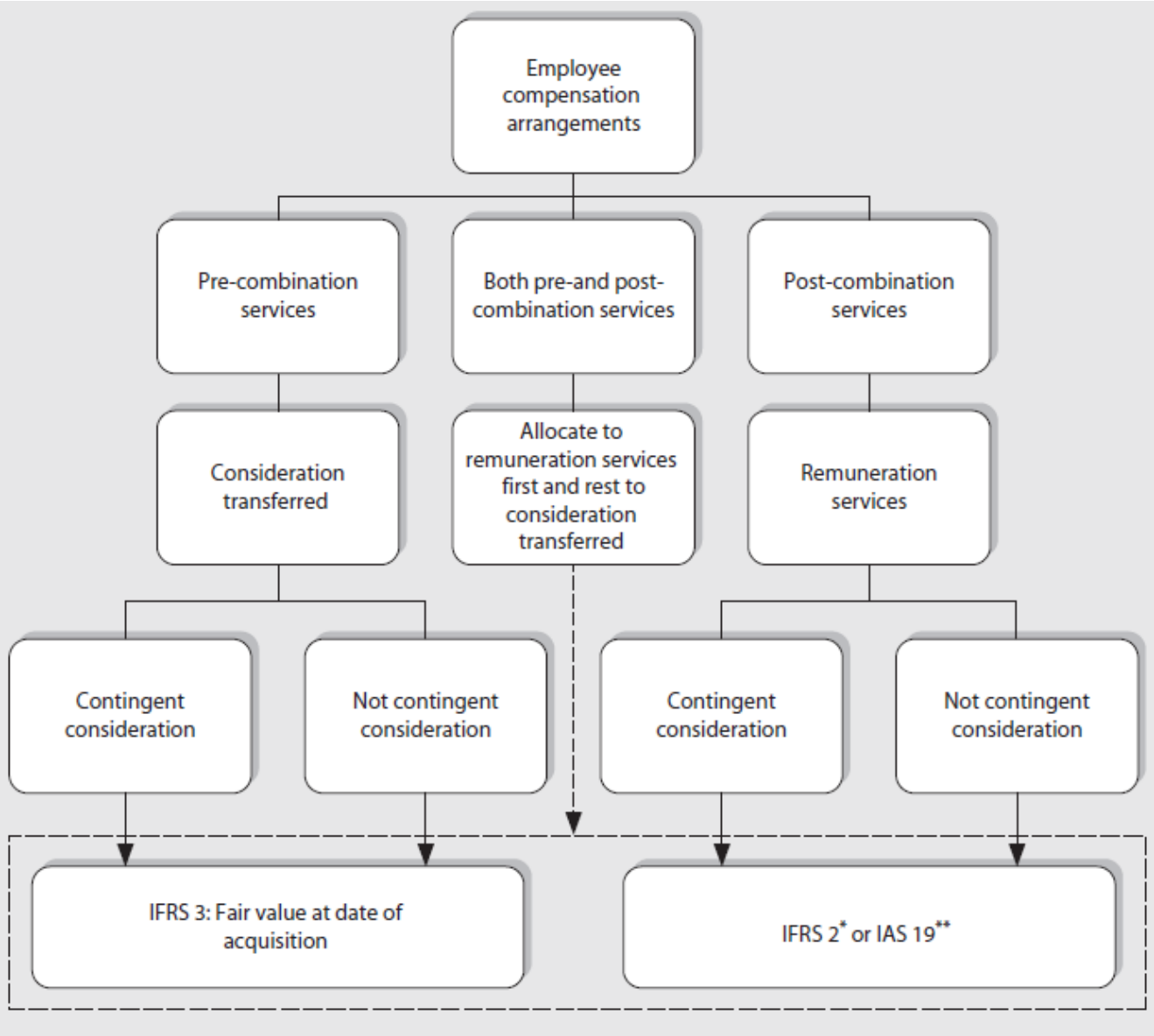
It is important to analyze carefully the nature of these employee compensation arrangements in order to apply the proper accounting treatment. In essence, such payment could be made for (i) pre-combination employment services, (ii) post-combination employment services, or (iii) a combination of both pre- and post-combination services. Figure 3C.4 depicts this and the appropriate accounting treatment for each classification.

It is important to differentiate the amounts that are paid for post-combination remuneration services from those that were paid in exchange for the acquiree as the accounting treatment differs for each type of payment. For payments that are made for post-combination remuneration services, these amounts are accounted for separately from the business combination transaction as they are, in substance, amounts paid for the employees’ future services, and not in exchange for the identifiable net assets of the acquiree at the date of acquisition. Conversely, amounts that are attributed to pre-combination services are accounted for as part of the consideration transferred in the business combination transaction, that is, they are included in the determination of the goodwill on acquisition. For employee compensation arrangements that are paid for both pre- and post-combination services, the amounts paid will be allocated to payment for post- combination services and consideration transferred in exchange for the acquiree. A possible scenario in this case would be where an acquirer replaces the share-based payment awards held by employees of the acquiree at the date of acquisition and such awards held by the employees prior to the transaction do not expire on business combination. The accounting treatment for share-based payment transactions in business combination will be discussed in more details below.

As depicted in Figure 3C.4, employee compensation arrangements can be structured as contingent payment transactions. Paragraph B54 of IFRS 3 clarifies that the nature of such arrangement in the transaction has to be brought to bear in determining whether such contingent payments to employees or former owners are contingent consideration in the business combination or are separate transactions. Specifically, understanding the reasons for

including contingent payments in the acquisition agreement, the identity of the initiator of the agreement, and timing of the arrangement will be helpful in assessing the nature of the arrangement.

FIGURE 3C.4 Employee compensation arrangements in a business combination



* If settled in shares or amounts linked to acquirer's shares
** If settled in forms e.g. cash or assets (other than shares or amounts linked to acquirer's shares)

Indicators in Assessing Whether Payment is Remuneration or Consideration

In situations where it is not clear whether an arrangement for payments to employees or selling shareholders (regardless of whether it is a contingent payment) is part of the exchange for the acquiree or is a transaction that is separate from the business combination, paragraph B55 of IFRS 3 requires the acquirer to consider the following

indicators as set out in Figure 3C.5. While the application guidance refers to contingent consideration, it also applies to other forms of employment compensation arrangements such as cash remuneration.

FIGURE 3C.5 Indicators in determining whether payment is remuneration or consideration

Indicator	Payment type	Attributes (IFRS 3:B55)
Continuing employment (by employees or selling shareholders)	**Remuneration**	► Contingent consideration arrangement in which the payments are automatically forfeited if employment terminates
	Consideration	► Contingent consideration arrangement is not affected by employee termination, that is, will continue to be paid even if employee leaves
Duration of continuing employment	**Remuneration**	► Period of required employment coincides with or is longer than the contingent payment period
	Consideration	► Period of required employment is shorter than the contingent payment period
Level of remuneration relative to other key employees	**Remuneration**	► Employee remuneration other than the contingent payments is not at a reasonable level relative to other key employees in the combined entity (that is it could be much lower)
	Consideration	► Employee remuneration other than the contingent payments is at a reasonable level relative to other key employees in the combined entity
Incremental payment to selling shareholders who become employees	**Remuneration**	► If selling shareholders, who do not become employees, receive lower contingent payments on a per-share basis than the selling shareholders who become employees of the combined entity
	Consideration	► If selling shareholders who do not become employees receive comparable contingent payments on a per-share basis with the selling shareholders who become employees of the combined entity
Number of shares owned by selling shareholders who become employees*	**Remuneration**	► Selling shareholders who owned substantially all of the shares in the acquiree continue as key employees; contingent payment arrangement in substance is a profit sharing scheme for additional remuneration
	Consideration	► Selling shareholders who continue as key employees owned only a small number of shares of the acquiree and all selling shareholders receive the same amount of contingent consideration on a per-share basis
Linkage of contingent consideration to valuation of acquiree	**Remuneration**	► Contingent payment formula is not linked to valuation of the acquiree but is consistent with prior profit-sharing arrangements
	Consideration	► Initial consideration transferred at the acquisition date is based on the low end of a range established in the valuation of the acquiree and the contingent formula is linked to valuation approach
Formula for determining consideration	**Remuneration**	► Formula for contingent payment is determined based on specified percentage of earnings that is intended to be a profit-sharing arrangement to remunerate employees for services rendered
	Consideration	► Formula for contingent payment is determined on the basis of a multiple of earnings that is intended to establish or verify the fair value of the acquiree

* Pre-acquisition ownership interests held by parties related to selling shareholders who continue as key employees (such as family members) should also be considered (B55(e) of IFRS 3).

In addition to the indicators shown in Figure 3C.5, paragraph B55 of IFRS 3 states that any other agreements entered into with the selling shareholders should be assessed as well. The terms and conditions to these agreements entered into with the selling shareholders (for example, agreements not to compete) and the income tax treatment of contingent payments may indicate that contingent payments are attributable to something other than consideration for the acquiree. The application guidance provided an example, which the acquirer in connection with the acquisition, entered into a property lease arrangement with a significant selling shareholder. If the lease payments specified in the lease contract are significantly below market, some or all of the contingent payments to the lessor, (which is the selling shareholder) as required by a separate arrangement for contingent payments might be, in substance, payments for the use of the leased property that the acquirer should recognize separately in its post-combination financial statements. In contrast, if the lease contract specifies lease payments that are consistent with market terms for the leased property, the arrangement for contingent payments to the selling shareholder may be contingent consideration in the business combination.

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We believe all the indicators listed in paragraph B55 of IFRS 3 should be considered in assessing whether compensation arrangements made to employees or selling shareholders are remuneration or as part of consideration transferred for the acquiree. Although continuing employment by employees or selling shareholders who become employees is listed as an indicator, the syntax of the application guidance is structured such that if this condition is met, it is conclusive rather than indicative. A contingent consideration arrangement in which the contingent payments are automatically forfeited if employment terminates is remuneration for post-combination services. Therefore, if the remaining portion of the contingent consideration arrangement is not predicated on continuing employment (that is, the payments will be paid if the conditions to the contingent consideration is met, regardless of whether the employee continues to be employed by the acquiree), the rest of the indicators are considered in determining whether the remaining portion are payment for remunerations services or as part of consideration transferred.

The application of the principles above is demonstrated in IE 58 that accompanies IFRS 3. For the purposes of illustration, we have adapted the fact pattern below.

ILLUSTRATION 3C.3 Employee compensation arrangements: Remuneration versus consideration transferred

On 1 January 20x1, Company S appointed a new chief executive officer under a ten-year contract. The employment contract included a golden parachute arrangement in which Company S will pay the chief executive officer $5 million if Company S is acquired before the contract expires. There is no term or condition within the contract that requires the chief executive officer to satisfy any post-combination service period in order to be entitled to the amount.

Company P acquires Company S eight years later on 31 December 20x8 for $200 million. The chief executive officer was still serving at the acquisition date and hence will receive the additional payment. The fair value of the identifiable net assets and book value of Company S (both of which include the amount payable to the chief executive officer at the date of acquisition) amounted to approximately $165 million and $145 million respectively. The effects of taxes are ignored in this illustration.

Analysis

Company P will have to first establish whether the $5 million payable to the chief executive officer, which crystallizes at the date of acquisition constitutes remuneration for post-combination services or part of the consideration transferred in exchange for Company S at the date of acquisition.

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Applying the thought process framework, as set out in paragraph B54 of IFRS 3 and articulated above,

(1) *Reasons for the transaction*

Company S entered into the employment agreement with the chief executive officer on 1 January 20x1 when the chief executive officer was first employed, that is, prior to the commencement of negotiations for the business combination. The purpose of the golden parachute arrangement was to secure the services of the chief executive officer. Furthermore, the chief executive officer is not required to provide any services in the post-combination period to be entitled to the $5 million. Therefore, the agreement was not arranged primarily to provide benefits to Company P or the combined entity.

(2) *Identity of the initiator of the arrangement*

Company S was the party who initiated the golden parachute arrangement with the chief executive officer and the intention is for the benefits to accrue to Company S, without contemplation of any change in control. Company P was not a party involved in the negotiation of the arrangement

(3) *Timing when the arrangement was entered*

The employment contract that included the golden parachute arrangement was entered into when the chief executive officer was employed, that is, it was not entered into during the negotiations for the acquisition by Company P.

Based on the fact pattern above, the golden parachute arrangement to the chief executive officer is not remuneration for post-combination services. It is, in substance, payment for pre-combination services provided to Company S. Accordingly, the liability of $5 million will be included as part of Company S's identifiable net assets transferred at the date of acquisition in the application of the acquisition method under IFRS 3.

Calculation of goodwill

	$	
Consideration transferred	200,000,000	
Less: Fair value of identifiable net assets of TC	(165,000,000)	[Inclusive of $5 million payable]
Goodwill on consolidation	35,000,000	

Prepare accounting entries

In the consolidated financial statements of Company P

Dr Share capital and equity of Company S	145,000,000		
Dr Net identifiable assets	20,000,000	[165 million – 145 million]	
(Excess of fair value over book value)			
Dr Goodwill	35,000,000		
Cr Investment in Company S		200,000,000	
Being elimination of share capital and pre-acquisition reserves of Company S			

In the separate financial statements of Company P

Dr Investment in Company S	200,000,000	
Cr Cash		200,000,000
Being investment in Company S		

Conversely, if the circumstances were to be varied such that Company S enters into a similar agreement with the chief executive officer under the advice of Company P during the negotiations for the business combination, the objective of the arrangement might be to provide termination pay to the chief executive officer. Hence, Company P or the combined entity is the primary beneficiary of the agreement. In this case, Company P will account for the liability of $5 million to pay the chief executive officer in its financial statements separately from the business combination. Accordingly, $5 million will be deducted from the consideration transferred and the same amount will be added to the fair value of the identifiable net assets of Company S transferred (as the liability is excluded), and accounted for separately from the business combination, as set out below.

Calculation of goodwill

	$	
Consideration transferred	195,000,000	[200,000,000 – 5,000,000]
Less: Fair value of identifiable net assets of Company S	(170,000,000)	[165,000,000 + 5,000,000]
Goodwill on consolidation	25,000,000	

Prepare accounting entries

In the consolidated financial statements of Company P

Dr Remuneration due to CEO	5,000,000		
Cr Investment in Company S		5,000,000	
Being separate accounting for payment of remuneration of CEO			
Dr Share capital and equity of Company S	145,000,000		
Dr Net identifiable assets	25,000,000		[170 million – 145 million]
Dr Goodwill	25,000,000		
Cr Investment in Company S		195,000,000	
Being elimination of share capital and pre-acquisition reserves of Company S			

In the separate financial statements of Company P

Dr Investment in Company S	200,000,000	
Cr Cash		200,000,000
Being investment in Company S		

ILLUSTRATION 3C.4 Contingent payment to key employees

On 1 January 20x2, Company P, a listed company, acquired 100% interest in Company S, which specializes in hearth manufacturing, from its founder owner.

The purchase consideration for the acquisition is cash consideration amounting to $40 million. Included in the purchase and sale agreement for Company S, Company P has also committed to pay additional consideration amounting to 50% of the net profit after tax of Company S at the end of the fifth year, after the date of acquisition on the condition that the average annual net profit after tax of Company S for the 5 years is at least $2.8 million. In exchange for this, the founder owner has to enter into a service employment agreement with Company P for a period of five years, and if the founder owner terminates employment within these five years, 80% of the additional consideration will be forfeited.

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The fair value of the identifiable net assets of Company S at the date of acquisition of 1 January 20x2 amounts to approximately to $36 million. Book value of Company S as at the same date stands at approximately $33.5 million. Based on external valuation, the fair value of the additional consideration as at 1 January 20x2 is approximately $5 million. The effects of taxes are ignored in this illustration.

Analysis

The additional consideration payable meets the definition of contingent consideration[40] under IFRS 3. Company P has an obligation to transfer cash to the founder owner of Company S as part of the exchange for control of Company S if specified future events occur or conditions are met, that is, if the average net profit after tax of Company S for the five years after the date of acquisition is at least $2.8 million. Following this, Company P will have to establish whether this contingent consideration constitutes remuneration for post-combination services or part of the consideration transferred in exchange for Company S at the date of acquisition.

Applying the thought process framework as set out in paragraph B54 of IFRS 3,

(1) *Reasons for the transaction*

The objective of the transaction was primarily to procure the employment services of the founder owner subsequent to the acquisition. This is demonstrated by the fact that the founder owner is required to continue employment with Company S for a period of five years and 80% of the contingent consideration payment will automatically be forfeited if employment terminates. Furthermore, the formula for contingent payment calculation is determined based on specified percentage (that is, 50%) of net profit after tax on the fifth year after acquisition and this appears to be intended as a profit-sharing arrangement to remunerate the founder owner for the services rendered.

(2) *Identity of the initiator of the arrangement*

Company P was the party who initiated the contingent consideration arrangement with the founder as part of the purchase and sale agreement of Company S, primarily for the benefit of Company P and the combined entity.

(3) *Timing when the arrangement was entered*

The contingent consideration arrangement was finalized during the negotiations for the acquisition by Company P and was included in the purchase and sale agreement.

On the basis of the fact pattern above, 80% of the contingent consideration arrangement is remuneration for post-combination services as that amount is automatically forfeited if employment terminates. The fair value of the contingent consideration is $5 million and 80% of the fair value that amounts to $4 million will be accounted for as remuneration, separate from the business combination transaction. As this portion does not constitute contingent consideration for the business combination transaction, Company P is not required to measure this portion of the additional consideration at fair value at the date of acquisition. Instead, Company P will account for the remuneration expense in accordance with IAS 19.

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Insofar as the remaining 20% is concerned, the founder owner, in this case, will get 20% of the contingent consideration as long as the criterion is met. This is regardless of whether he or she continues employment. In other words, the 20% is not tied to employment services. Hence, this remaining 20% of the fair value of the contingent consideration amounting to $1 million will be included as part of the consideration transferred for the purpose of applying acquisition accounting under IFRS 3.

Calculation of goodwill

	$	
Consideration transferred*	41,000,000	[40,000,000 + 1,000,000]
Less: Fair value of identifiable net assets of Company S	(36,000,000)	
Goodwill on consolidation	5,000,000	

** inclusive of contingent consideration*

Prepare accounting entries

In the consolidated financial statements of Company P

Dr Share capital and equity of Company S	33,500,000		
Dr Net identifiable assets	2,500,000		[36 million – 33.5 million]
Dr Goodwill	5,000,000		
Cr Investment in Company S		41,000,000	

Being elimination of share capital and pre-acquisition reserves of TC

In the separate financial statements of AC

Dr Investment in TC	41,000,000	
Cr Cash		40,000,000
Cr Payable to founder – contingent consideration		1,000,000

Being investment in Company S

Explanatory note:
No accounting entry is required for the 80% of the contingent consideration as at the date of acquisition. Company P will record the remuneration expenses when the services are received in accordance with IAS 19 *Employee Benefits*.

Share-based payment transactions

In a business combination, it is common for the acquirer to exchange its share-based payment awards (replacement awards) for awards held by the employees of the acquiree. There are a number of reasons for this. On the financial reporting front, such employee share options held by the employees will constitute non-controlling interests in the acquiree if the awards held by these employees are not replaced by the acquirer, which the acquirer will have to account as such in the consolidated financial statements. On the performance measurement and motivational front, replacing awards held by the employees with that of the acquirer's may serve to align the employees' interests toward

contributing to the overall performance of the parent and the post-combination business. It is generally the case that the shares of the acquirer are more valuable and/or more liquid than that of the acquiree.

In situations where the acquirer replaces the acquiree's share-based payment transactions with those of the acquirer, paragraph 30 of IFRS 3 stipulates that the acquirer should measure the liability or equity instrument relating to the replacement awards in accordance with IFRS 2 *Share-Based Payment*[41] at the acquisition date. Specifically, B56 of IFRS 3 requires such exchanges to be accounted for as modifications of share-based payment awards under IFRS 2.

This requirement is manifested in the detailed attribution process discussed in IFRS 3. In the situation where the awards held by the employee do not expire on business combination, IFRS 3 requires an attribution of either all or a portion of the fair value of the acquirer's replacement grant at the acquisition date as consideration transferred for the business combination. The implication is that this amount attributed as consideration transferred will be included in the computation of the goodwill on acquisition. The remainder will be recognized as remuneration cost, that is, as an expense in the post-combination financial statements for the services to be received over the period to when the replacement award vests in accordance with IFRS 2. The reason for this allocation process is because with the acquisition, the acquirer continues to have an obligation to the employees in respect of the past services that they provided to the acquiree. This is demonstrated by the fact that the awards issued by the acquiree do not expire on business combination. Hence, when an unexpired award is replaced by the acquirer, a portion of the "value of the replacement award reflects the acquiree's obligation that remains outstanding at the date of the business combination, and is accounted for as part of the consideration transferred in the business combination." (IFRS 3:B56) The accounting for the replacement of unexpired awards is the same regardless of whether they are replaced voluntarily by the acquirer, or whether the acquirer has an obligation (by contract or otherwise) to replace because the commercial substance in both scenarios is the same. The mechanics of the apportionment process is discussed in further details below.

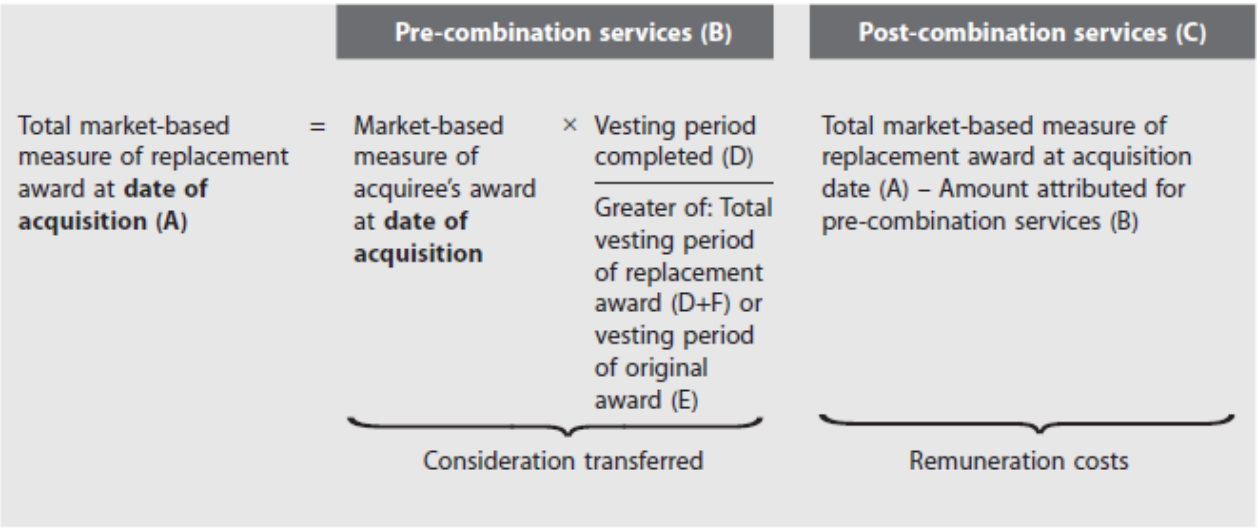
The exception to the above general principle is when the existing awards held by the employees would expire as a result of the business combination and the acquirer, in this case chooses to replace these awards even though it is not obliged to. In this circumstance, the entire value of the replacement award is recognized as remuneration cost in the post-combination financial statements, that is, none of the value will be attributed as part of consideration transferred. The rationale for this is that the new replacement award granted can only be for future services as the acquirer has no obligation to the employees in respect of past services as evidenced by the expiry of the awards.

It may also well be a case where the acquirer chooses not to replace the awards held by the employees in the business combination transaction. In this situation, the employee share awards, to the extent that they are classified as equity, constitute non-controlling interest at the date of acquisition. As these options do not represent present ownership interests, which entitle their holders to a proportionate share of net assets upon liquidation, IFRS 3 requires them to be measured at fair value at the date of acquisition. Paragraphs B62A and B62B of IFRS 3 provide more guidance on the accounting treatment, and this is discussed in greater detail under accounting for non-controlling interests in Chapter 4.

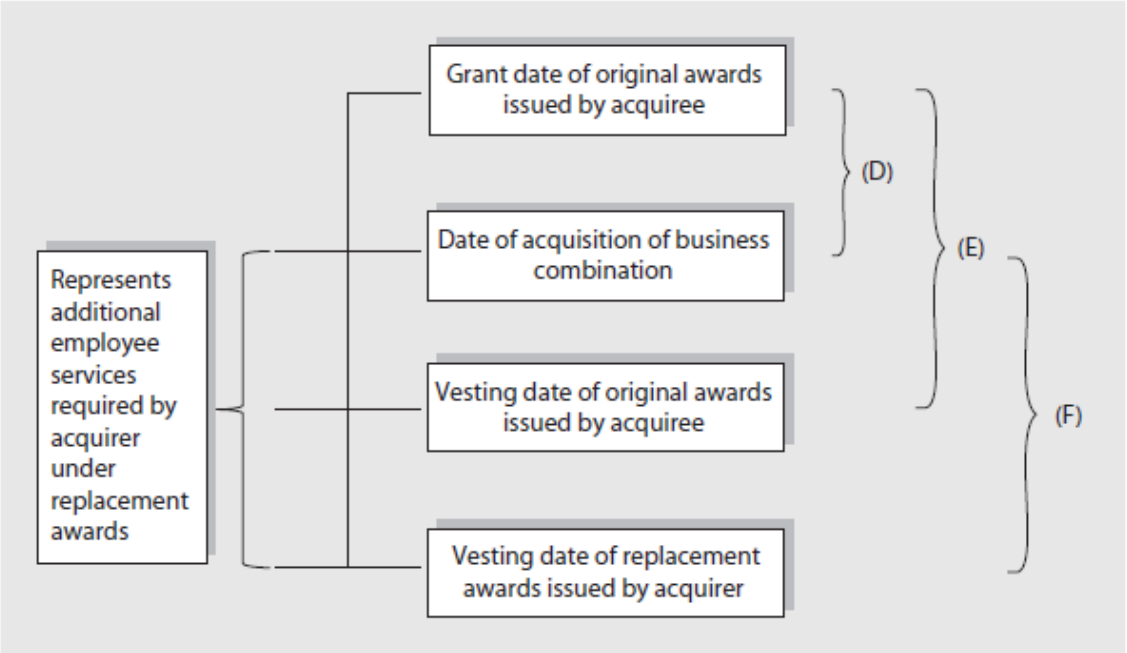
Principles of Attribution for Replacement Awards

Paragraphs B56 to B62 of IFRS 3 provide detailed guidance on how to determine the portion of the replacement award that is part of the consideration transferred for the acquiree and the portion that is remuneration cost for post-combination service. This is illustrated Figure 3C.6:

FIGURE 3C.6 Attribution of share-based payment awards



Determination of the greater of the total vesting period of replacement award or vesting period of original award



In a nutshell, the acquirer should determine the portion of the replacement award that is part of the consideration transferred for the acquiree in the following manner:

1. Determine at the date of acquisition, the fair values of the replacement award and the acquiree's award in accordance with the market-based measurement method set out in IFRS 2 (that is, the market-based measure).
2. Determine the following parameters:

   - Pre-combination vesting period before the date of acquisition, that is, the period where services were provided by the employees up to the date of acquisition – (D) in the diagram above
   - Post-combination vesting period for the new replacement award, that is, the additional period of services to be provided by employees under the replacement awards – (F) in the diagram above
   - Vesting period under the original acquiree's award – (E) in the diagram above

3. Determine the amount to be attributed to the pre-combination service that will be included in the consideration transferred via the following formula: page 140

$$\text{Amount to be attributed to pre-combination service and hence consideration transferred} = \text{Market-based measure of acquiree's award at } \textbf{date of acquisition} \times \frac{\text{Vesting period completed}}{\text{Greater of total vesting period of replacement award or vesting period of original award}}$$

4. Determine the post-combination remuneration cost, which is the excess of the market-based measure of the replacement award over the amount determined in step 3 above. This remuneration cost will be recognized as an expense in accordance with the principles of IFRS 2.

IFRS 3 provides four examples (IE 64 to IE 71) to guide the application of the above requirements. The fact pattern of two of the examples have been adapted below for purposes of demonstrating the application of the above principles.

ILLUSTRATION 3C.5 Replacement share awards in a business combination

On 1 January 20x5, Company P acquires the entire share capital of $400,000 comprising of 400,000 ordinary shares in Company S. Retained earnings at that date amounted to $100,000. In previous years, Company S has issued employee share awards for which the balance in the employee share option reserve stands at $75,000 as at 1 January 20x5. The purchase consideration is $800,000 in cash. Net assets of Company S as at 1 January 20x5 amounted to $575,000. The fair value of the net identifiable assets as at 1 January 20x5 is $750,000. Tax effects are ignored in this illustration.

As part of the business combination, Company P provides replacement awards that require one year of post-combination service in exchange for the share-based payment awards of Company S held by employees who had completed the vesting period before the business combination. The market-based measure of the replacement and Company S's awards at the acquisition date amounted to $110,000 and $100,000, respectively. When originally granted, Company S's awards had a vesting period of four years. As of the acquisition date, Company S's employees holding unexercised awards had rendered a total of seven years of service since the grant date.

Analysis

Notwithstanding that Company S's employees have already rendered all of the service (that is, the employees have completed the four years of service to be unconditionally entitled to the options issued by Company S), Company P is still required, in accordance with paragraph B59 of IFRS 3, to attribute a portion of the replacement award to post-combination remuneration cost as the replacement awards require one year of service subsequent to the combination.

The total vesting period is five years that is, the original vesting period for the original acquiree award before the acquisition date (four years) plus the vesting period for the replacement awards (one year). Given that the vesting period of the original award is four years, the greater of the total vesting period of five years should be used as the denominator in the above formula.

Hence, applying the formula above, the portion to be attributed to pre-combination services is based on the market-based measure of the Company S's award at the acquisition date ($100,000) multiplied by the ratio of the pre-combination vesting period (four years) to the total vesting period (five years). Accordingly, Company P will attribute $80,000 ($100,000 × 4/5 years) to the pre-combination vesting period. This amount would be included in the consideration transferred in the business combination. The excess of the market-based measure of the replacement award of $110,000 over the amount attributed for the pre-combination vesting period of $80,000, that is, $30,000 is attributed to the post-combination vesting period. It is recognized as remuneration cost in Company P's post-combination financial statements in accordance with IFRS 2. page 141

Calculation of fair value uplift on acquisition (i.e. excess of fair value over book value)

Fair value uplift on acquisition = $750,000 − $575,000
= $175,000

Calculation of goodwill on acquisition

Consideration transferred = $800,000 + $80,000 (being the amount attributed for pre-combination service)
= $880,000

Goodwill	=	Fair value of consideration transferred	+	Amount of non-controlling interests at acquisition date	− Recognized net identifiable assets of acquiree measured in accordance with IFRS 3
		= $880,000	+	0	− $750,000
		= $130,000			

Explanatory note:

1. In the computation of the consideration transferred, only the $80,000 is included. The remaining $30,000 is attributed to post-combination remuneration cost in the consolidated financial statements.
2. There is no non-controlling interest as the original award issued by Company S in the subsidiary has been replaced by the awards issued by Company P.

In the consolidated financial statements of Company P

Dr Share capital	400,000	
Dr Retained earnings	100,000	
Dr Employee share options	75,000	
Dr Net identifiable assets (Excess of fair value over book value)	175,000	
Dr Goodwill	130,000	
Cr Investment in subsidiary		880,000
Being elimination of share capital and investment account		

In the separate financial statements of Company P

Dr Investment in subsidiary	880,000	
Employee share option reserve – equity		80,000
Cash		800,000
Being issuance of replacement awards at date of acquisition and investment in subsidiary		

Explanatory note:

1. No accounting entry is made for the amount of $30,000, which was attributed to post-combination remuneration costs. The amount will be recognized in the consolidated financial statements in accordance with the principles in IFRS 2.
2. In the separate financial statements of Company P, the replacement share issuance is recognized as an equity-settled share-based payment in accordance with paragraph 43C of IFRS 2. While IFRS 2 addresses only the credit entry, we believe that the debit entry should be made to investment in subsidiary as we are of the view that the parent (Company P), while not the receiving party of the goods and services from

the employees, had paid for that service on behalf of the subsidiary. Hence, the amount paid in substance represents additional investment in the subsidiary.

ILLUSTRATION 3C.6 Replacement share awards in business combination

Assume the same facts as in Illustration 3.4 with the exception that in this scenario, Company P provides replacement awards that require one year of post-combination service in exchange for share-based payment awards of Company S. Of the original four year's vesting period, Company S's employees had fulfilled two years of service.

The fair value of the replacement and Company S's awards at the acquisition date amounted to $110,000 and $100,000 respectively.

Analysis

As of the acquisition date, Company S's employees had rendered only two years out of the required four years' services. Therefore, under the original award, they would have been required to render an additional two years of service for these awards to vest. Hence, only a portion of the Company S's awards is attributable to pre-combination service.

As the replacement awards require only one year of post-combination service and given that the employees have already completed two years of service, the total vesting period is therefore, three years.

Hence, the portion attributable to pre-combination services is based on the market-based measure of the acquiree award as at the date of acquisition ($100,000) multiplied by the ratio of the pre-combination vesting period (two years) to the greater of the total vesting period (three years), or the original vesting period of Company S's award (four years). Thus, Company P will attribute $50,000 ($100,000 × 2/4 years) to pre-combination service, and this amount will be included in the consideration transferred for the business combination. The remainder of $60,000 ($110,000 - $50,000) is attributed to post-combination service and will be recognized as remuneration cost in Company P's post-combination financial statements.

Calculation of goodwill on acquisition

Consideration transferred = $800,000 + $50,000 (being the amount attributed for pre-combination service)
= $850,000

Goodwill	=	Fair value of consideration transferred	+	Fair value of consideration transferred	− Recognized net identifiable assets of acquiree measured in accordance with IFRS 3
		= $850,000	+	0	− $750,000
		= $100,000			

Preparation of the accounting entries

In the consolidated financial statements of Company P

Dr Share capital	400,000
Dr Retained earnings	100,000
Dr Employee share options	75,000

Dr Net identifiable assets (Excess of fair value over book value)	175,000	
Dr Goodwill	100,000	
Cr Investment in subsidiary		850,000

Being elimination of share capital and investment account

In the separate financial statements of Company P

Dr Investment in subsidiary	850,000	
Employee share option reserve - equity		50,000
Cash		800,000

Being issuance of replacement awards at date of acquisition and investment in subsidiary

TRANSACTION FOR PAYMENT OF ACQUISITION COSTS

In the third scenario under paragraph 52 of IFRS 3, the standard requires a transaction that reimburses the acquiree or its former owners for paying the acquirer's acquisition-related costs to be accounted for separately from the business combination transaction.

Paragraph 53 of IFRS 3 defines acquisition-related costs as costs that "the acquirer incurs to effect a business combination. Such costs include finder's fees; advisory, legal, accounting, valuation, and other professional or consulting fees; general administrative costs, including the costs of maintaining an internal acquisitions department; and costs of registering and issuing debt and equity securities."

IFRS 3 requires the acquirer to expense acquisition-related costs in the periods in which the costs are incurred and the services are received, with the exception that costs incurred to issue debt or equity securities will be recognized in accordance with IAS 32[42] and IFRS 9.

Transactions that reimburse the acquiree or its former owners for paying the acquirer's acquisition-related costs is accounted for as a separate transaction because acquisition-related costs are neither part of the consideration transferred in exchange for the acquiree nor part of the fair value of the identifiable net assets transferred by the acquiree. They are essentially expenses incurred by the acquirer as part of the business combination transaction in anticipation of future economic benefits. Hence, any arrangement by the acquirer to reimburse the acquiree or its former owners for the payment of acquisition-related expenses on behalf of the acquirer has to be accounted for separately.

Furthermore, as explained in the paragraph 370 of the Basis to Conclusions to IFRS 3, the Board had explicitly included this requirement in the Standard to address concerns that acquirers might modify business combination transactions to avoid recognising acquisition-related costs as expenses, given that they are required to be expensed as part of the cost of the business acquired. For example, a buyer might arrange with the selling shareholders to make payments to the buyer's vendors on its behalf. To facilitate the negotiations and sale of the business, the selling shareholders might agree to make those payments if the total amount to be paid to the selling shareholders upon closing of the business combination transaction is sufficient to reimburse them for payments made on the behalf of the buyer. If these "disguised" reimbursements were treated as part of the consideration transferred for the business, the acquirer might not recognize those expenses and the amount of goodwill recognized for that business might be overstated.

ILLUSTRATION 3C.7 Accounting for reimbursement of acquisition costs paid by acquiree

On 30 June 20x6, Company X, which is domiciled in Singapore, acquired 100% shareholdings interest in Company Y in the United States. As part of the sale and purchase transaction, Company X had commissioned a law firm in the United States to perform legal due diligence. The cost of the legal due diligence amounted to $900,000. For convenience, Company X had requested Company Y to pay for legal due diligence on its behalf and that amount will be reimbursed by Company X through the consideration paid. As at the date of acquisition, the amount had been paid by Company Y.

The total amount paid by Company X in exchange for Company Y amounted to $6.9 million. The fair value of the identifiable net assets transferred by Company Y as at 30 June 20x6 amounted to approximately $5.8 million. Book value at the same date amounted to approximately $5.2 million. The effects of taxes are ignored in this illustration.

Analysis

The reimbursement of the cost of the legal due diligence amounting to $900,000 paid on behalf of Company Y by Company X will be accounted for separately from the acquisition of Company Y in accordance with paragraph 52(c) of IFRS 3. As the amount is reimbursed through the consideration paid, Company X will deduct this amount from the total amount paid of $6.9 million. Accordingly, the consideration transferred for the acquisition will be $6 million.

Calculation of goodwill

	$	
Consideration transferred	6,000,000	[6,900,000 – 900,000]
Less: Fair value of identifiable net assets of Company Y	(5,800,000)	
Goodwill on consolidation	200,000	

Prepare accounting entries

In the consolidated financial statements of Company X

Dr Due diligence expense	900,000		[Note 1]
Cr Investment in Company Y		900,000	
Being acquisition-related costs expensed in the consolidated financial statements of Company X			

Dr Share capital and equity of Company Y	5,200,000		
Dr Net identifiable assets (Excess of fair value over book value)	600,000		[5.8 million – 5.2 million]
Dr Goodwill	200,000		
Cr Investment in Company Y		6,000,000	
Being elimination of share capital and pre-acquisition reserves of TC			

In the separate financial statements of Company X

Dr Investment in Company Y	6,900,000	
Cr Cash		6,900,000
Being investment in Company Y and reimbursement of acquisition-related costs		

Explanatory note:

Company Y has recorded an amount receivable from Company X in its standalone financial statements upon payment made for the due diligence expense on Company X's behalf. Upon receipt of the consideration for the transaction, $900,000 was applied to settle the receivable and the receivable was consequently derecognized. Hence, an entry is required to recognize the acquisition-related cost as an expense in the consolidated financial statements of Company X.

QUESTIONS

Q3.1 Impairment risks

Goodwill under IFRS 3 *Business Combinations* is the difference between the aggregate of the fair value of consideration transferred, the amount of non-controlling interests at acquisition date, and the fair value of previously held equity interests and the net fair value of identifiable assets and liabilities. Goodwill has to be tested for impairment by companies and any impairment losses will have to be expensed off.

Required:

Using insights from the article, "Is Goodwill an Asset?" by L.T. Johnson and K.R. Petrone (*Accounting Horizons*, September 1998), advise companies on how they can minimize the risk of having to expense off huge impairment losses in future.

Q3.2 Special purpose entities

You have recently graduated and joined the ranks of an auditing firm. Soon after joining the firm, your overworked audit manager calls you to his office. "This client of ours seems to have interests in various special purpose entities. We need someone to update us on the accounting treatment of SPEs with respect to group reporting. I heard that you were an outstanding student and are ready to take on any challenge, so you should relish this little research assignment! After that, I'd like you to make a presentation to the audit team so that they can learn from your research."

After thinking through the "assignment," you scribbled your action plan:

(a) Provide background understanding of SPEs, particularly with respect to common reasons for their existence. Some real-life examples will be useful.

(b) Identify the accounting issues with regard to group reporting relating to SPEs.

(c) Explain how specific provisions in accounting standards deal with the accounting issues identified.

You recalled that as a student, you used to do keyword searches in the library databases. You will try these sources for a start. You also intend to surf the Internet for other helpful materials. The various articles and sources will be cited in your presentation so as to show your manager that your research has been properly and diligently carried out.

CASE

C3.1 International Airlines Group

The International Airlines Group (IAG) was formed during 2011 and is the parent company of Aer Lingus, British Airways, Iberia, and Vuelling. It is a Spanish registered company with shares traded on both the London and Spanish stock exchanges. Source the annual report and other public announcements and analysts reports to analyze the manner by which the business combination was achieved. You may visit the group's website http://www.iairgroup.com.

Required:

1. Explain the legal processes and structuring that took place to effect the business combination of IAG and the subsidiaries.
2. Analyze the acquisition method with respect to the business combination of IAG and its subsidiaries:
   (a) Who was the acquirer? Provide evidence of control.
   (b) What were the significant assets and liabilities of the subsidiaries that were the subject of fair valuation?
   (c) How was goodwill determined? Explain the special complexities relating to goodwill determination for this business combination.

CONCEPT QUESTIONS

CQ3.1 Acquisition Accounting

Acquisition accounting requires special accounting treatment that is not permitted or required in normal accounting outside of a business combination. Provide at least three examples of special accounting treatment under IFRS 3 *Business Combinations* that are not permitted or required by other accounting standards.

CQ3.2 Debate on options permitted on the measurement of non-controlling interests under IFRS 3

IFRS 3, unlike US GAAP, allows non-controlling interests at acquisition date to be recognized at either full fair value or a proportionate share of the fair value of identifiable net assets of the acquiree at acquisition date.

Suggestion for instructor: Break the class into groups of three or four persons to allow them to discuss among themselves the option that they will choose and why. After the small group discussion, ask the class to vote for the option that they will choose. Get different individuals to explain the reasons for their choice.

Required:

Which option will you choose and why? Explain the stakeholders' perspective that you are upholding in your choice.

CQ3.3 Forms of business combinations

A business combination is when an acquirer obtains control of one or more businesses. In reality, there are different ways to achieve this objective.

Required:

1. Describe four forms of business combinations by which an acquirer may obtain control of one or more businesses.
2. Explain the differences in forms of business combinations with respect to the following questions:
   - What is legally acquired in the transaction?
   - Who is the seller?
   - What is the legal entity (entities) and what is the economic entity?
   - Is there a need for consolidation?
   - Who has control of the economic entity?

PROBLEMS

P3.1 Fair value of consideration transferred

Scenario A

A Co acquired a controlling interest in B Co and entered into the following transactions on acquisition date, 1 July 20x3.

1. Cash payment to owners of B Co	$4,000,000
2. Loan payable to banks to finance the acquisition of B Co	$3,200,000
3. Fair value of shares issued to owners of B Co	$5,000,000
4. Book value of shares issued to owners of B Co	$4,000,000
5. Cost of issuing equity	$40,000
6. Deferred consideration, payable at the end of 5 years	$8,000,000
7. Present value of deferred consideration at an interest rate of 5% p.a.	$6,268,209

Required:

Prepare the journal entries that A Co would record to reflect the above transactions on 1 July 20x3. Unamortized discount or premium, where applicable, should be shown separately.

Scenario B

A Co acquired a controlling interest in B Co and entered into the following transactions on acquisition date, 1 July 20x3.

1. Cash payment to owners of B Co	$1,000,000
2. Loan payable to banks to finance the acquisition of B Co	$2,200,000
3. Fair value of land transferred to owners of B Co	$500,000
4. Book value of land transferred to owners of B Co	$400,000
5. Contingent refund, amount paid by seller at the end of 2 years	$300,000
6. Present value of $300,000 at an appropriate interest rate	$272,109
7. Probability of refund occurring	0.20

Required:

Prepare the journal entries to record the above transactions on 1 July 20x3 in the books of A Co. Unamortized discount or premium, where applicable, should be shown separately.

P3.2 Determining the consideration transferred

On 1 January 20x6, P purchased 80% of the equity of S from S's existing owners. The following transactions arose on or just prior to the acquisition date.

Issue of P's shares to S's existing owners	1,200,000	shares (Note c)
Immediate cash payment	$ 500,000	
Deferred cash payment	$1,000,000	payable five years from 1 January 20x6
Due diligence fees paid to consultants	$ 20,000	
Cost of issuing shares by P	$ 5000	
Equipment transferred in settlement by P:		
Net book value of equipment	$ 40,000	
Fair value of equipment	$ 50,000	
Contingent payment to P by sellers	$ 300,000	(Note a)
Number of P's shares before new issue	2,000,000	
Number of S's shares at date of acquisition	1,800,000	

Additional information:

(a) The existing owners of S undertook to pay P an amount of $300,000 if the profit of S falls below $1,000,000 per year in 20x6 and 20x7. Average profit after tax of S had exceeded $1,500,000 in the last five years and there are no indications that profit will decline in the future.

(b) P's effective interest rate was 5% per annum.

(c) At the date of exchange of shares:

(i) The fair value of the equity of P was $4,000,000.

(ii) The fair value of the equity of S was $3,200,000.

The fair value of S includes the fair values of goodwill and identifiable net assets as at the date of acquisition. The fair value of P includes the effects of the acquisition of S. The fair value of non-controlling interests as at acquisition date was $640,000.

(d) The book and fair values of S's identifiable net assets on 1 January 20x6 are as follows:

	S Book value	S Fair value
Intangible assets	$0	$700,000
Other identifiable assets	2,500,000	2,500,000
Identifiable liabilities	(500,000)	(500,000)
Net identifiable assets	$2,000,000	$2,700,000

Tax rate of 20% applies to fair value adjustments.

Required:

1. Determine the fair value of consideration transferred in accordance with IFRS 3 *Business Combinations* if a proportional interest of P's fair value is the most reliable measure of the shares issued by P. Identify the specific components of consideration transferred.
2. Determine the fair value of consideration transferred in accordance with IFRS 3 *Business Combinations* if a proportional interest of S's fair value is the most reliable measure of the shares acquired by P. Identify the specific components of consideration transferred.
3. Assuming that the fair value of P is used to determine the fair value of shares issued (that is, (1) above), prepare the journal entries in P's books to record the investment in S and the other transactions entered into on 1 January 20x6. page 150
4. Assuming (1) above, prepare the consolidation entry to eliminate the investment in S and to recognize the goodwill and fair value adjustment(s).

P3.3 Determining the consideration transferred

During January 20x5, P Co performed due diligence tests on S Co. On 1 February 20x5, P Co completed the purchase of 80% of S Co from V Co, the existing owner of S Co.

The following expenditures were incurred by P Co during January 20x5:

Payment to consultants to conduct due diligence checks on S Co	$200,000
Number of ordinary shares issued by P Co to V Co	6,000,000
Fair value per share of P Co at date of share issue, reliably measured	$3
Salary of business development manager of P Co for January 20x5	$20,000
Travelling and hotel expenses incurred by the business development manager in relation to the acquisition of S Co	$15,000
Undiscounted cash payment payable to V Co at the end of five years	$1,000,000
Interest payable to V Co for deferred payment	6% per annum
Legal fees to execute sales agreement with V Co	$30,000
Assumption of the liabilities of V Co (P assumes legal obligation to pay off the short-term liabilities of V Co in settlement of purchase price)	$200,000
Stamp duties and other incidentals of share issue to V Co	$10,000

Details relating to S Co as at 1 February 20x5:

Share capital	$4,000,000
Retained earnings	5,600,000
Other reserves	1,200,000
As reported in the interim financial statements of S Co	$10,800,000
Fair value of unrecognized intangible asset	$2,000,000

(a) Estimated useful life of intangible asset from 1 February 20x5 was five years.

(b) Fair value of non-controlling interests as at 1 February 20x5 was $4,700,000.

(c) The financial year-end is 31 December. Tax rate is 20%. Recognize tax effects on fair value adjustments.

Required:

1. Determine the consideration transferred in accordance with IFRS 3 *Business Combinations*.
2. Show the journal entry or entries in P's books to record the expenditures incurred by P Co in 20x5.
3. Show partial consolidation entries for the year ended 31 December 20x5.

P3.4 Fair value of consideration transferred

A Co acquires a controlling interest in B Co. The following information relates to transactions occurring on or before the acquisition date, 1 July 20x0:

Cash payment to owners of B Co	$4,000,000
Loan payable to banks to finance the acquisition of B Co	5,000,000
Fair value of shares issued to owners of B Co	6,400,000
Book value of shares issued to owners of B Co	3,600,000
Cost of issuing equity	90,000
Deferred consideration, payable at the end of 5 years	8,000,000
Present value of deferred consideration	6,268,209
Additional payment made by A Co if contingent event occurs	1,000,000
Contingent event:	
Profit of B Co for year ending 31 Dec 20x1	> $5 million
Period for profit target	Year ending 31 Dec 20x1
Date of payment of contingent payment	31 Dec 20x1
Probability of profit of B Co > $5 million in 20x1	0.6
Probability of profit of B Co < $5 million in 20x1	0.4
Cost of capital of A Co	5% p.a.
Cost of capital of former owners	7% p.a.
Actual profit for B Co for year ended 31 Dec 20x1	$4 million
Fair value of buildings transferred to owners of B Co	$6,000,000
Book value of buildings transferred to owners of B Co	$5,500,000
Valuation and due diligence fees	$130,000

The financial year end falls on 31 December.

Required

1. Show the journal entries to record the above transactions in A Co's books as at 1 July 20x0.
2. Prepare the amortization table on the deferred consideration for the period from 1 July 20x0 to 30 June 20x5.
3. Show the journal entry to record the interest on the deferred consideration for the year ended 31 December 20x1.
4. Show the journal entry to record the terminal entry for the contingent consideration as at 31 December 20x1.

P3.5 Different forms of business combination

P Co is keen to acquire the business of S Co on 1 January 20x1 and it can do so in one of two ways. P Co will issue shares with fair value of $700,000 as settlement for the acquisition under each alternative.

(a) *Alternative 1:* P Co acquires 100% of the net assets (including cash) of S Co through a purchase agreement with S Co.

(b) *Alternative 2:* P Co acquires 100% of the ownership interest of S Co from the owners of S Co.

Details of the net assets of P Co and S Co on 1 January 20x1 are shown below. Tax rate is 20%. Recognize the deferred tax effects, if any, on the difference between the fair value and the book value of identifiable net assets.

	P Co Book value	S Co Book value	S Co Fair value
Intangible asset from contracts		–	$ 30,000
Investment in S Co	$ 700,000		
Fixed assets	420,000	$300,000	350,000
Inventory	130,000	40,000	60,000
Accounts receivable	200,000	100,000	90,000
Cash	100,000	20,000	20,000
Accounts payable	(150,000)	(80,000)	(80,000)
Net assets	$1,400,000	$380,000	$470,000
Share capital	$ 700,000	$200,000	
Retained earnings	700,000	180,000	
Equity	$1,400,000	$380,000	$470,000

1. Under Alternative 1, show the journal entry to record the purchase of net assets of S Co by P Co in its separate financial statements on 1 January 20x1.
2. Under Alternative 2, show the journal entry to record the acquisition in P Co's separate financial statements on 1 January 20x1.
3. Under Alternative 2, complete the consolidation worksheet below to show the group statement of financial position on 1 January 20x1.

	P CO Book value	S CO Book value	Dr	Cr	Total
Investment in S Co	$ 700,000	–			
Fixed assets	420,000	$300,000			
Inventory	130,000	40,000			
Accounts receivable	200,000	100,000			
Cash	100,000	20,000			
Accounts payable	(150,000)	(80,000)			
Net assets	$1,400,000	$380,000			
Share capital	$ 700,000	$200,000			
Retained earnings	700,000	180,000			
Equity	$1,400,000	$380,000			

P3.6 Fair value of consideration transferred

On 1 January 20x1, P Co entered into an agreement with Tuscany Co to acquire the net assets and business of Tuscany Co. The following transactions arose on 1 July 20x1 to execute the agreement with respect to the acquisition.

Cash payment paid to Tuscany Co	$1,000,000
Loan payable to banks to finance the acquisition of the business	$400,000
Fair value of land transferred to Tuscany Co	$2,000,000
Book value of land transferred to Tuscany Co	$800,000
Cost of executing acquisition agreement	$40,000
Contingent refund receivable at the end of 5 years	$1,200,000

Under the acquisition agreement, Tuscany Co will refund P Co $1,200,000 if Tuscany fails to meet profit targets. P Co estimates that there is 50% probability of receiving the refund at the end of five years. The cost of capital of Tuscany Co is 5% per annum while that of P Co is 3% per annum. The fair and book values of identifiable net assets of Tuscany Co at date of acquisition were as follows:

	Book value	Fair value
Inventory	$ 100,000	$ 156,000
Intangible assets	–	25,000
Other net assets	1,665,000	1,665,000
Total	$1,765,000	$1,846,000

Tax rate is 20%

Required

1. Prepare the journal entries to recognize the acquisition in P Co's books and other related entries during the year ended 31 December 20x1.

2. Prepare journal entries for the year ended 31 December 20x2.
3. Assuming that the acquired business met profit targets at the end of five years, what journal entry should P Co pass as at that date?

P3.7 Reverse acquisition

On 1 July 20x3, Small Ltd issued 10 million new shares to owners of Sumo Pte Ltd in exchange for all of Sumo Pte Ltd's shares. The share exchange is the result of a reverse acquisition of Small Ltd by Sumo Pte Ltd. The number of shares and other financial information just before the share issue was as follows:

	Small Ltd	Sumo Pte Ltd
Number of existing ordinary shares before the share exchange	400,000	6,000,000
Market price per share	$20	
Fair value per share		$10

	Small Ltd	Sumo Pte Ltd
Share capital	$500,000	$12,000,000
Retained earnings	120,000	22,000,000
Revaluation reserves	–	500,000
Shareholders' equity	$620,000	$34,500,000

There were no material under- or over-valued identifiable net assets of either Small or Sumo as of 1 July 20x3. The market price of Small Ltd rose as a result of market reactions to the news of the reverse acquisition.

Required

Assuming that the fair value per share of Sumo Pte Ltd is more reliably determinable than the inflated market price per share of Small Ltd, prepare the consolidation adjustment to eliminate the investment in the acquiree by the acquirer as at 1 July 20x3.

P3.8 Reverse acquisition versus normal acquisition

Sumo Pte Ltd initiated a share exchange agreement with Trim Ltd, a publicly listed company, whereby Trim Ltd would issue 16 million new ordinary shares in exchange for 100% ownership of Sumo Pte Ltd. On 1 July 20x1, all parties to the agreement executed the share exchange. The shareholders' equity of Trim and Sumo on 1 July 20x1 were as follows:

	Trim Ltd	Sumo Pte Ltd
Share capital	$20,000,000	$ 50,000,000
Retained earnings	5,000,000	30,000,000
Revaluation reserves	2,000,000	20,000,000
Shareholders' equity	$27,000,000	$100,000,000

The number of ordinary shares before the share exchange and the fair value per ordinary share of Trim Ltd and Sumo Pte Ltd are shown below:

	Trim Ltd	Sumo Pte Ltd
Fair value of entity	$30,000,000	$120,000,000
Number of ordinary shares	4,000,000	8,000,000
Fair value per ordinary share	$7.50	$15.00

(a) *Provision for loss under a guarantee:* During 20x0, Trim Ltd sold land to a customer and gave a special guarantee to refund the customer the difference between the market value of the land on 1 July 20x4 and the original sales price. The following outcomes are deemed reliable:

	Probability	Settlement
Best outcome	0.60	$ 0
Moderate outcome	0.30	200,000
Worst outcome	0.10	500,000

Trim Ltd did not recognize the provision on its separate financial statements because the provision was deemed as not "probable."

(b) *Rights under a License:* Trim Ltd has a non-transferable license to operate a toll booth at a bridge crossing. Trim Ltd collects toll fees for the government and retains a portion as fee for managing the booth. The license fee has a remaining useful life of three years from 1 July 20x1. The expected annual fee income of Trim Ltd are as follows:

	Probability	Fee
High traffic	0.50	$1,000,000
Moderate traffic	0.30	500,000
Low traffic	0.20	140,000

(c) *Undervaluation of inventory:* As at 1 July 20x1, the book value of Sumo's identifiable net assets was close to fair value with the exception of the following:

Fair value of inventory	$18,000,000
Book value of inventory	24,000,000

Seventy percent of the inventory was re-sold during December 20x1.

The tax rate was 20% throughout. The cost of capital of Trim Ltd was 5% per annum.

Required

1. Assuming that the share exchange was in effect a reverse takeover (RTO), use the fair value of the acquirer's shares to determine the fair value of consideration transferred by Sumo.
2. Assuming an RTO scenario, determine the goodwill acquired in accordance with IFRS 3.
3. In July 20x4, a final settlement of $200,000 was made under the guarantee.
   (a) Show the entry to record the final settlement in Trim's books (no record had been made previously for the guarantee).

(b) Show the entry that would have been passed for the final settlement in the acquirer's books (although the economic entity does not have records, hypothetically assume that the books are kept).

(c) Show the consolidation adjustment to bring the entry in (a) to the entry in (b).

4. On 30 June 20x2, Trim Ltd revised its fee income under the high traffic scenario to $800,000. Explain how the acquirer should account for the following in its economic entity financial statements (with calculations) with respect to the license fee in 20x2 under each of the following situations:

   (a) The revision arose because of a failure to use information that was available as at acquisition date.

   (b) The revision arose because of new information on traffic conditions after acquisition date.

5. Assuming that the share exchange was not a RTO and that the fair value of Trim's shares are reliably measurable, calculate the goodwill acquired in accordance with IFRS 3.

P3.9 Normal versus reverse acquisition

Under the terms of a contract between Topaz Ltd and Diamond Pte Ltd, Topaz will issue 5,000,000 shares to the existing shareholders of Diamond in exchange for the entire 2,000,000 shares of Diamond.

Additional information:

(a) Topaz has 2,000,000 outstanding shares before the share issue.

(b) Fair value of Topaz shares is $2 per share and fair value of Diamond's shares is $6 per share.

(c) Assume that the fair value of shares has incorporated the effects of the acquisition.

(d) Assume that the share issue is accepted in full by existing shareholders of Diamond.

Financial statement information as at date of exchange is as follows:

	Topaz	Diamond
Projected annual revenue	$20,000,000	$50,000,000
Net fair value of identifiable net assets	2,000,000	9,000,000
Book value of net assets	1,800,000	$8,000,000

Required:

1. Assuming that it is a "normal" acquisition,

   (a) What is the fair value of consideration transferred if:

      (i) Fair value of Topaz's share is reliably determined (and Diamond's share is not)?

      (ii) Fair value of Diamond's share is reliably determined (and Topaz's share is not)?

   (b) Assuming (a)(i) above, what is the goodwill on consolidation?

   (c) What is the amount of net assets of the combined entity as at the date of acquisition assuming (a)(i) above?

2. Assuming that it is a "reverse" acquisition,

   (a) What is the fair value of consideration transferred if:

      (i) Fair value of Diamond's share is reliably determined (and Topaz's share is not)?

      (ii) Fair value of Topaz's share is reliably determined (and Diamond's share is not)?

(b) What is the goodwill on consolidation under the scenario in (a)(i) above?

(c) What is the amount of net assets of the combined entity as at the date of acquisition assuming (a)(i)?

3. Based on the information above, how would you assess whether the above arrangement is a "normal" or "reverse" acquisition? What other information would you require?

P3.10 Reverse versus normal acquisition

During April 20x3, Small Ltd, a publicly listed company, agreed to issue 8.5 million new ordinary shares to the shareholders of Big Pte Ltd in exchange for 100% ownership of Big Pte Ltd. On 1 July 20x3, all parties to the agreement executed the share exchange.

The shareholders' equity of Small and Big immediately prior to the share exchange were as follows:

	Small Ltd	Sumo Pte Ltd
Share capital	$500,000	$15,000,000
Retained earnings	$120,000	$18,000,000
Revaluation reserves	$50,000	$2,000,000
Shareholders' equity	$670,000	$35,000,000

The number of ordinary shares before the share exchange and the fair value per ordinary share of Small Ltd and Big Pte Ltd are shown below:

	Small Ltd	Big Pte Ltd
Fair value of entity	$1,000,000	$40,000,000
Number of ordinary shares	2,000,000	4,000,000
Fair value per ordinary share	$0.50	$10.00

Provision for environmental damages

During 20x2, Small Ltd was found to be guilty of breaching environmental laws. In the past, Small Ltd had publicly announced its policy of rectifying environmental damage caused by its operations. The outcome of the court judgment is unknown as at 1 July 20x3. Small disclosed this amount as a contingent liability in its separate financial statements. However, legal counsel had advised Small on the likelihood of the final settlement as follows:

	Probability	Settlement
Outcome A	0.35	$100,000
Outcome B	0.35	$80,000
Outcome C	0.30	$50,000

The expected date of final settlement was 1 July 20x6. The cost of capital of Small Ltd was 10% per annum.

License contract

Small had a non-cancellable contract to use the rights under a license for a period of ten years from 1 July 20x3. The annual contracted license fee, payable at the start of the year, was $100,000 while the annual market license fee at the date of acquisition was $150,000. Small recognized the license fee as an expense as and when incurred.

Identifiable net assets of Big Pte Ltd

As at 1 July 20x3, the book value of Big's identifiable net assets was close to fair value with the exception of the following:

Fair value of buildings	$2,000,000
Book value of buildings	$1,200,000

The buildings had a remaining useful life of 20 years from 1 July 20x3.

The tax rate was 20% throughout.

Required:

1. Assuming that the share exchange was in effect a reverse takeover (RTO), use the fair value of the acquirer's shares to determine the fair value of consideration transferred by Big. (To facilitate comparability across answers, use at least four decimal points to determine ownership interest.)
2. Assuming the RTO scenario, prepare the consolidation adjustments for the year ended 31 December 20x3 with Big as the acquirer, to eliminate the investment in the subsidiary and to amortize the differences between the fair value and book value of identifiable net assets. Where there is a difference between the principal sum and the fair value for financial assets or liabilities, record the difference in an unamortized discount or premium account.
3. In July 20x6, the courts imposed a fine of $60,000 on Small.
   (a) Show the entry to record the final settlement in Small's books (no provision had been made previously for the fine).
   (b) Show the consolidation adjustment to be made by Big during 20x6 with respect to the final settlement.
4. Should the acquirer recognize interest on the contract over the period of the lease? Why or why not? page 158
5. Assuming that the share exchange was <u>not</u> a RTO and that the fair value of Small's shares is reliable, prepare the consolidation adjustments for the year ending 31 December 20x3 with Small as the acquirer.

P3.11 Accounting for share-based payments in business combination

On 1 January 20x6, Company X acquires the entire share capital of $500,000 comprising of 500,000 ordinary shares in Company Y. Retained earnings as that date amounted to $100,000. In previous years, Company Y has issued employee share awards for which the balance in the employee share option reserve stands at $80,000 as at 1 January 20x6. The purchase consideration is $950,000 in cash. Net assets of Company Y as at 1 January 20x6 amounted to $680,000. The fair value of the net identifiable assets as at 1 January 20x6 is $820,000.

As part of the business combination, Company X exchanges replacement awards for the share-based payment awards of Company Y, for which employees had completed the vesting period of 5 years before the business combination. No post-combination service is required from the employees in return for the replacement awards. The market-based measure of the replacement and Company Y's awards at the acquisition date amounted to $300,000 and $200,000 respectively.

Calculate the portion of the market based measure of the replacement award at the date of acquisition to be allocated to the pre-combination and post combination services and prepare the accounting entries for the transaction. Ignore the tax effects for the question.

P3.12 Accounting for share-based payments in business combination

Assume the same facts as in P3.11 with the exception that in this case, Company X exchanges replacement awards for the share-based payment awards of Company Y, for which employees had yet to render all the services before

the date of acquisition. As at 1 January 20x6, the employees had rendered three out of a five-year vesting period. No post-combination service is required from the employees in return for the replacement awards.

Calculate the portion of the market-based measure of the replacement award at the date of acquisition to be allocated to the pre-combination and post-combination services and prepare the accounting entries for the transaction. Ignore the tax effects for the question.

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[1] Additionally, companies must provide segment information if they have equity or debt securities that are publicly traded, or if they are in the process of issuing equity or debt securities in public securities markets (IFRS 8).

[2] A predecessor standard of IFRS 3, IAS 22 *Business Combinations* permitted the use of the "uniting of interests" or "pooling of interests" in a business combination where there is no one dominant party that may be identified as an acquirer, that is, a situation best described as a "merger of equals."

[3] IFRS 10 Appendix A.

[4] IFRS 3 Appendix B.

[5] IFRS 3 Appendix B, paragraph B6(a).

[6] IFRS 3 paragraph 43.

[7] IFRS 3 Appendix B, paragraph B6(c).

[8] The acquisition method was previously called the purchase method under IFRS 3 *Business Combination* (2004). The term "purchase" was deemed restrictive by the International Accounting Standards Board as certain business combinations may arise from contract alone.

[9] Typically subject to approval by shareholders and regulatory requirements.

[10] In the separate financial statements of the acquirer, these acquisition-related costs are capitalized as part of the cost of investment in the acquirer.

[11] *Basis of conclusions to IFRS 3*, paragraph BC367.

[12] The date when the acquisition is announced and a binding agreement arises is also called the "closing date."

[13] "Push-down" accounting whereby the fair value adjustments are recognized in the acquiree's financial statements is not permitted by IFRS.

[14] Fair value is the "price that would be received to sell an asset or paid to transfer a liability in an orderly transaction between market participants at measurement date" (IFRS 3 Appendix A citing IFRS 13).

[15] For a non-contractual relationship, the acquirer recognizes a gain or loss at fair value if the pre-existing relationship is settled by the business combination.

[16] If the settlement provision (ii) is less than the amount by which the contract is favorable or unfavorable (i), the difference is included as part of the business combination accounting.

[17] Typically, the present value of the future cash inflows from the rights exercisable in future.

[18] This term is from IFRS 3 Appendix B, paragraph B33.

[19] This term is from IFRS 3 Appendix B, paragraph B32.

[20] As defined in IFRS 3 Appendix A.

[21] As defined in IFRS 3 Appendix B, paragraph B37.

[22] IFRS 13 paragraph 86.

[23] IAS 37 paragraph 14.

[24] IAS 37 paragraph 10.

[25] IAS 1 *Presentation of Financial Statements*, paragraph 82(b).

[26] However, if the proceeds from the recovery of the asset is tax-exempt, no recognition of a deferred tax liability is required. Recovery must be determined in relation to the nature of the asset. For example, fixed assets and intangible assets are generally held for production rather than for re-sale. The absence of a capital gains tax may not preclude the recognition of a deferred tax liability as the economic benefits from these assets are revenues from goods and services that are subject to tax.

[27] IFRS 3 paragraph 19.

[28] IFRS 3 Basis of Conclusions, BC209.

[29] IFRS 3 Basis of Conclusions, BC210.

[30] Johnson, L.T., and K.R. Petrone, 1998. "Is Goodwill an Asset?" *Accounting Horizons*, September, 12(3), pp. 293–304.

[31] Financial Accounting Standards Board, 1999, 2001. Exposure Draft of Statement of Financial Accounting Standard 141 *Business Combinations*, Norwalk, CT.

[32] The target could take the form of equity of an entity, asset, or a group of assets. In the case where the target is a corporate entity, consolidated financial statements will have to be prepared under the requirements of IFRS 10 as the purchaser has obtained control over the target. However, because the target in this instance does not meet the definition of a business, the purchaser will account for this transaction as an acquisition of assets in its consolidated financial statements. As both entities are separate legal entities, separate financial statements apart from the consolidated financial statements of the group may also be maintained if it is required by laws and regulations of the local jurisdiction. In the case where the target is an asset or group of assets, only one set of financial statements is prepared, that is, the standalone financial statements of the purchaser. The purchaser will apply asset acquisition accounting in its standalone financial statements and the assets acquired are subsumed within the standalone financial statements.

[33] In the case of these subsidiaries that are not themselves investment entities and whose main purposes and activities are providing services that relate to the investment entity's investment activities, such subsidiaries shall be consolidated. However, if such entities are themselves investment entities, they must be measured at fair value through profit and loss.

[34] These investments include equity investments, non-financial asset investments as well as any debt instruments that have the potential to be held indefinitely such as perpetual debt instruments (i.e. exit strategies are not required for debt instruments with limited life).

[35] For instance, investment entities must elect the exemption from equity method in IAS 28 for investments in associates and joint ventures.

[36] The parties to the combination would refer to the acquirer and the acquiree and their owners, directors, and managers (including their agents).

[37] Generally, a gain on settlement will be recognized in the consolidated financial statements of the acquirer when the settlement of the pre-existing relationship is favorable to the acquirer and vice versa.

[38] IFRS 3 clarifies that an unfavorable contract is a contract that is unfavorable in terms of current market terms. It is not necessarily an onerous contract in which the unavoidable costs of meeting the obligations under the contract exceed the economic benefits expected to be received under it.

[39] Such contingent consideration is also known as "earn-outs" in practice.

[40] IFRS 3 defines a contingent consideration as an obligation of the acquirer to transfer additional assets or equity interests to the former owners of an acquiree as part of the exchange for control of the acquiree if specified future events occur or conditions are met.

[41] IFRS 3 refers to the fair value determined under IFRS 2 as "market-based measure." The reason for this is because the application of the measurement method in IFRS 2 generally does not result in the amount at which market participants would exchange an award at a particular date, that is, its fair value at that date. Therefore, IFRS 3 provides this exception to the measurement principle for share-based payment awards.

[42] Paragraphs 35 and 37 of IAS 32 require the transaction costs of an equity transaction to be accounted for as a deduction from equity to the extent they are incremental costs directly attributable to the equity transaction that otherwise would have been avoided.